



**SOLUTIONS
INNOVATRICES**
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**INNOVATIVE
SOLUTIONS**
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Solicitation No.: EN578-26ISC1

Refer to the tender notice published on CanadaBuys.

Closing date: June 17, 2026 at 2:00 PM EDT

Proposal Submission details are included in this Call for Proposals document.

Issuing Office:

Public Works and Government Services Canada
Services and Innovation Acquisitions Sector
Research and Development Procurement Directorate
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Public Works and Government Services Canada

Please note this document is part of the Contract Modernization Initiative. For more information please consult the following: [Understanding the Contract Modernization Initiative](#).

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1. Solicitation of Offers.

1.1. Introduction. Canada requests offers from Offerors to meet its requirements. For the convenience of Offerors, a brief description is set out below with detailed requirements in subsequent sections of this solicitation of offers. If interested and able to meet these requirements, Canada appreciates and welcomes an offer.

1.2. Offers. Canada is seeking offers from Offerors to address the outcomes of the following problem statements:

- a. Supplier verification and Decentralized Credentialing;
- b. Docked Remotely Piloted Aircraft Systems (RPAS) and Remote Operations Enablement (Short range and Extended Range);
- c. Arctic and Coastal Remotely Piloted Aircraft Systems (RPAS);
- d. Extended-Range Remotely Piloted Aircraft Systems (RPAS) for Intelligence, Surveillance, and Reconnaissance (ISR) Operations;
- e. Automated Ship Building and Maintenance ;
- f. Multi-Function RF Systems (MFRF/MFRFS);
- g. Underwater Communications;
- h. Uncrewed Aerial Systems (UAS) Solutions to Improve Ranging Capabilities;
- i. Quantum Technologies;

This solicitation is for the Innovative Solutions Canada (ISC) Program within Innovation, Science and Economic Development Canada (ISED). The ISC program helps Canadian innovators by testing research and development (R&D) services and prototypes in the late stages of development in real-life settings.

The purpose of this Solicitation of Offers is to create a pool of conditionally qualified offers that ISC and Government of Canada organizations may select from to address their operational requirements.

1.3. Term. The period of the Contract is to be determined prior to contract award.

1.4. Delivery Date. All the deliverables must be received prior to the end of the contract.

1.5. Delivery Points. Delivery of the requirement will be made to delivery point(s) specified at Annex Statement of Work of the Contract.

1.6. Disclosure of Greenhouse Gas Emissions and Setting of Reduction Targets. Canada is committed to achieving net-zero greenhouse gas (GHG) emissions by 2050 in an effort to position Canada for success in a green economy and to mitigate climate change impacts. As a result, future solicitation of offers may include the following:

- a. Evaluation criteria or other instructions in the solicitation of offers or contract documents related to measuring and disclosing your company's GHG emissions;
- b. An optional or mandatory requirement to join one of the following initiatives in order to submit an offer or if awarded a contract:
 - i. Canada's Net-Zero Challenge;

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- ii. the United Nations Race to Zero;
- iii. the Science-based Targets Initiative;
- iv. the Carbon Disclosure Project (CDP);
- v. the International Organization for Standardization (ISO);
- vi. Climate Action 100+;
- vii. Climate Engagement Canada.
- c. An optional or mandatory requirement to provide other evidence of your company's commitment and actions toward meeting net-zero targets by 2050.

2. Offer Requirements.

2.1. Security Requirements. There are no security requirements associated with this solicitation of offers.

2.2. Solicitation of Offer Submission Eligibility. This solicitation of offers is subject to the Policy on Reciprocal Procurement. This means that only Canadian Suppliers, as defined in the Annex Solicitation of Offers Definitions, are eligible for this solicitation of offers. Offers submitted by Suppliers of a Non-Trading Partner will be rejected.

2.3. Canadian Content. The requirement is solely limited to Canadian goods and services. Offerors must complete the Canadian Content certification within the Offer submission form, through the Innovative Solutions Canada Web-Portal (ISC-WP).

3. Offeror Requirements.

3.1. Offeror Responsibilities. Each Offeror should:

- a. obtain any clarification it considers necessary of the solicitation of offers requirements before submitting an offer;
- b. prepare its offer in accordance with the solicitation of offers instructions;
- c. submit a complete offer by the closing date and time as per the instructions noted in section entitled "Offer Submission";
- d. provide a comprehensible and sufficiently detailed offer, including all requested pricing details that will enable Canada to complete its evaluation based on the solicitation of offers criteria;
- e. ensure that all required fields, marked with a red asterisk (*), are completed before submitting an offer;
- f. determine if its offer needs to be amended, and resubmit, should the solicitation of offers be amended; and
- g. comply with all other requirements of this solicitation of offers.

3.2. Legal Capacity. The offeror must have the legal capacity to contract. If the Offeror is a sole proprietorship, a partnership (if Common Law) or a general partnership (if Civil Law), or a corporate body, the Offeror must provide, if requested by the Contracting Authority, a statement and any requested supporting documentation indicating the laws under which it is registered or incorporated together with the registered or corporate name and place of business. This also applies to offerors submitting an offer as a joint venture.

3.3. Compliance with Code of Conduct. The Offeror must comply with Canada's [Code of Conduct for Procurement](#).

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3.4. Ineligibility and Suspension Policy.

- a. **Mandatory Compliance.** The Ineligibility and Suspension Policy (the “Policy”) in effect on the date the solicitation of offers is issued, and all related Directives in effect on that date, are incorporated by reference into, and form a binding part of the solicitation of offers. The Offeror must comply with the Policy and Directives, which can be found at the [Office of Supplier Integrity and Compliance website](#).
- b. **Policy Summary.** The Policy sets out the circumstances under which Canada may determine that the Supplier is ineligible to enter, or is suspended from entering into a Contract with Canada. The list of ineligible and suspended Suppliers is maintained on the [Office of Supplier Integrity and Compliance website](#).
- c. **Offeror Responsibilities.** The Offeror must provide the following:
 - i. a [List of Names for integrity verification](#) that includes all information required by the Policy (section 13 – Disclosure); and
 - ii. if the Offeror is unable to certify all of the statements in the sub-clause below entitled “Offeror Certifications”, a completed [Integrity Declaration Form](#) providing all requested information and details of any material event that may affect the status of itself, its affiliates or its proposed first-tier subcontractors under the Policy.
- d. **Offeror Certifications.** Subject to the sub-clause below entitled “Integrity Declaration Form”, by submitting an offer in response to this solicitation of offers, the Offeror certifies that:
 - i. it has read and understands the [Ineligibility and Suspension Policy](#);
 - ii. it understands that certain circumstances, as described in the Policy, will or may result in a determination of ineligibility or suspension under the Policy;
 - iii. it is aware that Canada may request additional information, certifications, and validations from the Offeror or a third party for the purpose of making a determination of ineligibility or suspension;
 - iv. none of the circumstances described in [Appendix 2 of the Policy](#) that will or may result in a determination of ineligibility or suspension, apply to itself, its affiliates or its proposed first tier subcontractors; and
 - v. it is not aware of a determination of ineligibility or suspension issued by Canada that applies to it.
- e. **Integrity Declaration Form.** Where an Offeror is unable to provide all of the certifications required by the sub-clause above entitled “Offeror Certifications”, at the time of its offer it must submit a completed [Integrity Declaration Form](#).
- f. **Compliance with Certifications.** Canada will declare non-compliant any offer in respect of which the information requested is incomplete or inaccurate, or in respect of which the information contained in a certification or declaration is found by Canada to be false or misleading in any respect. If Canada establishes after award of the Contract that the Offeror provided a false or misleading certification or declaration, Canada may terminate the Contract for default. Pursuant to the Policy, Canada may also determine the Offeror to be ineligible for award of a Contract for providing a false or misleading certification or declaration.

3.5. Conflict of Interest.

- a. **Right to Reject.** Canada may reject an offer if the Offeror, any of its subcontractors, or any of their respective employees or former employees
 - i. was involved in any manner in the preparation of the solicitation of offers or in any situation of conflict of interest or appearance of a conflict of interest, or

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- ii. had access to information related to the solicitation of offers that was not available to other offerors and that would, in Canada's opinion, give or appear to give the Offeror an unfair advantage.
- b. **Experience Not an Unfair Advantage.** Canada will not consider any experience any Offeror has acquired by providing the goods and/or services described in the solicitation of offers (or similar goods and/or services), in itself, as conferring an unfair advantage or creating a conflict of interest.
- c. **Notification of Rejection.** If Canada intends to reject an offer under this section, the Contracting Authority will inform the Offeror and provide the Offeror an opportunity to make representations.

3.6. Federal Contractors Program for Employment Equity. The [Federal Contractors Program for Employment Equity](#) applies to this procurement.

3.7. Insurance. The successful Offeror will be responsible to meet insurance requirements in accordance with the resulting contract section entitled "Insurance".

4. Offer Submission.

4.1. Offer Receipt. Offers must only be submitted through the ISC Web-Portal (ISC-WP), by the date and time indicated on the Government Electronic Tendering Service (GETS) found at CanadaBuys. The ISC-WP is the electronic platform being used for this procurement, and can be accessed by clicking [here](#). All offers submitted through other means will not be accepted and considered.

Offerors may submit a maximum of one (1) offer per Problem Statement under this solicitation. An Offeror may submit multiple offers only if each offer:

- a) responds to a different Problem Statement; and
- b) presents a different innovation.

If an Offeror submits more than one offer for the same Problem Statement, or submits the same innovation under different Problem Statements, only the most recent offer submitted will be considered. The most recent offer will be determined based on the ISC-WP system time stamp.

4.2. Late Offers. Canada will not consider offers delivered after the offer submission closing date and time.

4.3. Offers Submitted Through ISC-WP.

- a. **Submission Through ISC-WP.** To submit an offer through ISC-WP, Offerors must complete the Review and Accept Prerequisites as applicable within the "event", accept the terms of the agreement and "Submit entire response". Offerors will receive an onscreen acknowledgement when submitting their offer using the ISC-WP platform. Submission of an offer, as acknowledged by the ISC-WP, also constitutes receipt of that offer by Canada. This acknowledgement will confirm only the submission and receipt of the offer and will not confirm if the offer meets the requirement of the solicitation of offers, if Canada is able to open the attachments or that the content is readable.
- b. **Correction, Update, and Re-Submission of Offers.** Offerors may review, correct, or update their offer and resubmit a new offer at any point up to the closing date and time of the solicitation of offers.

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- c. **Timely Submission.** The Offeror or an authorized representative acting on its behalf must submit an offer on or before the closing date and time of the solicitation of offers.
- d. **Errors in ISC-WP Submissions.** Canada will not be responsible for any failure attributable to the transmission or receipt of the offer, including, but not limited to, the following:
 - i. receipt of unreadable or unopenable content, including in any electronic documents where applicable;
 - ii. incompatibility between the sending and receiving equipment;
 - iii. delay in transmission or receipt of the offer;
 - iv. security of offer data; or
 - v. inability to upload electronic documents.
- e. **ISC-WP Account.** Offerors must ensure that they are using the correct registered account on the ISC-WP when submitting their offer. Offerors must ensure the account used is the account the Offeror wishes to be formally bound by the offer submitted.

4.4. Offer Submission Requirements.

- a. **Authority.** Each Offeror (and each member of a Joint Venture submitting an offer) must submit an Offer signed by the Offeror or by an authorized representative of the Offeror.
- b. **Business Number.** Each Offeror (and each member of a Joint Venture submitting an offer) must have a Business Number (BN) before contract award. Suppliers may register for a BN online at [How to register your business](#).
- c. **Validity of Offers.** Offers will remain open for acceptance for a period of not less 480 calendar days from solicitation of offers closing date, unless specified otherwise in the solicitation of offers. Canada reserves the right to seek an extension of the offer validity period from all compliant Offerors in writing, at least three calendar days before the end of the offer validity period. If all compliant Offerors agree to extend their offers, Canada will continue with the evaluation of the offers. If not all compliant Offerors extend their offers, Canada, at its sole discretion, will either continue with the evaluation of the offers of those who have accepted the extension or cancel the solicitation of offers.
- d. **Offer Language.** Offerors may submit their documents and supporting information in either English or French.
- e. **Offer Become Property of Canada.** Offers received on or before the solicitation of offers closing date and time will become the property of Canada and Canada will not return them to Offerors. Canada will treat all offers as confidential, subject to the provisions of the Access to Information Act and the Privacy Act.
- f. **No Assignment of Offers.** An offer cannot be assigned or transferred in whole or in part.
- g. **Joint Ventures.**
 - i. **ISC Web-Portal (ISC-WP).** Offerors who submit an offer as a joint venture must create an ISC-WP account specifically for that joint venture, through registration on the ISC-WP. The ISC-WP account must be created by the lead entity, and a Supplier Profile Questionnaire must be completed which solely applies to the joint venture entity. The joint venture lead entity may be required to provide additional information about its members during the solicitation process.
 - ii. **Agreement by all Members.** If a contract is awarded to a Joint Venture, all members of the Joint Venture will be jointly and severally or solidarily liable for the performance of any resulting contract.

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4.5. Technical Difficulties of Offer Transmission. Despite anything to the contrary in this solicitation of offers, where an Offeror has commenced transmission of its offer through the ISC Web-Portal (ISC-WP) in advance of the solicitation of offers closing date and time, but due to technical difficulties, Canada was unable to receive or decode the entirety of the Offer by the deadline, Canada may nonetheless accept the entirety of the Offer received after the solicitation of offers closing date and time, provided that the Offeror can demonstrate the following:

- a. The Offeror contacted Canada in advance of the solicitation of offers closing date and time to attempt to resolve its technical difficulties; OR
- b. The electronic properties of the Offer documentation clearly indicate that all components of the Offer were prepared in advance of the solicitation of offers closing date and time.

4.6. Completeness of the Offer. After the closing date and time of this solicitation of offers, Canada will examine the Offer to determine completeness. The review for completeness will be limited to identifying whether any information submitted as part of the offer can be accessed, opened, and/or decoded. This review does not constitute an evaluation of the content, will not assess whether the Offer meets any standard or is compliant to all solicitation of offers requirements, but will be solely limited to assessing completeness. Canada will provide the Offeror with the opportunity to submit information found to be missing or incomplete in this review within two business days of notice. The offer will be reviewed and deemed to be complete when the following elements have been submitted by the offeror:

- a. certifications and securities required at offer closing are included;
- b. offers are properly signed, that the offeror is properly identified;
- c. acceptance of the terms and conditions of the solicitation of offers and resulting contract;
- d. that all documents (including certifications, declarations and proofs) created prior to offer closing but due to technical difficulties Canada was unable to receive them, have been properly submitted and received by Canada.

4.7. Provision of Documentation.

- a. **Notices of Proposed Procurement (NPP).** Canada will make NPPs and any associated amendments available through the Government Electronic Tendering Service (GETS) found at [CanadaBuys](#).
- b. **Solicitations of Offers.** Canada will make solicitations of offers, related documents and all amendments (including significant enquiries received and their replies) linked from the NPP and available through the GETS.
- c. **Disclaimer.** Offerors are responsible for regularly consulting both GETS for the most up-to-date information. Canada is not responsible and will not assume any liabilities whatsoever for the information found on websites of third parties. Canada will not be liable for any oversight on the Offeror's part nor for errors and omissions published by any notification services offered by a third party. Canada assumes its responsibilities for its own publishing and posting on the GETS.

4.8. Offer Costs. The Offeror is solely responsible for all costs associated with preparing and submitting its offer, as well as any costs it incurs in the evaluation of its offer.

4.9. Applicable Laws. Any Contract must be interpreted and governed, and the relations between the Parties determined, by the laws in force in a Canadian province or territory. Offerors may insert the Canadian province or territory of their choice in the Certification Document during contract negotiations process. If the Offeror does not include this information in the Certification Document, the applicable laws will be those of Ontario.

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4.10. Entire Requirement. The solicitation of offers documents contain all the requirements relating to the solicitation of offers; no other information or documentation is relevant. Offerors should not assume that practices used under previous solicitations of offers or contracts will continue or that the Offeror's existing capabilities meet the requirements of the solicitation of offers simply because they have met previous requirements.

5. Communications.

5.1. Communications During Solicitation of Offers Period. Unless specified otherwise in the solicitation of offers, the Offeror must direct all questions and other communications regarding the solicitation of offers in writing and only to the Contracting Authority at:

Email: TPSGC.PASICVoletessai-APISCTestingStream.PWGSC@tpsgc-pwgsc.gc.ca

Failure to comply may result in Canada rejecting the offer.

- a. **Period for Questions.** Offerors should submit all questions in writing no later than five (5) business days before the offer closing date. Canada may not respond to questions submitted after this.
- b. **Detail of Questions.** Offerors must accurately reference the numbered item of the solicitation of offers to which the question relates and explain each question in sufficient detail to enable Canada to provide an accurate answer.
- c. **Proprietary Questions.** For any technical questions containing proprietary information, Offerors must clearly mark those questions as "proprietary". Canada will treat such questions as proprietary except where Canada determines that the question is not of a proprietary nature. Canada may edit the question(s) or may request that the Offeror revise the question(s) to eliminate the proprietary nature of the question(s) and Canada can provide the answer to all Offerors. Canada may not answer questions that are not in a form it can distribute to all Offerors.

5.2. Offer Debriefings. Offerors may request a debriefing on the results of the solicitation of offers process. Offerors should make such a request to the Contracting Authority within 15 business days from its receipt of the results of the solicitation of offers process. Canada may provide the debriefing in writing, by telephone, or in person.

5.3. Offer Challenge and Recourse Mechanisms.

- a. **Challenges to Procurement Process.** Several mechanisms are available to potential suppliers to challenge aspects of the procurement process up to and including contract award.
- b. **Offer Challenge and Recourse Mechanisms.** Canada encourages suppliers to bring their concerns first to the attention of the Contracting Authority. This is **not** an invitation to provide a technical response or any additional information, as the debriefing results are final. If concerns remain after the Offeror has contracted the Contracting Authority. Canada's CanadaBuys website, under the heading "[Following up on a bid](#)", contains information on potential complaint bodies such as:
 - i. Office of the Procurement Ombud (OPO)
 - ii. Canadian International Trade Tribunal (CITT)

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- c. **Deadlines for Filing Complaints.** There are strict deadlines for filing complaints; the time periods vary depending on the particular complaint body. Suppliers should therefore act quickly when they want to challenge any aspect of the procurement process.

6. Technical Proposal and Forms.

6.1. Technical Offer Contents.

- a. **Requirements.** Offerors should:
- i. demonstrate their understanding of the requirements contained in the solicitation of offers;
 - ii. concisely explain how they will meet these requirements; and
 - iii. address the points that are subject to the evaluation criteria against which the Offer will be evaluated. Simply repeating a statement contained in the solicitation of offers is not sufficient.
- b. **Organization.** Offerors should address and present topics in the order of the evaluation criteria under the specified headings. To avoid duplication, an Offeror may refer to different sections of its offer by identifying where it has already addressed the subject topic, by identifying the specific paragraph and page.

7. Supply Chain Security Information Process.

- a) **Condition of Contract Award:** In order to be awarded a contract, the Offeror may be required to complete the Supply Chain Security Information (SCSI) assessment process and not be disqualified.
- b) **Definitions:** The following words and expressions used with respect to SCSI assessment have the following meanings:
- i) **“Product”** means any hardware that operates at the data link layer of the **Open Systems Interconnection model (OSI Model)** Layer 2 and above; any software; and any Workplace Technology Device;
 - ii) **“Workplace Technology Device”** means any desktop, mobile workstation (such as a laptop or tablet), smart phone, or phone, as well as any peripheral item or accessory such as a monitor, keyboard, computer mouse, audio device or external or internal storage device such as a USB flash drive, memory card, external hard drive or writable CDs and DVDs or other media;
 - iii) **“Product Manufacturer”** means the entity that assembles the component parts to manufacture the final Product;
 - iv) **“Software Publisher”** means the owner of the copyright of the software, who has the right to license (and authorize others to license/sub-license) its software products;
 - v) **“Canada’s Data”** means any data originating from the Work, any data received in contribution to the Work or any data that is generated as a result of the delivery of security, configuration, operations, administration and management services, together with any data that would be transported or stored by the contractor or any subcontractor as a result of performing the Work under any resulting contract;

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and

- vi) **“Work”** means all the activities, services, goods, equipment, matters and things required to be done, delivered or performed by the contractor under any resulting contract.
- c) **Supply Chain Scope Diagram:** A supply chain scope diagram may be provided as a visual representation of the SCSI submission and assessment requirements described in further detail below. In the case of a discrepancy between the diagram and the process described in this document, this document will prevail.
- d) Offer Submission Requirements (mandatory prior to contract award):
 - i) Offerors must submit, prior to contract award, the following:
 - (A) **IT Product List:** Offerors must identify the Products over which Canada’s Data would be transmitted and/or on which Canada’s Data would be stored, or that would be used and/or installed by the Offeror or any of its subcontractors to perform any part of the Work, together with the following information regarding each Product:
 - (1) **Location:** identify where each Product is interconnected with any given network for Canada’s Data (identify the service delivery points or nodes, such as points of presence, third party locations, data centre facilities, operations centre, security operations centre, internet or other public network peering points, etc.);
 - (2) **Product Type:** identify the generally recognized description used by industry such as hardware, software, etc.; components of an assembled Product, such as module or card assembly, must be provided for all layer 3 internetworking devices;
 - (3) **IT Component:** identify the generally recognized description used by industry such as firewall router, switch, server, security appliance, etc.;
 - (4) **Product Model Name or Number:** identify the advertised name or number of the Product assigned to it by the Product Manufacturer;
 - (5) **Description and Purpose of the Product:** identify the advertised description or purpose by the Product Manufacturer of the Product and the intended usage or role in the Work described for the Project;
 - (6) **Source:** identify the Product Manufacturer and/or Software Publisher of embedded components;

Submitting the information set out above is mandatory. Canada requests that Offerors provide the IT Product List information by using the SCSI Submission Form, but the form in which the information is submitted is not itself mandatory. Canada also requests that, on each page, Offerors indicate their

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legal name and insert a page number as well as the total number of pages. Canada further requests that Offerors insert a separate row in the SCSI Submission Form for each Product. Finally, Canada requests that Offerors not repeat multiple iterations of the same Product (e.g., if the serial number and/or the color is the only difference between two Products, they will be treated as the same Product for the purposes of SCSI).

(B) **Network Diagrams:** one or more conceptual network diagrams that collectively show the complete network proposed to be used to perform the Work described in this solicitation of offers. The network diagrams are only required to include portions of the Offeror's network (and its subcontractors' networks) over which Canada's Data would be transmitted in performing any resulting contract. As a minimum, the diagram must show:

- (1) the following key nodes for the delivery of the services under any resulting contract:
 - (I) service delivery points;
 - (II) core network; and
 - (III) subcontractor network(s) (specifying the name of the subcontractor as listed in the List of Subcontractors);
- (2) the node interconnections, if applicable;
- (3) any node connections with the Internet; and
- (4) for each node, a cross-reference to the Product that will be deployed within that node, using the line item number from the IT Product List.

(C) **List of Subcontractors:** The Offeror must provide a list of any subcontractors that could be used to perform any part of the Work (including subcontractors affiliated or otherwise related to the Offeror) pursuant to any resulting contract. The list must include at a minimum:

- (1) the name of the subcontractor;
- (2) the address of the subcontractor's headquarters;
- (3) the portion of the Work that would be performed by the subcontractor; and
- (4) the location(s) where the subcontractor would perform the Work.

This list must identify all third parties who may perform any part of the Work, whether they would be subcontractors to the Offeror, or subcontractors to subcontractors of the Offeror down the chain. This means that every subcontractor that could have access to Canada's Data or would be responsible

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either for transporting it or for storing it must be identified. Subcontractors would also include, for example, technicians who might be deployed to maintain the Offeror's solution. For the purposes of this requirement, a third party who is merely a supplier of goods to the Offeror, but who does not perform any portion of the Work, is not considered to be a subcontractor. If the Offeror does not plan to use any subcontractors to perform any part of the Work, Canada requests that the Offeror indicate this in its offer.

e) Assessment of Supply Chain Security Information:

- i) Canada will assess whether, in its opinion, the SCSI creates the possibility that the Offeror's solution could compromise or be used to compromise the security of Canada's equipment, firmware, software, systems or information.
- ii) In conducting its assessment:
 - (A) Canada may request from the Offeror any additional information that Canada requires to conduct a complete security assessment of the SCSI. The Offeror will have 2 working days (or a longer period if specified in writing by the Contracting Authority) to provide the necessary information to Canada. Failure to meet this deadline will result in the offer being disqualified.
 - (B) Canada may use any government resources or consultants to conduct the assessment and may contact third parties to obtain further information. Canada may use any information, whether it is included in the offer or comes from another source, that Canada considers advisable to conduct a comprehensive assessment of the SCSI.
- iii) If, in Canada's opinion, there is a possibility that any aspect of the SCSI, if used by Canada, could compromise or be used to compromise the security of Canada's equipment, firmware, software, systems or information:
 - (A) Canada will notify the Offeror in writing (sent by email) and identify which aspect(s) of the SCSI is subject to concern(s) or cannot be assessed (for example, proposed future releases of products cannot be assessed). Any further information that Canada might be able to provide to the Offeror regarding its concerns will be determined based on the nature of the concerns. In some situations, for reasons of national security, it may not be possible for Canada to provide further information to the Offeror; therefore, in some circumstances, the Offeror will not know the underlying reasons for Canada's concerns with respect to a product, subcontractor or other aspect of the Offeror's SCSI.
 - (B) The notice will provide the Offeror with a minimum of 3 opportunities to submit revised SCSI in order to address Canada's concerns. The first revised SCSI must be submitted within the **10 calendar days** following the day on which Canada's written notification is sent to the Offeror (or a longer period specified in writing by the Contracting Authority). If concerns are identified by Canada regarding the first revised SCSI submitted after solicitation closing, the

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second revised SCSI must be submitted within **5 calendar days** (or a longer period specified in writing by the Contracting Authority). If concerns are identified by Canada regarding the second revised SCSI submitted after solicitation closing, the third revised SCSI must be submitted within **3 calendar days** (or a longer period specified in writing by the Contracting Authority).

With respect to the revised SCSI submitted each time, the Offeror must indicate in its response whether the revision affects any aspect of its technical offer or certifications. The Offeror will not be permitted to change any price in its offer, but will be permitted to withdraw its offer if it does not wish to honour the pricing as a result of required revisions to the SCSI. Each time the Offeror submits revised SCSI within the allotted time, Canada will perform a further assessment of the revised SCSI and the following will apply:

- (1) If, in Canada's opinion, there is a possibility that any aspect of the Offeror's revised SCSI could compromise or be used to compromise the security of Canada's equipment, firmware, software, systems or information, the Offeror will be provided with the same type of notice described under paragraph (e)(iii)(A) above. If, in Canada's opinion, the third post-solicitation-closing revised SCSI submission still raises concerns, any further opportunities to revise the SCSI will be entirely at the discretion of Canada and the offer may be disqualified by Canada at any time.
- (2) If the offer is not disqualified as a result of the assessment of the SCSI (as revised in accordance with the process set out above), after receiving the final revised SCSI, Canada will assess the impact of the collective revisions on the technical offer and certifications to determine whether they affect:
 - (I) the Offeror's compliance with the mandatory requirements of the solicitation;
 - (II) the Offeror's score under the rated requirements of the solicitation, if any; or
 - (III) the Offeror's ranking vis-à-vis other Offerors in accordance with the evaluation process described in the solicitation.
- (3) If Canada determines that the Offeror remains compliant and that its ranking vis-à-vis other Offerors has been unaffected by the revisions to the SCSI submitted after solicitation closing in accordance with the process described above, the Contracting Authority will recommend the top-ranked offer for contract award, subject to the provisions of the solicitation of offers.
- (4) If Canada determines that, as a result of the revisions to the SCSI submitted after solicitation closing in accordance with the process described above, the Offeror is either no longer compliant or is no longer the top-ranked Offeror, Canada will proceed to consider

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alternative offer(s) for contract award, subject again to the provisions of the solicitation relating to the assessment of the SCSI submitted at solicitation closing, and to the assessment of any revised SCSI submitted after solicitation closing in accordance with the above provisions.

- iv) By participating in this process, the Offeror acknowledges that the nature of information technology is such that new vulnerabilities, including security vulnerabilities, are constantly being identified. As a result:
 - (A) a satisfactory assessment does not mean that the same or similar SCSI will be assessed in the same way for future requirements; and
 - (B) during the performance of any contract resulting from this solicitation of offers, if Canada has concerns regarding certain products, designs or subcontractors originally included in the SCSI, the terms and conditions of that contract will govern the process for addressing those concerns.
- f) By submitting its SCSI, and in consideration of the opportunity to participate in this procurement process, the Offeror agrees to the terms of the following non-disclosure agreement (the “**Non-Disclosure Agreement**”):
 - i) The Offeror agrees to keep confidential and store in a secure location any information it receives from Canada regarding Canada’s assessment of the Offeror’s SCSI (the “**Sensitive Information**”) including, but not limited to, which aspect of the SCSI is subject to concern, and the reasons for Canada’s concerns.
 - ii) Sensitive Information includes, but is not limited to, any documents, instructions, guidelines, data, material, advice or any other information whether received orally, in printed form or otherwise, and regardless of whether or not that information is labeled as classified, confidential, proprietary or sensitive.
 - iii) The Offeror agrees that it will not reproduce, copy, divulge, release or disclose, in whole or in part, in whatever way or form any Sensitive Information to any person other than a person employed by the Offeror who has a need to know the information and has a security clearance commensurate with the level of Sensitive Information being disclosed, without first receiving the written consent of the Contracting Authority.
 - iv) The Offeror agrees to notify the Contracting Authority immediately if any person, other than those permitted by the previous Sub-article, accesses the Sensitive Information at any time.
 - v) The Offeror agrees that a breach of this Non-Disclosure Agreement may result in disqualification of the Offeror at any stage of the procurement process, or immediate termination of a resulting contract or other resulting instrument. The Offeror also acknowledges that a breach of this Non-Disclosure Agreement may result in a review of the Offeror’s security clearance and a review of the Offeror’s status as an eligible Offeror for other requirements.

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- vi) All Sensitive Information will remain the property of Canada and must be returned to the Contracting Authority or destroyed, at the option of the Contracting Authority, if requested by the Contracting Authority, within 30 days following that request.
- vii) This Non-Disclosure Agreement remains in force indefinitely. If the Offeror wishes to be discharged from its obligations with respect to any records that include the Sensitive Information, the Offeror may return all the records to an appropriate representative of Canada together with a reference to this Non-Disclosure Agreement. In that case, all Sensitive Information known to the Offeror and its personnel (i.e., Sensitive Information that is known, but not committed to writing) would remain subject to this Non-Disclosure Agreement, but there would be no further obligations with respect to the secure storage of the records containing that Sensitive Information (unless the Offeror created new records containing the Sensitive Information). Canada may require that the Offeror provide written confirmation that all hard and soft copies of records that include Sensitive Information have been returned to Canada.

8. Financial Proposal.

8.1. Financial Offer. Offerors must submit their financial offer in accordance with the ISC-WP submission form.

The maximum contract value will respect the limits of the maximum per Contract amounts under the initial ISC Contract as follows:

- \$2,300,000.00 (Applicable Taxes, shipping and Travel and Living expenses are extra, as applicable).

Should an offer be matched with a Government of Canada testing department, it is at the discretion of ISC and Testing Departments to determine the final scope of the test plan and the resulting Statement of Work (SOW) will be jointly agreed upon by the Offeror and the Testing Department. The financial proposal submitted will then be negotiated in line with the final scope of the test plan and in accordance with the Contract Award Process outlined herein.

The Financial Proposal must not include costs for commercial development activities such as quantity production, supply to establish commercial viability, integration, customization, incremental adaptations and improvements to existing products or processes that have been previously commercialized, third party tested or for the cost of obtaining health and safety / regulatory certifications.

8.2. Exchange Rate Fluctuation. Canada is not offering exchange rate fluctuation risk mitigation for this solicitation of offer. Canada will declare any offer non-compliant if there is any indication that offer is conditional on exchange rate fluctuation protection.

9. Technical Evaluation.

9.1. Four Stage Evaluation Process.

For the purposes of this solicitation, Canada will utilize a four stage offer evaluation process:

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- 1) **Stage 1 – Mandatory Technical Criteria.** Offers must meet all Mandatory Technical Criteria requirements identified in the evaluation grid at Stage 1 - Mandatory Technical Criteria, at Annex Technical Criteria, in order to proceed to the next stage of the evaluation. Offers that do not meet all mandatory technical criteria will be declared non-responsive.
- 2) **Stage 2 – Screening Criteria (SC).** Offers must meet all Stage 2 Screening Criteria requirements identified in the evaluation grid at Stage 2 – Screening Criteria (SC), at Annex Technical Criteria, in order to proceed to the next Stage of the evaluation. Offers that do not meet all Stage 2 Screening Criteria will be declared non-responsive.
- 3) **Stage 3 - Point-Rated Screening Criteria (PS).** Offers must obtain the minimum point rating score for all Stage 3 Point-Rated Screening Criteria requirements identified in the evaluation grid at Stage 3 – Point Rated Screening Criteria (PS), at Annex Technical Criteria, in order to proceed to the next Stage of the evaluation. Offers that do not meet a minimum point-rating score for all PS criteria will be declared non-responsive.
- 4) **Stage 4 - Point Rated Criteria (PR).** Offers that meet all prior requirements will be evaluated and scored in accordance with the Stage 4 – Point Rated Criteria (PR), identified at Annex Technical Criteria.

9.2. Mandatory Technical Criteria. Canada will review each offer for compliance with the mandatory technical criteria of the solicitation of offers. Any element of the technical criteria identified specifically with the words “must” or “mandatory” is a mandatory requirement. The mandatory technical criteria are described below at Annex Technical Criteria.

9.3. Point-Rated Technical Criteria. Canada will rate each Offer by assigning a score to the rated requirements, identified in the solicitation of offers by the word "rated" or by reference to a score. Offerors who fail to submit complete offers with all the information requested by this solicitation of offers will be rated accordingly. The point-rated technical criteria are described below at Annex Technical Criteria.

10. Financial Evaluation.

10.1. Evaluation of Price. Canada will evaluate all offers in Canadian dollars, Applicable Taxes excluded, delivery, and Canadian customs duties and excise taxes included.

10.2. Price Justification. For all qualified offers eligible for contract award, the Offeror must provide, on Canada's request, one or more of the following:

- a. a copy of paid invoices for the like quality and quantity of the goods, services, or both sold to other customers;
- b. a price breakdown of all costs (including labour, materials, transport, general and administrative overhead, transportation, etc.) and profit;
- c. price or rate certifications; and
- d. any other supporting documentation that Canada may request.

11. Evaluation Procedures.

11.1. Assessment. Canada will assess offers in accordance with the entire requirement of the solicitation of offers including the Technical evaluation criteria. Canada will declare any offer that fails to meet all mandatory solicitation requirements non-compliant.

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11.2. Conduct of Evaluation.

- a. **Support for Offer Requirements.** Canada may, but will have no obligation to, do the following:
 - i. seek clarification or verification as to any information provided,
 - ii. contact any references to verify any information it submitted,
 - iii. request information about the Offeror's legal status,
 - iv. conduct a survey of the Offeror's facilities,
 - v. examine the Offeror's technical, managerial, and financial capabilities,
 - vi. correct any error in
 1. the extended pricing of offers by using unit pricing, or
 2. the quantities in offers to reflect the quantities stated in the solicitation of offers (and, in the case of error in the extension of prices, the unit price will govern),
 - vii. verify any information the Offeror provided, or
 - viii. interview, at the Offeror's sole cost, the Offeror, any resources it proposes to fulfill the solicitation of offers requirements or both.
- b. **Compliance.** The Offeror must comply with any such request within the time specified in Canada's request. Failure to comply will render the offer non-compliant.

11.3. Evaluation Based on Documents Provided. Unless otherwise specified in this solicitation of offers, Canada will evaluate only the documentation provided with the offer. Canada will not consider information such as references to website addresses where additional information can be found, or technical manuals or brochures not submitted with the offer.

11.4. Evaluation Team. An evaluation team composed of representatives of Canada will evaluate the offers. Canada may hire any independent consultant, or use any Government resources, to evaluate any offer. Not all members of the evaluation team will necessarily participate in all aspects of the evaluation.

11.5. Rights of Canada. Canada may:

- a. reject any or all offers in response to the solicitation of offers;
- b. enter into negotiations with Offerors on any or all aspects of their offers;
- c. accept any offer in whole or in part without negotiations;
- d. cancel the solicitation at any time;
- e. reissue the solicitation;
- f. if no compliant offers are received and the requirement is not substantially modified, reissue the solicitation of offers by inviting only the Offerors who submitted an offer to resubmit within a period designated by Canada; or
- g. negotiate with the sole compliant Offeror to ensure the best value to Canada.

11.6. Rejection of Offer.

- a. **Corrective Measure Rejection.** Canada **will** reject an offer where the Offeror or subcontractor included as part of the offer is subject to a corrective measure, following an assessment under the Vendor Performance Corrective Measure (VPCM) Policy, which renders them ineligible to offer on the requirement.
- b. **Rejection for Other Causes.** Canada **may** reject an offer where:
 - i. **Bankruptcy.** The Offeror is bankrupt or its activities are inoperable for an extended period;
 - ii. **Improper Conduct.** The Offeror or an employee or subcontractor included as part of the offer:

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1. based on evidence satisfactory to Canada, has committed fraud, bribery, fraudulent misrepresentation or failed to comply with laws protecting individuals against any manner of discrimination;
2. based on evidence satisfactory to Canada, has conducted themselves improperly in the past;
- iii. **Suspension or Termination.** The Offeror or an employee or subcontractor included as part of the offer has been suspended or terminated by Canada for default under a contract with Canada;
- iv. **Poor Performance.** In Canada's opinion, the Offeror's performance on other contracts, including the efficiency and workmanship as well as the extent to which the Offeror performed the work in accordance with contractual clauses and conditions, is sufficiently poor to jeopardize the successful completion of the requirement;
- v. **Not Good Value.** In Canada's opinion, it does not offer good value to Canada;
- vi. **Prejudicing Integrity or Fairness - Multiple Offers from Single Offeror or Joint Venture.** Canada may apply additional scrutiny when it receives multiple offers in response to a solicitation of offers from a single Offeror or a Joint Venture. Canada may reject any offer submitted by a single Offeror or Joint Venture if their inclusion
 1. in the evaluation has the effect of prejudicing the integrity and fairness of the process, or
 2. in the procurement process would distort the solicitation of offers evaluation or would not provide good value to Canada.
- vii. **Ability to Make Representations.** If Canada intends to reject an offer under (iii) or (iv), the Contracting Authority will inform the Offeror and give the Offeror ten calendar days within which to make representations, before making a final decision on the offer rejection.

12. Basis of Selection.

12.1. Procurement Approach. This Solicitation of Offers involves a Two-Step Offer Evaluation Process:

Step 1 – Offer Submission, Evaluation and Selection:

Offerors should consult the evaluation criteria detailed at Section 9, Technical Evaluation, which forms part of this Solicitation of Offers. This evaluation criteria will be used in the offer evaluation process. Step 1 will result in a pool of conditionally qualified offers.

Step 2 - Contract award Process:

Conditionally qualified offers that are selected for testing will move to Step 2 and be subject to the Contract Award Process that is led by the Contracting Authority.

Canada reserves the right to require that all Work, including delivery of the Innovation, be completed within 12 months from the date of any resulting contract award.

12.2. Minimum Point-Rating.

- a. **Compliant Offers.** For Canada to declare an offer compliant, the offer must:
 - i. comply with all the requirements of the solicitation of offers; and
 - ii. meet all mandatory technical evaluation criteria; and

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iii. obtain the required minimum of 60 points overall for the technical evaluation criteria which are subject to point rating. The rating is performed on a scale of 96 points.

- b. **Compliance.** Canada will declare non-compliant offers not meeting the requirements specified in the above sub-clause entitled "Compliant Offers".
- c. **Basis of Selection.** Canada will make its selection based on the compliant offer's successful completion of the technical evaluation criteria.

13. Program Requirements and Eligibility.

13.1. Pool of conditionally qualified offers. The purpose of the pool is to create a list of potential innovations that ISC and participating departments may select from. Participating departments are not limited to those listed in the problem statements. All offers in the conditionally qualified pool will be considered for matching and Contract Award Process. Offers which earn the highest overall pass mark may not be the offers selected. Selection from a pool does not guarantee that a contract will be awarded. The Contract Award Process outlined in the clause entitled "Contract Award Process" must be completed prior to a contract being awarded.

13.2. Method of selection. Once interest in a conditionally qualified offer has been expressed by ISC and participating departments, the Innovative Solutions Canada program (ISC) will work with the Government of Canada organization and the Offeror to develop demonstration scenarios for the conditionally qualified offer in an operational environment setting.

The Innovative Solutions Canada (ISC) program will seek to match all conditionally qualified offers to identify a Technical Authority who will be responsible for the testing and assessment of the Innovation. Information provided in the offer will be used to promote the Innovation to the interested Testing organization. It is important to note that the ISC program will procure Innovations based on operational needs of and for goods and services that support the testing organization's mandate.

An assessment by the ISC program will take place on a case-by-case basis to determine whether the program will proceed with funding approval. The following factors will be considered:

- Applicability of the innovation demonstration scenario to the mandate of the Government of Canada testing organization;
- Level of interest expressed in the innovation from across the Government of Canada (i.e. has there been significant/widespread interest expressed to the program regarding the innovation);
- Benefit of the innovation demonstration scenario to Government of Canada;
- Location(s) of the test, testing objectives, security requirements, and any other strategic considerations regarding the innovation;
- Readiness of the innovation for testing deployment in the operational environment identified;
- Alignment of project funding with program budget, considering both availability of program funding and the overall cost of the innovation stipulated in the Offeror's offer.

13.3. Offer selection scenarios. Two scenarios exist for offer selection:

- 1) The offer is reviewed and, if compliant, placed in the conditionally qualified pool. Canada may, at its sole discretion and at any time during the conditional qualification period, select one or more offers from the pool for contract negotiations. Any selected offer will then follow the Contract Award Process outlined in the clause entitled "Contract Award Process".

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- 2) The offer is reviewed but not selected; however, it has been placed in the conditionally qualified pool.

13.4. Consideration for contract award process. To be considered for contract award an offer must:

- a) **be placed in the Conditionally Qualified Pool**, meaning the offer has been reviewed for compliance and has met all mandatory and technical requirements of this Solicitation of Offers;
- b) **be selected from the Conditionally Qualified Pool by a Government of Canada department**, noting that expression of interest by a department does not automatically advance an offer to contract negotiations. Canada retains full discretion to determine which conditionally qualified offer(s) proceed to the Contract Award Process;
- c) **successfully complete the Contract Award Process**, as detailed in the immediately following clause entitled "Contract Award Process", before the expiry of the conditional qualification period.

13.5. Contract award process. Once an innovation is matched with an interested department, the innovation will proceed with the Contract Award Process detailed below. Recommendation for contract award will be determined based on the available budget and the success in completing the Contract Award Process. The Offeror will be informed of the match by ISC.

Contract award process:

- a) **Statement of Work (SOW).** Once a match has been identified, the ISC program will facilitate collaboration between the Testing Department's Technical Authority and the Offeror to develop a Statement of Work (SOW), based on the available budget and to be informed by the proposed demonstration scenario and the Financial Offer. The SOW is negotiated to ensure both the Offeror's and testing Department's needs are met within the framework of the Program. The SOW must represent a benefit to Canada. Once accepted by the testing department and the Offeror, the final SOW will be presented to the Client Authority for approval. If approved, the SOW will be sent to the Contracting Authority for review and inclusion into the resulting Contract.
- b) **Financial Capability and Certifications.** The Contracting Authority may request financial information to verify the Offeror's capacity to undertake the Work. If an Offeror fails to demonstrate adequate financial resources to complete the Work a contract may not be awarded. The following financial documents may be requested by the Contracting Authority:
 - Audited and/or unaudited financial statements
 - Balance sheet
 - Statement of retained earnings
 - Income statement
 - Detailed monthly cash-flow statement
 - Statement showing bank account balance
 - Certification from authorized signing officer attesting to the accuracy of information
 - Any other financial-related documents

Should an Offeror fail to demonstrate adequate financial resources to complete the Work, or fails to provide the certifications and additional information, the offer will be considered non-responsive and given no further consideration.

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- c) **Contract Negotiations.** Upon completion of the SOW, the Contracting Authority will initiate the negotiations for the following:
- request a cost breakdown and provision of price support from the Offeror to support the costs;
 - request additional certifications and other information required before contract award; and
 - provide a draft copy of the contract terms and conditions.

The Contracting Authority will verify that all costs are fair and reasonable. If a cost cannot be supported the cost may not be included in the contract. Failure to achieve pricing consensus on any aspect of the negotiations will result in the offer being set aside and not given any further consideration.

- d) **Contract Award.** Upon successful completion of the Contract Award Process offers will be recommended for contract award.

14. Estimated Funding. The total estimated program funding available for all Contracts resulting from this Solicitation of Offers is: \$20M CAD. This estimated program funding is not a contract guarantee. Disclosure is made in good faith and does not commit Canada to contract for the total estimated funding amount.

The maximum contract value will respect the limits of the maximum per Contract amounts under the initial ISC Testing Stream Contract as follows:

- \$2,300,000.00 CAD (Applicable Taxes, shipping and Travel and Living expenses are extra, as applicable).

The maximum contract value under this solicitation is \$2.3M CAD. Any amount proposed above \$2.3M CAD will be treated as an in-kind contribution unless and until it is formally approved by the ISC program. Any consideration of a higher contract value is at Canada's sole discretion. Exceptions may be considered where a higher value is clearly justified to support the effective testing or validation of the innovation. In all cases, the total contract value shall not exceed \$10M CAD.

15. Pathway to Commercialization. The Pathway to Commercialization program is intended to establish a list ("PTC List") of qualified innovations developed under the ISC Program that are at or beyond TRL 9, in accordance with Annex Technology Readiness Level, and are ready for commercialization. The PTC List is a list that departments may consult as an option to meet their requirements.

Only eligible small businesses who have received and completed an initial ISC contract as a result of Solicitation of Offers **EN578-26ISC1** (TS13), and whose innovation has reached TRL 9 and are ready for market may participate in the Pathway to Commercialization process as per the PTC Framework outlined at 15.3 below. To be placed on the PTC List, small businesses will be required to initially certify that they are a small business, demonstrate how their innovation continues to meet their respective ISC requirements, and provide a realistic commercialization plan. Should an Offeror qualify, the Small Business certification will be thoroughly re-validated prior to each contract award process. Eligible small businesses who wish to participate will be required to comply with and meet the Entry Criteria outlined at Annex Pathway to Commercialization Entry Criteria. The innovation inclusion onto the PTC List will

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remain active for a period of up to three years after notice of qualification. Canada has no obligation to procure from this list and will determine the procurement strategy for each potential contract. Additionally, eligible small businesses will be required to agree to the new terms and conditions of any resulting Contract.

The Offeror is solely responsible for all costs associated with preparing and submitting its application to the PTC list, as well as any costs it incurs in preparing and submitting any offers for potential Pathway to Commercialization contracts.

Small businesses who apply and successfully enter the Pathway to Commercialization will not be admissible for any subsequent purchases as per the framework outlined in Section 18 Subsequent Purchases Contract. These small businesses will be added to the PTC list for the Pathway to Commercialization.

15.1. Entry period. The entry period to be added to the PTC List will begin upon successful completion of the initial ISC testing contract resulting from Solicitation of Offers **EN578-26ISC1** (TS13) and end 12 months later. If during this 12 month period an eligible small business has not submitted an application to the Pathway to Commercialization, the small business will no longer be able to enter the Pathway to Commercialization.

15.2. Objective. The objective of Pathway to Commercialization is to create a list of innovations that departments may consider as options to meet their requirements.

15.3. PTC framework. All Contracts will be issued in accordance with the Treasury Board of Canada Secretariat (TBS) Directive on Management of Procurement and the following framework:

- a) **Funding:** Contracts will be funded by a Government of Canada Organization interested in purchasing the Innovation.
- b) **Maximum Contract Dollar value:** Will be determined by Canada for each contract.
- c) **Eligible Innovations:** Innovations eligible for a contract must be the same or an improved version of the same Innovation tested under the initial ISC Stream.
- d) **Contract Period:** Will be determined by Canada for each contract.
- e) **Contracting Authority:** Public Works and Government Services Canada will be the Contracting Authority.
- f) **Required documents:** The Government of Canada Department interested in procuring an innovation from the PTC List will be responsible for the development of the Statement of Work (SOW) including performance metrics and, if applicable, the Security Requirement Check List (SRCL).
- g) **Terms and conditions:** Contracts for Innovations will be aligned with government standard and commodity-specific terms and conditions.
- h) **Price:** Depending on the procurement strategy, price may be determined through a competitive process, or in the case of non-competitive process, Canada will ensure that fair and reasonable prices are negotiated. The Contracting Authority will verify that all costs are fair and reasonable. Failure to achieve consensus on any aspect of the negotiations will result in the offer being set aside and not given any further consideration.

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- i) **Procurement Strategy:** Canada will determine the procurement strategy for each potential PTC contract, which may include a competitive or non-competitive approach. The PTC List does not confirm an exemption from the requirement for competition.

16. Trade agreements. Due to the nature of this solicitation of offers, the applicable trade agreements are identified separately below for the research and development portion of the requirement and for the Pathway to Commercialization (commercial acquisition from qualified Canadian small businesses) portion of the requirement.

Canadian Free Trade Agreement (CFTA)

Research and Development: The CFTA is applicable to this requirement.

Pathway to Commercialization:

This procurement is set aside from the CFTA in accordance with Article 504, item 13, which states:

This Chapter does not apply to procurement that is part of a small business set-aside program provided that the program is fair, open, transparent, and does not discriminate on the basis of origin or location within Canada of goods, services, or suppliers.

World Trade Organization – Agreement on Government Procurement (WTO-AGP)

Research and Development: Research and Development services are excluded from the application of the WTO-AGP under Appendix 1, Annex 4 as they are not one of the applicable commodities listed in this agreement.

Pathway to Commercialization:

This procurement is set aside from the WTO-AGP in accordance with Appendix 1, Canada's General Notes, article 1(d), which states:

Notwithstanding anything in these Annexes, the Agreement does not apply to procurements in respect of:

(d) set-asides for small and minority businesses;

Canada-European Union Comprehensive Economic and Trade Agreement (CETA)

Research and Development: Research and Development services are excluded from the CETA as per Annex 19-5 as they are not one of the applicable commodities listed in this agreement.

Pathway to Commercialization (PTC):

Notwithstanding the Research and Development contracts exclusions above, PTC Contracts are considered commercial and therefore the CETA is applicable for any resulting PTC Contracts.

Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP)

Research and Development: Research and Development services are excluded from the CPTPP as per Annex 15-A – Schedule of Canada, Notes to Section E, item 1 which states:

Chapter 15 (Government Procurement) shall not cover procurement of the following:

(a) Services for the management and operation of government facilities or privately owned facilities used for government purposes, including federally-funded research and development;

Pathway to Commercialization:

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This procurement is set aside from the CPTPP in accordance with Chapter 15 A, Section G.3.(a), which states:

Chapter 15 (Government Procurement) shall not apply to:

(a) any form of preference, including set asides, to benefit micro, small and medium enterprises;

Canada - Chile Free Trade Agreement (CCFTA)

Research and Development: Research and Development services are excluded from the CCFTA as per Annex Kbis-01.1-4 Services, Section B excluded services.

Section B - Excluded Coverage: Services - Exclusions by Major Service Category

A. Research & Development, all Classes

Pathway to Commercialization:

This procurement is set aside from the CCFTA in accordance with Annex Kbis-01.1-6 General Notes

This Chapter does not apply to procurements in respect of:

d. set-asides for small and minority businesses

Canada - Colombia Free Trade Agreement (FTA)

Research and Development: Research and Development services are excluded from the FTA as per Annex 1401-4 Services, Section B, Part 1, excluded services:

A. Research & Development, all Classes

Pathway to Commercialization:

This procurement is set aside from the FTA in accordance with Annex 1401-6 General Notes

This Chapter does not cover procurements in respect of:

4. Set-asides for small and minority businesses

Canada - Honduras Free Trade Agreement

Research and Development: Research and Development services are excluded from the Canada – Honduras Free Trade Agreement as per Annex 17.4, Section B Excluded coverage, Part I - Service Exclusions by Major Service Category:

A. Research & Development, all Classes

Pathway to Commercialization:

This procurement is set aside from the Canada – Honduras Free Trade Agreement in accordance with Annex 17.6: General Notes

1. Chapter Seventeen does not apply to a procurement in respect of:

(d) set-asides for small and minority businesses

Canada - Korea Free Trade Agreement

Research and Development: Research and Development services are excluded from the Canada – Korea Free Trade Agreement as per Annex 14-C of Chapter Fourteen: Government Procurement. This Chapter covers the Universal list of Services applicable to this Agreement unless otherwise specified.

This Chapter does not cover procurement of the following:

(a) services for the management and operation of government facilities or privately owned facilities used for government purposes, including federally-funded research and development;

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Pathway to Commercialization:

This procurement is set aside from the Canada – Korea Free Trade Agreement in accordance with Annex 14-E General Notes.

2. This Chapter does not apply to:

(a) set-asides for small and minority owned businesses;

Canada - Panama Free Trade Agreement

Research and Development: Research and Development services are excluded from the Canada – Panama Free Trade Agreement as per Annex 5 Services, Section B, Part 1, excluded coverage:

A. Research & Development, all Classes

Pathway to Commercialization:

This procurement is set aside from the Canada - Panama Free Trade Agreement in accordance with Annex 7: General Notes

1. This Chapter does not cover procurements in respect of:

d. set-asides for small and minority businesses

Canada - Peru Free Trade Agreement

Research and Development: Research and Development services are excluded from the Canada-Peru Free Trade Agreement (CPFTA), as per Annex 1401.1-4 Section B, Excluded Services, Part 1:

The Chapter does not cover the following services by entities listed in Annex 1401.1-1 and Annex 1401.1-2:

A. Research & Development, all Classes

Pathway to Commercialization:

This procurement is set aside from the Canada - Peru Free Trade Agreement in accordance with Annex 1401.1-6 General Notes

1. This Chapter does not cover procurements in respect of:

d. set-asides for small and minority businesses

Canada - United Kingdom Trade Continuity Agreement (Canada-UK TCA)

Research and Development: Research and Development services are excluded from the Canada-UK TCA as per the CETA Annex 19-5 as they are not one of the applicable commodities listed in this agreement.

Pathway to Commercialization (PTC):

Notwithstanding the Research and Development contracts exclusions above, PTC Contracts are considered commercial and therefore the Canada-UK TCA is applicable for any resulting PTC Contracts.

Canada - Ukraine Free Trade Agreement (CUFTA)

Research and Development: Research and Development services are excluded from the CUFTA as per Annex 11-B.4 Services:

This Chapter covers all services procured by the entities included in Annexes 11-B.1 and 11-B.2 except for: (c) research and development services identified in division 85 of the United Nations Provisional Central Product Classification (CPC Prov.), which may be found at:

<http://unstats.un.org/unsd/cr/registry/regcst.asp?Cl=9&Lq=1> ;

Pathway to Commercialization:

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This procurement is set aside from the CUFTA in accordance with Annex 11-A.6: General Notes

2. This Chapter does not apply to any form of preference, including set asides, to benefit micro, small, and medium enterprises

Summary

<u>Trade Agreement</u>	<u>Applicable to Offers under the research and development portion of this requirement</u>	<u>Applicable to Pathway to Commercialization Offers</u>
Canadian Free Trade Agreement (CFTA)	YES	NO
World Trade Organization – Agreement on Government Procurement (WTO-AGP)	NO	NO
Canada-European Union Comprehensive Economic and Trade Agreement (CETA)	NO	YES
Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP)	NO	NO
Canada - Chile Free Trade Agreement (CCFTA)	NO	NO
Canada - Colombia Free Trade Agreement (FTA)	NO	NO
Canada - Honduras Free Trade Agreement	NO	NO
Canada - Korea Free Trade Agreement	NO	NO
Canada - Panama Free Trade Agreement	NO	NO
Canada - Peru Free Trade Agreement	NO	NO
Canada - United Kingdom Trade Continuity Agreement (Canada-UK TCA)	NO	YES
Canada - Ukraine Free Trade Agreement (CUFTA)	NO	NO

17. Public announcements.

17.1. For Department of National Defence (DND). For contracts awarded on behalf of the Department of National Defence (DND), the Government of Canada retains the right to make primary contract announcements. The Contractor must consult Canada, after contract award, about all proposed news releases or public announcements relating to the Contract. This is to provide all parties sufficient notice of key project communications, and, where appropriate, the time to determine a course of action (including a mutually agreed date and location), line up representatives and prepare joint material.

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Notwithstanding the advance notice requirement, consent shall not be unreasonably withheld by either Party if a news release or public announcement must be issued in less than 15 business days as the result of unforeseeable circumstances, including matters of public safety or where an emergency response is required.

17.2. For non-DND. As a courtesy and in order to coordinate any public announcements pertaining to any resulting contract, the Government of Canada requests that successful Offerors notify the Contracting Authority 5 business days in advance of their intention to make public an announcement related to a conditional-qualification, a contract award, or any information related to the contract. The Government of Canada retains the right to make primary contract announcements.

18. Pool of conditionally-qualified offers. The purpose of the pool is to create a list of innovations that ISC and participating departments may select from.

- a) Placement into the Pool does not guarantee that an offer will be selected or that a contract will be awarded.
- b) Offers that are deemed compliant and meet all other requirements of the Solicitation of Offers will be considered conditionally qualified and placed in a pool for the duration of the conditional qualification period. Once a conditional qualification period expires, an offer is no longer considered conditionally qualified and cannot be considered for contract award.
- c) The Conditional Qualification period:
The conditional qualification period will begin on the date initial debrief letters are sent out.
The conditional qualification period will end once the Program funding has expired OR on the same date the offer validity expires, whichever comes first.
Canada Reserves the right to modify the conditional qualification period at any time prior to its expiration for any reason.
- d) The establishment of pools does not constitute a commitment on the part of Canada to award contracts. Section 12.5 Contract Award Process outlines the requirements to be considered for contract award. The conditionally qualified pool will be published on the ISC program website.

19. Subsequent purchases contracts. The objective of subsequent purchases Contracts is to allow the same, different or several Government of Canada departments to conduct further testing of Innovations acquired under ISC in a different environment, under different conditions or in order to broaden the base of test results.

19.1. Subsequent purchases period. The period to award a research and development (R&D) Contract (also referred to as “subsequent purchases Contracts”) to acquire additional quantities under the subsequent purchases for testing component of the ISC begins on the date indicated on page 1 of the initial ISC contract and ends on the same date three (3) years later.

19.2. Subsequent purchases framework. Additional information on Subsequent Purchase Contracts is provided below.

- a) **Funding:** Subsequent purchases R&D Contracts will be funded by the Government of Canada Department(s).

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- b) **Maximum Contract Value:** The maximum contract value will respect the limits of the maximum per Contract amounts under the initial ISC Testing Stream Contract as follows:

- \$2,300,000.00 CAD (Applicable Taxes, shipping and Travel and Living expenses are extra, as applicable).

The maximum contract value under this solicitation is \$2.3M CAD and must not be exceeded. Any amount proposed above \$2.3M CAD will be treated as an in-kind contribution unless and until it is formally approved by the ISC program. Any consideration of a higher contract value is at Canada's sole discretion. Exceptions may be considered where a higher value is clearly justified to support the effective testing or validation of the innovation. In all cases, the total contract value shall not exceed \$10M CAD.

- c) **Eligible Innovations:** Innovations eligible for subsequent purchases must be the same or an improved version of the same Innovation tested under the initial ISC contract.
- d) **Subsequent purchases quantities:** A limited quantity of the Innovation may be tested. Mass production is not permitted. The definition of "limited quantity" and "mass production" are defined at Annex Contract Definitions.
- e) **Duration of subsequent purchases contract:** Contract duration will be determined on a case by case basis. In general, the contract period for subsequent purchases will not exceed 12 months.

Parameters that could impact the contract duration include:

- i. Time required to conduct the test plan;
- ii. Seasonal requirements;
- iii. Manufacturing lead time;
- iv. Government of Canada department operational requirements, financial resources & personnel availability; and
- v. Security Requirements.

- f) **Contracting Authority:** Public Services and Procurement Canada, Research and Development Procurement Directorate (RDPD) will be the Contracting Authority for any resulting contract.
- g) **Required documents:** The Government of Canada department(s) will be responsible for the development of the Statement of Work (SOW) including the Innovation demonstration scenario, performance metrics and, if applicable, the Security Requirements Check List (SRCL).
- h) **Government of Canada department Attestation:** For all subsequent purchases, Canada will be required to attest that their requirement fits under the scope of the ISC and is meant to be for testing purposes.
- i) **Support:** ISC will support the Government of Canada Department(s) by providing a SOW template and the original ISC contract SOW.
- j) **Limitations:**
- i. For Innovations that involve licenced software or software as a service (SaaS) subscription:

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1. Entity (enterprise) licences will not be permitted;
 2. Maximum period for a software licence or SaaS subscription will be 12 months, or less, based on term of Contract; and
 3. Licences and SaaS subscriptions must be scaled to the test plan in the SOW.
- ii. Procurements under subsequent purchases contracts will not create a fully installed or permanent operating base for the purposes of sole-source justification for future procurements.
 - iii. There will be a limit of three (3) subsequent purchases Contracts per Innovation.
- k) **Terms and conditions:** R&D contracts for subsequent purchases for testing Innovations will be negotiated under the same terms, conditions and pricing structure as the initial ISC contract.
- l) **Offer Costs:** The Offeror is solely responsible for all costs associated with preparing and submitting Subsequent Purchase offers, as well as any costs it incurs in the negotiation of any resulting contracts.

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20. Problem Statements.

20.1. Theme 1: Trust & Verification in Digital Government: Strengthening trust in digital interactions by ensuring that identities, credentials, and system-to-system exchanges are verifiable and interoperable across Government of Canada (GC) services.

a. Problem Statement: Supplier verification and decentralized credentialing .

Preamble:

The Government of Canada (GC) relies on a wide network of suppliers to deliver goods and services. For small and medium-sized enterprises (SMEs), demonstrating verified “Government of Canada supplier” status is important to demonstrate credibility and access opportunities. Current processes for validating and displaying supplier status depend on centralized systems and manual intervention by Public Services and Procurement Canada (PSPC), which can introduce delays, administrative burden, and limit scalability.

Technologies that leverage digital credentials, identity and trust frameworks, as well as automated verification infrastructure present an opportunity to modernize how supplier credentials are issued, verified, and shared. These technologies can enable tamper-resistant, real-time validation of supplier status while reducing reliance on manual processes and intermediaries.

The GC is interested in testing solutions to enable suppliers to independently display and verify a “Government of Canada supplier” status. These solutions should support secure credential issuance, real-time validation, interoperability across platforms, and alignment with federal standards for data protection, identity management, and digital trust. The solutions will interface with publicly available data to determine supplier status and generate a tamper-proof and real-time verifiable, portable credential.

Definitions:

- **Blockchain (distributed ledger technology):** A decentralized and distributed digital ledger that records transactions across multiple systems in a way that ensures data integrity, transparency, and immutability without requiring a central authority.
- **Digital credential:** A verifiable digital representation of a qualification, status, or attribute (such as supplier certification) that can be securely issued, stored, and shared electronically.
- **Decentralized identity (DID):** A model for managing digital identities that allows individuals or organizations to control their own identity information without relying on a central authority.
- **Smart contract:** Self-executing code stored on a blockchain that automatically enforces rules or agreements when predefined conditions are met.
- **Verification:** The process of confirming the authenticity and validity of a supplier’s status or credentials through cryptographic or authoritative means.

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Outcomes:

Innovations must meet at least one or more of the following outcomes to fulfill the requirements of the Screening Criteria 4 Evaluation Grid:

1. Solutions that enable the GC to issue secure, tamper-resistant digital credentials that can confirm a company's supplier to the GC status. Solutions must provide suppliers with embeddable, dynamic trust indicators that are capable of interactive verification by users in a single click or scan. Solutions must allow suppliers to easily display and share their verified GC supplier status (e.g., via websites, procurement platforms, or digital profiles) without requiring manual PSPC intervention (supplier self-service verification tools).

Out of scope:

Innovative Solutions Canada (ISC) will not accept any of the following:

- Solutions that rely solely on manual validation processes or require ongoing PSPC intervention for credential display or verification.
- Solutions that do not incorporate secure methods for preventing credential tampering, fraud, or unauthorized access.
- Solutions that fail to comply with applicable federal policies on privacy, security, and digital trust.

20.2. Theme 2: Enhancing Capabilities in Complex Environments: Enhancing Government of Canada operational awareness and response capacity through resilient, interoperable capabilities that enable sensing, communications, and effective action in remote, austere, maritime, and Arctic/coastal environments.

a. Problem Statement: Docked Remotely Piloted Aircraft Systems (RPAS) and Remote Operations Enablement (Short range and Extended Range).

Preamble:

Traditional RPAS solutions are often constrained by manual deployment requirements, limited endurance in harsh climates, and insufficient validation for persistent or remote operations. Traditional RPAS deployments rely on manual launch and recovery, local pilot presence, and limited persistence, which restrict responsiveness and scalability. The RCMP is interested in testing docked RPAS systems that can autonomously launch, recover, recharge, and remain on standby at RCMP facilities or onboard mobile assets.

Government security and law enforcement organizations, including the Royal Canadian Mounted Police (RCMP), require Remotely Piloted Aircraft Systems (RPAS) capabilities that can safely operate in remote locations and under challenging environmental conditions.

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Definitions:

- Remotely Piloted Aircraft System (RPAS): refers to a system consisting of a remotely piloted aircraft (commonly known as a drone), its control station, and all associated equipment necessary for safe operation.

Outcomes:

Innovations must meet at least one or more of the following outcomes to fulfill the requirements of the Screening Criteria 4 Evaluation Grid:

2. Solutions that can enable autonomous landing and launch from fixed or moving docks, or;
3. Solutions that can establish secure remote operation or supervisory control of RPAS assets from centralized locations.

b. Problem Statement: Arctic and Coastal Remotely Piloted Aircraft Systems (RPAS).

Preamble:

The operations of the Royal Canadian Mounted Police (RCMP) and the Department of National Defence (DND), Canadian Armed Forces (CAF) in northern and Arctic regions face extreme cold, icing, humidity, reduced visibility, and limited infrastructure. Many RPAS systems experience degraded performance or reduced availability under these conditions, limiting their effectiveness for search and rescue (SAR), surveillance, transportation, and public safety missions.

RCMP and the CAF are interested in testing autonomous, remotely piloted, and modular multi-domain solutions specifically designed or adapted for prolonged coastal or cold weather operations.

Definitions:

- Arctic operations: Sustained performance at temperatures down to -25°C.
- Coastal operations: Sustained performance at temperatures down to -10°C with at least 48 hours of saltwater exposure.
- Multi-domain systems: systems that are designed to operate across multiple domains or environments, including space, aerial, ground-based, underground or underwater. The term "multi-domain" indicates that these systems are not limited to a single type of environment or application; instead, they can function effectively in a variety of environments.

Outcomes:

Innovations must meet at least one or more of the following outcomes to fulfill the requirements of the Screening Criteria 4 Evaluation Grid:

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4. RPAS solutions that incorporate one of the following technologies to improve cold weather operations in arctic conditions:
 - a. Integrated de-icing solutions for airframes, propulsion systems, or sensors;
 - b. Humidity and condensation control to protect avionics and payloads;
 - c. Cold-weather endurance and rapid redeployment capability; or
 - d. Integrated camera payloads (e.g., electro-optical, infrared, low-light) optimized for high-visibility and SAR applications.
5. Autonomous or remotely operated surface and underwater platforms as well as modular, multi-domain systems that integrate aerial, ground, or marine capabilities that can support complex Arctic or coastal missions, including personnel and equipment transport as well as environmental or operational monitoring, under Arctic and coastal conditions.

c. Problem Statement: Range Remotely Piloted Aircraft Systems (RPAS) for Intelligence, Surveillance, and Reconnaissance (ISR) Operations.

Preamble:

The operations of the Royal Canadian Mounted Police (RCMP) and the Department of National Defence (DND), including the Canadian Armed Forces (CAF), increasingly rely on timely and accurate intelligence to support border security, situational awareness, and time-sensitive public safety and defence missions. Many existing Remotely Piloted Aircraft Systems (RPAS) solutions are constrained by limited range, endurance, communications resilience, or system integration, reducing their effectiveness for sustained Intelligence, Surveillance, and Reconnaissance (ISR) in remote, sparsely populated, or austere environments.

The RCMP and CAF are interested in testing integrated, extended-range RPAS solutions capable of delivering persistent ISR within the current Canadian regulatory and security framework. Testing will focus on validating end-to-end system integration, communications reliability, mission endurance, and ISR effectiveness during extended-range operations in representative RCMP and DND use cases.

Definitions:

- Remotely Piloted Aircraft System (RPAS): refers to a system consisting of a remotely piloted aircraft (commonly known as a drone), its control station, and all associated equipment necessary for safe operation.
- Extended-range: RPAS solutions must be capable of performing missions and operating continuously for a period of least at four (4) hours.

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- Intelligence, Surveillance, and Reconnaissance (ISR): the coordinated acquisition and analysis of information to support military and policing operations and decision-making.
- Beyond Visual Line of Sight (BVLOS): refers to drone operations where the pilot cannot see the aircraft with their own eyes, enabling long-range, efficient missions, such as inspections or surveillance.

Outcomes:

Innovations must meet at least one or more of the following outcomes to fulfill the requirements of the Screening Criteria 4 Evaluation Grid:

6. Extended-range RPAS innovations that can address one of the following use-cases:
 - a. Demonstrate secure remote operation from fixed facilities or mobile command posts;
 - b. Integrate aircraft, payloads, software, and supporting equipment to perform ISR missions;
 - c. Perform extended range and BVLOS operations enabled by SATCOM and/or space-to-5G/LTE communications;

Out of scope:

Innovative Solutions Canada (ISC) will not accept any of the following:

- Solutions that cannot uplink with SatCom.
- Solutions that cannot operate meeting the definition of “extended-range”.

d. Problem Statement: Automated Ship Building and Maintenance.

Preamble:

Ship building and maintenance are important for providing and upkeeping naval and coast guard vessels. Processes like hull inspection, surface cleaning, and welding have certain challenges associated with confined spaces and other hard-to-reach areas. Through the incorporation of robotics and automation abilities to these processes, the RCN and CCG can increase repair time efficiency and increase the safety of work within these areas.

The Royal Canadian Navy (RCN) and Canadian Coast Guard (CCG) are seeking solutions to innovate current ship building and maintenance processes through automated systems

Definitions:

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- **Confined Spaces:** An enclosed or partially enclosed area that is not designed for continuous human occupancy and may present hazards to workers due to its configuration, contents, or atmosphere.
- **Hard-to-reach spaces:** Areas where access is limited due to elevation, obstructions, or fixed infrastructure, requiring special access methods, tools, or techniques to safely perform work.
- **Cold Spray:** A form of Additive Manufacturing (ADM) that uses pressurized gas to propel metal powder onto a surface without the use of high temperatures.
- **High Velocity Oxygen Fuel (HVOF):** A form of thermal spray that uses oxygen with heat and pressure to shoot melted metal powder onto a surface.
- **Plasma Transferred Wire Arc (PTWA):** A form of thermal spray that uses plasma to heat wire that attaches to a substrate via an air stream.
- **Laser Metal Deposition:** An additive manufacturing process which uses light to melt a substrate while feeding metal powder or wire onto the heated area.
- **Laser Ablation:** The process of using light to evaporate the outermost layer of a substrate, usually for the purpose of surface cleaning or rust removal.

Outcomes:

Innovations must meet at least one or more of the following outcomes to fulfill the requirements of the Screening Criteria 4 Evaluation Grid:

7. Customizable shipbuilding and maintenance technologies to be configured for a robotic payload to perform hull inspection, welding and surface cleaning in confined spaces and other hard-to-reach areas. Relevant technologies include:
 - a. Solutions that are time efficient, reduce the need for physical inspections, and increase the visibility of sub-coating imperfections;
 - b. Hull survey and inspection solutions, including rolling magnetic crawlers, that can improve underwater hull inspections by providing positive positional reference on the hull, fast repeatable ultrasonic thickness measurements, and high-resolution close-up imaging.;
 - c. Technologies that can improve surface preparation capability for coating removal, rust removal, and cleaning through the application of laser ablation or water-jet technologies, increasing consistency and readiness of ship structures and components for build and maintenance activities;
 - d. Technologies that can perform enhanced surface-engineering and coating deposition capability using additive manufacturing technologies such as Cold Spray, High Velocity Oxygen Fuel (HVOF), Plasma Wire Arc, or Laser Metal

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Deposition to fabricate, restore, protect from corrosion, and extend the service life of naval components, or;

- e. Improved welding solutions that increase weld quality, repeatability, and reliability for both new ship construction and in-service maintenance and repair.
8. Piping material and piping connection solutions that leverage Mechanically Attached Fitting (MAF) or Glass Re-enforced Epoxy (GRE) technologies to prevent leaks. Solutions must address metallurgical compatibility challenges and comply with all applicable regulatory requirements for international voyage, with particular interest in use cases within machinery spaces, or;
9. Robotics technologies that operate in confined spaces and other hard-to-reach areas, have the capacity to incorporate the ship building and maintenance technologies listed above (1a-1e), and include automated features.

e. Problem Statement: Multi-Function Radio Frequency Systems (MFRF / MFRFS) .

Preamble:

Multi-Function RF (MFRF) systems—using shared Active Electronically Scanned Array (AESA) apertures and common electronics—offer the ability to consolidate these functions, reduce antenna count and apertures, reduce topside clutter, lower electromagnetic interference (EMI), and enhance multi-mission performance.

Additionally, the absence of consolidated apertures increases ship radar cross-section (RCS) and contributes to greater installation and maintenance burdens due to the number of discrete antennas. Without such integrated capability, ships face increased hardware complexity, higher lifecycle costs, and limitations in operational efficiency.

The Royal Canadian Navy (RCN) is interested in testing approaches to managing radar, communications, electronic warfare (EW), and signals intelligence (SIGINT) functions, which currently rely on multiple independent antennas and hardware systems.

Definitions:

- Multi-function Radio Frequency (MFRF): The consolidation of singular radio systems (radar, communication, etc.) into a single hardware platform.
- Radar Cross-Section (RCS): The area of an object that is detected by radar, and a direct measurement of how detectable an object is via radar systems.
- Electromagnetic Interference (EMI): Unwanted noise that appears in electromagnetic waves, including radio waves. EMI can be natural or manmade and can disrupt the transfer of information through RCS.

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Outcomes:

Innovations must meet at least one or more of the following outcomes to fulfill the requirements of the Screening Criteria 4 Evaluation Grid:

10. Solutions that can provide integrated RF capability that combine radar, communications, EW (attack/support), and SIGINT into shared AESA apertures and common electronics through multiplexing or other techniques to dynamically allocate system capacity.

f. Problem Statement: Underwater Communications .

Preamble:

The Department of National Defence (DND), Canadian Armed Forces (CAF) is interested in testing a reliable, secure, and tactically viable method of communicating with submarines while submerged.

Definitions:

- Underwater: To be fully submerged beneath the surface of water.
- JANUS: JANUS, a simple multiple-access acoustic protocol designed and tested by the NATO Centre for Maritime Research and Experimentation (CMRE) over the past 6 years that provides a basic and robust tool for collaborative underwater communication.
- PHORCYS: A set of protocols designed to provide secure underwater communication. PHORCYS establishes a multi-band, multi-mode waveform designed to be secure, flexible, and extensible underwater.

Outcomes :

Innovations must meet at least one or more of the following outcomes to fulfill the requirements of the Screening Criteria 4 Evaluation Grid:

11. Interoperable underwater communications architecture leveraging JANUS (STANAG 4748) for discovery and coordination, with PHORCYS-aligned secure waveforms providing protected tactical data exchange where mission security requires. Solutions should be capable of interfacing with STANAG 1481 (Identification of Friendly Submarines) and STANAG 1390 (Submarine Search and Rescue communications protocols).

g. Problem Statement: Uncrewed Aerial Systems (UAS) Solutions to Improve Ranging Capabilities .

Preamble:

The Royal Canadian Navy (RCN) is interested in testing solutions that can provide a reliable method to leverage Uncrewed Aerial Systems (UAS) to simulate and stimulate shipboard sensors

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and effectors—particularly Electro-Optical/ Infrared (EO/IR) and laser-based systems—to support calibration, alignment, and performance measurement. Current approaches are limited, inconsistent, and unable to replicate realistic maritime conditions or provide the necessary data fidelity. This gap reduces confidence in sensor readiness, slows verification after maintenance, and limits the RCN's ability to conduct repeatable, instrumented testing across operational environments.

Definitions:

- **Electro-Optical/Infra-Red (EO/IR):** The combination of imaging systems within the visible light and infra-red frequencies. EO/IR can be used for accurate situational awareness and target tracking in both high and low visibility environments.
- **Laser-based systems:** The application of laser technology for capabilities such as target designation, blinding of enemy camera systems, or negate the use of enemy laser systems.

Outcomes :

Innovations must meet at least one or more of the following outcomes to fulfill the requirements of the Screening Criteria 4 Evaluation Grid:

12. A UAS-based capability that provides controlled EO/IR and laser signatures for ship sensor testing;
13. Technologies that can provide repeatable calibration and alignment methods for EO/IR and laser systems, or;
14. UAS-based EO/IR and laser technologies that can perform operations at sea.

20.3. Theme 3: Quantum

Advancing the Government of Canada's readiness to assess, test, and adopt emerging quantum technologies with potential applications across sensing, communications, and computing in support of public safety, security, and prosperity.

a. Problem Statement: Quantum Technologies.

Preamble:

Quantum technologies are a growing priority for the Government of Canada (GC), with applications spanning a wide range of domains—from military and secure communications, to Uncrewed Aerial Systems (UAS), to quantum information distribution and management, to satellite communications, and to broader public safety and security uses. Together, these applications have the potential to reinforce a safe, secure, and prosperous Canada. More information on how the GC plans to prepare for emerging quantum technologies can be found in the National Quantum Strategy, the Department of National Defence (DND), Canadian Armed Forces (CAF) Quantum

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Science and Technology (S&T) Strategy, Quantum 2030: the DND/CAF Quantum S&T Strategy Implementation Plan and Defence Innovation Secure Hubs.

The Government of Canada (GC) is soliciting offers seeking a variety of quantum solutions that can assist the GC in the development and eventual application of quantum technologies across the fields of sensing, communication and computing. These technologies could support the growth of key sectors such as advanced materials (novel catalysts for industry, semiconductors, superconductors), photonics, computing, communications, health care (drug discovery molecular folding, imaging, disease modeling), agriculture (remote sensing, crop modeling), transportation logistics (supply chain management), finance (portfolio optimization), risk analysis, decision support, navigation, cybersecurity and more.

Although quantum computing, sensing, and communication are often treated as separate and distinct fields, it's important to recognize how deeply interconnected they are. Advances in one area frequently drive progress in the others. Quantum computing, for example, depends on precise control of quantum states—control that relies on many of the same materials and techniques used in advanced quantum sensing. Likewise, breakthroughs in sensing can directly benefit computing; methods that improve the stability of quantum sensors can also enhance qubit performance.

Quantum communication, which enables secure transmission of information over long distances, is similarly intertwined with the technologies that support quantum computing and sensing. The development of quantum networks, for instance, would make it possible to distribute quantum computing resources across vast distances.

The synergy among these three domains also opens the door to innovative applications that were previously unimaginable. Quantum sensors could increase the sensitivity of quantum communication systems, while quantum computers could strengthen quantum key distribution (QKD) protocols.

In short, the boundaries between quantum computing, sensing, and communication are increasingly blurred. Understanding their interconnected nature is essential for appreciating the full potential of quantum technologies.

Definitions:

- **Quantum sensors:** A quantum sensor is a type of sensor that uses the principles of quantum mechanics to detect and measure physical parameters such as magnetic fields, temperature, pressure, gravity, and RF energy. A quantum-enabled technology used to measure a physical quantity, relying on either:
 - quantum-level measurement (e.g. single-photon detection, measurement of discrete energy levels of atoms, molecules or quantum systems)
 - quantized systems, (e.g. as atomic energy levels, molecular vibrations, photon energy, spin systems, quantized dots, superconducting circuits)
 - quantum coherence (e.g. quantum interference) or

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- quantum entanglement (the correlation of two or more particles in a manner that the state of one particle cannot be described independently of the others. Then can be “linked” in such a manner that allows for long distance correlations)
- **Quantum-enhanced radar:** Technologies that leverage quantum effects to provide advantages in imaging over traditional radar in high noise or stealth environments. The Government is setting the definition for an effective quantum radar range from 1km to 10km to detect a variety of objects. If proposing a quantum-enhanced radar technology or component, it is not necessary for suppliers to propose a complete quantum radar system.
- **Quantum-enhanced lidar:** Light Detection and Ranging (lidar) is a remote sensing method used to examine the surface of the Earth. Quantum-enhanced lidar operates at the single photon level over a broad frequency range. The Government is setting the definition for an effective range from 100m to 1km to detect a variety of hidden objects. If proposing a quantum-enhanced lidar technology or component, it is not necessary for suppliers to propose a complete quantum lidar system.
- **Quantum magnetometers:** An instrument for measuring the intensity, vector, and/or full tensor information of magnetic fields, by utilizing quantum phenomena. Quantum magnetometers are used primarily to measure the intensity and/or direction of weak magnetic fields, particularly the earth's magnetic field and its anomalies, both on the surface and at great altitudes, and also to measure the magnetic fields of planets within our solar system and in outer space. They are also used in prospecting for minerals, for magnetic core sampling, and in searching for sunken vessels. They can be used in industrial, research, healthcare, military, and security applications.
- **Quantum repeater:** Quantum repeaters overcome the photon loss inherent to any optical communications channel and the no-cloning theorem which says that quantum information cannot be copied. A quantum repeater allows for the end-to-end transmission of qubits and entanglement.
- **Quantum key distribution (QKD):** QKD is a protocol for creating a shared secret between two parties known only to them, which can be used for encryption and secure messaging. The communication method uses properties found in quantum physics to exchange cryptographic keys in such a way that is provable and theoretically secure.
- **Alternative position, navigation and timing (aPNT):** aPNT refers to a suite of solutions that includes environmental sensors (external fields like magnetic and gravitational fields), inertial sensors and gyroscopes, and accompanying data fusion algorithms that enable navigation without reliance on global navigation satellite systems (GNSS) such as the Global Positioning System (GPS). There are commercial, military, and security applications for this technology.
- **Quantum computing stack:** The quantum computing stack encompasses everything that lies between a user and the physical qubits. The stack performs essential functions; for instance, it facilitates user interaction, turns inputs into hardware manipulation, and corrects for numerous error sources.

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- **Quantum Computer:** A quantum computer is any device for computation that makes direct use of distinctively quantum mechanical phenomena, such as superposition and entanglement, to perform operations on data. A functional quantum computer requires the holding of an object in a superposition state long enough to carry out various processes on it.
- **Quantum Software:** Any programs or applications capable of running on a quantum computer.

Outcomes:

Innovations must meet at least one or more of the following outcomes to meet the requirements of the Screening Criteria 4 criterion of the solicitation's Evaluation Grid: Identify in your offer which Outcome(s) you have selected:

Quantum Sensing and Quantum Enabling Technologies:

15. Quantum sensing technologies or components with potential for application in any one or all of the following fields: defence, public safety, semiconductor quality assurance, navigation, or weather forecasting and environmental management.
16. Quantum sensing hardware, software or supporting equipment that is in the prototype stage and ready for operational testing using commercially available infrastructure.
17. Quantum hardware solutions including but not limited to quantum sensors; superconducting quantum circuits and Circuit Quantum Electrodynamics (CQED) solutions.
18. Quantum magnetometers to detect underwater objects from the air or underwater, and to map surface magnetic fields at macroscopic and microscopic levels. This includes technologies for submarine detection, underwater warfare using magnetic sensing. Could also include magnetometers for measurement of magnetic field signals from electronics. Mixing quantum with classical sensors supported with AI/ML for sensing, recognizing and identifying magnetic anomalies through barriers.
19. Quantum-enabled PNT using quantum magnetometry or quantum gravimetry, to lower the cost, size, weight and power and increase performance. Could include quantum technology with classical i.e. AI and ML to assist in aPNT.
20. Quantum enabling technologies such as cryogenic refrigeration technology and single-photon spectrometers, atom-scale fabrication systems/components, laser cooling technologies, quantum clocks.
21. Individual or collections of quantum network sensors to perform distributed quantum sensing.

Quantum-enhanced sensing technologies:

22. Quantum-enhanced active or passive radar hardware components or systems including, but not limited to, quantum radio-frequency (RF) receivers, entangled RF photon sources

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23. Quantum-enhanced light detection or ranging (LiDAR) including, but not limited to, quantum-enhanced range finding and 2D and 3D photon imaging. Could include non-line-of-sight detection, recognition, and identification.

Quantum and Quantum-Safe Communication Technologies:

24. Quantum communications technologies or components with the potential for eventual application in any of the following fields: defence, telecom, aviation, or advanced manufacturing.
25. Quantum communications hardware, software or supporting equipment that is in the prototype stage and ready for testing, using commercially available infrastructure.
26. Quantum communications hardware with high-rate quantum light sources such as weak coherent pulsed sources, entangled photon sources, or single photon sources.
27. Hardware solutions including quantum transducers (frequency converters that preserve quantum coherence).
28. Secure communications solutions
29. Quantum repeaters or quantum memory solutions.
30. Error correction solutions that account for both loss and operational errors in quantum communications.
31. Quantum enhanced clocks, timing (time distribution).
32. Transduction technology for quantum communication

Quantum Computing Technologies:

33. Quantum Technologies or components with the potential for eventual application in any one or all of the following fields: defence, energy, pharmaceutical, chemical, advanced industries (automotive, aerospace, electronics, superconductors), finance, or transport and logistics.
34. Deployable quantum computing hardware, software, or supporting equipment that is in the prototype stage and ready for operational testing using commercially available infrastructure.
35. Hardware solutions including but not limited to Qubit hardware and gating technology; Quantum firmware; Hardware-aware quantum compilers / transpilers; Multi-quantum computing hardware platforms; and Logical-level compilation and circuit optimization technologies.
36. Software solutions including but not limited to Quantum algorithms and quantum error correction applications; User interface solutions; QAAS; and operating systems.

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- 37. Quantum Resource Estimation (QRE) solutions to assess the size and type of a quantum computer that would be needed with specified performance criteria (run-time).
- 38. Solutions that account for part or all of the quantum computing stack such as environmental and qubit control.
- 39. Quantum enabling technologies such as quantum random number generators and components to support in the fabrication and deployment of quantum technologies.

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RESULTING CONTRACT CLAUSES

The following clauses and conditions apply to and form part of any contract resulting from the solicitation of offer being accepted. Canada reserves the right to add, delete or modify clauses and conditions.

1. Summary.

1.1. Contract Summary. The Contract is for the [DESCRIPTION OF THE GOODS SUPPLIED OR SERVICES PROVIDED OR BOTH], as described in the Annex Statement of Work.

2. Performance of Work.

2.1. Security Requirement. The following security requirements (SRCL and related clauses provided by the Contract Security Program) apply and form part of the Contract: { | Insert related clauses provided by the Contract Security Program }

a. Contractor's Sites or Premises Requiring Safeguarding Measures.

{ | If the Contract Security Program clauses indicate that safeguarding measures are required at the Contractor's and proposed individuals' sites or premises, insert the information below, as provided by the Offeror in the Offeror Requirements section. If not required, delete a and b.

Where safeguarding measures are required in the performance of the Work, the Contractor must diligently maintain up-to-date the information related to the Contractor's and proposed individuals' sites or premises for the following addresses:

Street Number / Street Name, Unit / Suite / Apartment Number

City, Province, Territory / State

Postal Code / Zip Code

Country

b. Company Security Officer. The Company Security Officer must ensure through the [Contract Security Program](#) that the Contractor and individuals hold a valid security clearance at the required level. }

2.2. Comprehensive Land Claims Agreement (CLCA).

a. CLCAs. The Contract is subject to the following CLCA(s): { | Insert CLCA agreements that apply}.

2.3. Conduct of the Work.

a. Performance. Subject to section "Suspension of the Work", the Contractor agrees to fulfill all obligations in full compliance with the requirements and Specifications of the Contract, regardless of any potential dispute with Canada. The Contractor must:

- i. perform the Work diligently and efficiently;
- ii. except for Government Property, supply everything necessary to perform the Work;
- iii. use, as a minimum, quality assurance procedures, inspections and controls generally used and recognized by the industry to ensure the degree of quality required by the Contract;
- iv. select and employ a sufficient number of qualified people; and
- v. perform the Work in accordance with standards of quality acceptable to Canada and in full conformity with the Specifications and all the requirements of the Contract.

b. Responsibilities. The Contractor is fully responsible for performing the Work. Canada will not be responsible for any negative consequences or extra costs if the Contractor follows any

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advice given by Canada unless the Contracting Authority provides the advice to the Contractor in writing and includes a statement specifically relieving the Contractor of any responsibility for negative consequences or extra costs that might result from following the advice.

- c. **The Contractor represents and warrants** that it and all its resources and subcontractors:
 - i. are competent to perform the Work;
 - ii. have everything necessary to perform the Work, including the resources, facilities, labour, technology, equipment, and materials;
 - iii. have the necessary qualifications, including knowledge, skill, know-how and experience, and the ability to use them effectively to perform the Work; and
 - iv. will maintain any credentials, accreditations, licenses and certifications necessary to perform the Work throughout the duration of the Contract.
- d. **Reports.** The Contractor must provide all reports that are required by the Contract and any other information that Canada may reasonably require from time to time.

2.4. Condition of Material. Unless provided otherwise in the Contract, material supplied must be new and conform to the latest issue of the applicable drawing, specifications and part number that is in effect on the offer closing date or, if there was no offer solicitation, the date of the Contract.

2.5. Access to Facilities and Equipment.

- a. Canada's facilities, equipment and personnel are not available to the Contractor to perform the Work unless the Contract specifically provides for it.
- b. The Contractor is responsible for advising the Contracting Authority in advance if it requires access to Canada's facilities, equipment or personnel to perform the Work.
- c. The Contractor must comply and ensure that its employees and subcontractors comply with all security measures, standing orders, policies or other rules in force at the site where the Contractor is performing the Work .
- d. The Contractor must only use Canada's facilities and equipment for the performance of the Contract.

2.6. Personnel.

- a. **Personnel.** The Contractor's personnel identified in the Contract to perform the Work must be competent and suitable for performing the Work and conduct themselves properly.
- b. **Replacement of Personnel.** The Contractor must provide the services of the individuals identified in the Contract unless the Contractor is unable to do so for reasons beyond its control. If the Contractor is unable to provide the services of any personnel identified in the Contract, the Contractor must provide written notice to Canada of the intended replacement with similar qualifications and experience. The Contractor's written notice must include (i) the reason for the replacement, (ii) the name and qualifications of the replacement individual, and (iii) proof that the proposed replacement has the required security clearance from Canada. Any proposed replacements of personnel are subject to Canada's acceptance.
- c. **Replacements at Canada's Request.** The Contracting Authority may order that an individual acting as a replacement stop performing the Work. In such a case, the Contractor must immediately comply with the order and arrange for a further replacement in accordance with the terms of "Replacement of Personnel" above. The fact that the Contracting Authority does not order that an individual identified in the Contract or a replacement stop performing the Work does not relieve the Contractor from its responsibility to meet the requirements of the Contract.

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2.7. New Hardware.

- a. **Requirement for New and Unused Hardware.** The Contractor must supply all new and unused Hardware, including parts used for Hardware Maintenance Services. The Contractor must ensure that the Hardware:
 - i. is off-the-shelf (in other words, composed of standard equipment requiring no further research or development),
 - ii. is a model that is still in production by the manufacturer at the time of delivery, and
 - iii. conforms to the version of the applicable specification or part number of the manufacturer in effect at the time of delivery.
- b. **No Refurbished Parts.** The Contractor must not supply any Hardware or parts that have been refurbished or are certified as "equal to new quality", unless the Contract provides otherwise.
- c. **Hardware not Counterfeit.** The Contractor guarantees that the Hardware it supplies is not counterfeit (in other words, not an unauthorized copy, replica, or substitute for the product manufactured by the original equipment manufacturer identified by name on the Hardware).

2.8. Subcontracts.

- a. **Subcontracting Requirements.** The Contractor may subcontract the performance of the Work, provided:
 - i. the Contractor obtains the Contracting Authority's prior written consent;
 - ii. any subcontractor is bound by conditions compatible with the terms of the Contract and, in the opinion of the Contracting Authority, not less favourable to Canada than the conditions of the Contract, with the exception of requirements under the Federal Contractors Program for employment equity which only apply to the Contractor; and
 - iii. the Contractor remains liable to Canada for all the Work performed by the subcontractor.
- b. **Cases Where Consent for Subcontracting Not Required.** The Contractor is not required to obtain consent for subcontracts specifically authorized in the Contract. The Contractor may also without the consent of the Contracting Authority:
 - i. purchase "off-the-shelf" items and any standard articles and materials ordinarily produced by manufacturers in the normal course of business;
 - ii. subcontract any incidental services that would ordinarily be subcontracted in performing the Work;
 - iii. subcontract any portion of the Work as is customary in the carrying out of similar Contracts, up to a total value of 40 percent of the Contract Price; and
 - iv. permit its subcontractors at any tier to make purchases or subcontract as permitted in paragraphs (b)i), (b)ii), and (b)iii).
- c. **Contractor Responsibilities.** Notwithstanding any subcontracting that is subject to Canada's consent, the Contractor is responsible for performing the Contract and Canada is not responsible to any subcontractor. The Contractor is responsible for any matters or things done or provided by any subcontractor under the Contract and for paying any subcontractors for any part of the Work they perform.

2.9. Specifications.

- a. Canada owns all Specifications it provides the Contractor and the Contractor must only use them to perform the Work.
- b. If Canada approves Specifications furnished by the Contractor, that approval will not relieve the Contractor of its responsibility to meet all requirements of the Contract.

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3. Term of the Contract.

3.1. Contract Period. The Contract is for a fixed period, from the date of award shown on the front page of the Contract until [**CONTRACT END DATE**], inclusive.

4. Delivery of Goods.

4.1. Delivery Obligation. The Contractor must deliver the Goods **Delivered Duty Paid (DDP)** [**Insert named place of destination**] **Incoterms 2020**.

4.2. Delivery Points. Delivery of the requirement will be made to delivery point(s) specified at [**Insert annex title**] of the Contract.

4.3. Delivery Costs. The Contractor will arrange delivery by the most direct and economical means that are consistent with Canada's shipping practice.

4.4. Delivery of Hardware. The Contractor must deliver the Hardware to the location(s) that Canada designates by the Delivery Date. The Contractor must pay all costs associated with replacing any item damaged in transit to the final destination. The Contractor acknowledges that no item will be considered to be delivered on the Delivery Date if it is damaged or otherwise not ready for Canada to begin its acceptance procedures. The Contractor must package the Hardware at least according to industry standards, include a packing slip with each shipment, and arrange for any necessary rigging and drayage. All associated costs are included in the price of the Hardware.

4.5. No Special Site Preparation Requirements. The Contractor guarantees that there are no special site preparation requirements for the Hardware to operate according to the Specifications.

5. Software License.

5.1. Grant of License. The Contractor grants to Canada a non-exclusive, world-wide, fully paid, royalty-free license to use and reproduce the Licensed Software in accordance with the provisions of the Contract. The Contractor cannot restrict, modify, or revise this license.

5.2. Software License Term.

- a. **Term.** Unless provided otherwise in the Contract, Canada's license to use the Licensed Software is perpetual, non-exclusive, world-wide, fully paid and royalty free, regardless of any termination of the Contract by mutual consent, for the convenience of Canada, or for default of the Contractor, but only if Canada has paid for the license to the Licensed Software and subject to the immediately following paragraph entitled Right to Terminate.
- b. **Right to Terminate.** If Canada breaches its license to the Licensed Software or fails to pay for the license in accordance with the Contract, and if that breach continues for a period of 30 calendar days after the Contracting Authority receives the Contractor's notice giving particulars of the breach, the Contractor may then terminate Canada's license by notifying the Contracting Authority to that effect.

5.3. Included Rights. Canada has the right to install, copy, deploy, and use the Licensed Software. This includes the right to:

- a. deploy any of the software products that form part of the Licensed Software in an unlimited number of installations and locations,
- b. create or process an unlimited number of documents, transactions, data, and events,

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- c. grant access via a browser to any person who uses the services and programs provided by Canada (regardless of their location) to access, view, enter, search, exchange and read information that Canada holds or creates using the Licensed Software,
- d. use the Licensed Software via any type of network such that users have “universal access rights” (in other words, the right to access the Licensed Software by any means from any location as may become possible from time to time),
- e. use the Licensed Software regardless of the operating systems, software applications, or Application Programming Interface(s) (API) that the Canada may be using from time to time, and
- f. continue to use the Licensed Software regardless of any changes that the Contractor makes to it, but the Contractor is not required to deliver a new or different version of the Licensed Software to enable the Client to continue to use the Licensed Software in a different environment than the one(s) described in the Contract, unless expressly required to do so.

5.4. Right to Transfer. Canada may transfer license rights, within the license limits of the Software to any Canadian government department, corporation, or agency as defined in the [Financial Administration Act, R.S.C. 1985](#), c. F-11, as amended from time to time, or to any other party for which the Department of Public Works and Government Services Canada has been authorized to act under section 16 of the [Department of Public Works and Government Services Act](#), S.C. 1996, c. 16, provided the Contracting Authority informs the Contractor in writing of the transfer within 30 calendar days of the transfer.

5.5. Limits to Grant of License. Canada acknowledges that the Contractor’s grant of license does not include rights to any software other than the Licensed Software.

5.6. Usability of all Features and Functionality. The Contractor must provide the Licensed Software as described in the Contract together with anything further that may be required to ensure that Canada can use all the features and functionality listed, and perform in the environment described within the Contract.

5.7. Enhancements and Improvements. All improvements, updates, upgrades and enhancements to the Licensed Software must be provided to Canada within ninety (90) days of acceptance of the Licensed Software at no additional cost.

5.8. Changes in Technological Environment. This license is not affected by any changes in Canada’s technological environment, such as changes to the operating system, types of devices, or other software tools that Canada uses.

5.9. Right to License.

- a. **Authority to Grant License.** The Contractor guarantees that it has the right to license the Licensed Software and to grant to Canada all the rights granted under the Contract. The Contractor also guarantees that it has obtained all necessary consents to make such grant. Canada acknowledges that, for any breach of this guarantee, its only remedy and the Contractor's entire obligations are the remedies and obligations set out in the section entitled Intellectual Property Infringement and Royalties.
- b. **No Other Applicable Provisions.** The Contractor acknowledges that
 - i. Canada is not bound by any conditions accompanying or enclosed with the Licensed Software that are not part of the Contract, and
 - ii. neither Canada nor any user is required to enter into any additional license agreement in connection with the Licensed Software, and

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iii. any additional license agreement relating to the Licensed Software signed by anyone other than the Contracting Authority is void and of no effect.

5.10. Disabling Code.

- a. **Definition of Disabling Code.** In this section entitled Disabling Codes, "Disabling Code" means any feature, function, or characteristic that might cause the Licensed Software to be unusable without passwords, authorization codes, or similar information.
- b. **Contractor's Responsibility.** If the Licensed Software contains any Disabling Code, the Contractor must provide to Canada, in advance and on an ongoing basis, all the information that Canada requires to continue its use of the Licensed Software. If the license is perpetual, the Contractor must deliver this information
 - i. even if the Contract has otherwise expired or terminated or if Canada is then receiving Support Services for the Licensed Software, and
 - ii. regardless of whether the Contract has otherwise expired or whether the Contractor is then providing any Support Services for the Licensed Software.
- c. **Correcting or Removing Disabling Code.** As soon as the Contractor becomes aware of the existence or characteristics of any Disabling Code, the Contractor must correct or remove such Disabling Code from the Licensed Software or take whatever other steps are necessary to ensure that Canada is able to continue using the Licensed Software.

5.11. Source Code Escrow. If Canada so requests, the Contractor must put in place for Canada, at no additional charge, whatever escrow arrangements, if any, it usually puts in place for its customers and must give Canada, within 30 calendar days from the date of the Contract, a copy of the agreement with its escrow agent that sets out the conditions under which the escrow agent is authorized to release the source code to Canada. The Contractor guarantees that the source code so provided will contain enough detail to permit a programmer, experienced in the use of the programming language or languages in which the source code is written, to modify the Licensed Programs. The source code so provided forms part of the Licensed Software.

5.12. Right to Modify and no Reverse Engineer.

- a. **Canada's Right to Copy and Modify.** Canada may copy and modify the Licensed Software for its own purposes and use. Canada may use the services of independent contractors to do so, but only if such contractors agree not to disclose or distribute any part of the Licensed Software to any other person or otherwise violate the proprietary rights of the owner of the Licensed Software.
- b. **Canada's Ownership of Modifications.** Canada will own any modifications contemplated in the immediately preceding paragraph entitled Canada's Right to Copy and Modify but will obtain no ownership interest in the Licensed Software, and any portion of the Licensed Software contained in those modifications will remain subject to the conditions of Canada's license. The Contractor must not incorporate any such modifications into its software for distribution to third parties unless Canada has granted the necessary distribution rights to the Contractor under a written license agreement. The provisions of this section do not prevent the Contractor or its third-party licensors from independently developing modifications. Canada must not reverse engineer the Licensed Software.

6. Media Support – Licensed Software.

6.1. Media - Software License.

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- a. **Canada's Choice of Media.** The Contractor must deliver the Licensed Programs to Canada on the medium of Canada's choice from among those Media that the Contractor makes available to its other customers. Canada may distribute the Licensed Software to users on Canada's choice of Medium.
- b. **Free of Defects.** The Contractor must provide to Canada Media that are free of defects and of computer viruses and compatible with the computer systems on which the Licensed Programs are installed.
- c. **Defective Media.** If, during the Software Warranty Period, Canada discovers a defect or non-conformance in any Media, the Contractor must, if Canada so requests, promptly and at its own expense, replace it with corrected Media.
- d. **Ownership of Media.** Canada will own the Media that the Contractor provides to it upon Canada's acceptance of such Media.

6.2. Safeguarding Electronic Media.

- a. **Electronic Scan.** Before using them on Canada's equipment or sending them to Canada, the Contractor must use a regularly updated product to scan electronically all electronic media used to perform the Work for computer viruses and other coding intended to cause malfunctions. The Contractor must notify Canada if any electronic media used for the Work are found to contain computer viruses or other coding intended to cause malfunctions.
- b. **Replacement of Lost Data.** If magnetically recorded information or documentation is damaged or lost while in the Contractor's care or at any time before it is delivered to Canada in accordance with the Contract, the Contractor must immediately replace it at its own expense.

7. Software License – Documentation.

7.1. Software Documentation.

- a. **Use of Documentation.** The Contractor retains copyright in the Software Documentation. Canada may use the Software Documentation and, for its own internal purposes, copy it for use by individuals using or supporting the Licensed Software, but only if Canada includes in any such copy any copyright or proprietary rights notice that was part of the original document. Canada must not otherwise reproduce the Software Documentation.
- b. **Documentation Detail.** The Contractor guarantees that the Software Documentation contains enough detail to permit a user to access, install, copy, deploy, test, and use all features of the Licensed Programs.
- c. **Documentation Translation.** If the Software Documentation is available in English and French, the Contractor must deliver it in both languages. If it is available in only one of those languages, the Contractor must deliver it in that language but, in that case, Canada may then translate it. Canada will own any such translation. The Contractor is not responsible for any technical errors that may arise as a result of any such translation.
- d. **Documentation Updates.** The Contractor must, at no additional cost to Canada, update the Software Documentation to the most current release level consistent with the Licensed Software delivered under the Contract. The Contractor must
 - i. do this within 10 calendar days of the update being available and include in such updates supporting documentation for all modifications to the Licensed Software, including new versions and New Releases that Canada is entitled to receive under the Contract, and
 - ii. identify any problems resolved, Enhancements made, or features added to the Licensed Software, together with installation instructions.

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8. Hardware.

8.1. Firmware.

- a. **Hardware Equipped with Firmware.** The Contractor must deliver the Hardware equipped with all the Firmware required for it to use all the Hardware's functions.
- b. **Ownership of Firmware.** The Contractor continues to own the Firmware. The Contractor grants to Canada a perpetual, non-exclusive, irrevocable, royalty-free license to use the Firmware with the Hardware. Canada may transfer this license if Canada transfers ownership of the Hardware to a third party. Any reference in the Contract to the Firmware being a deliverable is a reference to Canada's license to use the Firmware.
- c. **Contractor's Right to License Firmware.** The Contractor guarantees that it has the right to license the Firmware and full power and authority to grant to Canada the rights to use the Firmware, and obtained all necessary consents to its grant of license to Canada.

8.2. Total System Responsibility.

- a. **Hardware Part of Systems.** If the Contract provides that the Hardware is part of one or more Systems, the Contractor must supply such Systems as a whole and ensure that each System is available for Fully Functional Operation at all times.
- b. **Incorporating Government Property into System.** If the Contract provides that the Contractor must incorporate Government Property into the System, the Contractor's obligations under the immediately preceding paragraph entitled Hardware Part of Systems extend to such Government Property and the Contractor must in such case make any necessary adjustments to the Government Property to ensure its compatibility with the rest of the System. If Canada so requests during the Hardware Warranty Period, the Contractor must promptly correct any failure of the System to conform to the Specifications that is caused by the improper interconnection or integration of any Government Property into the System. This provision survives acceptance of the Work.
- c. **Limitation of Contractor's Responsibility.** The Contractor is not responsible for a failure of the System to meet the Specifications if that failure is directly caused by a defect in any Government Property or by any failure of Government Property to meet its specifications. This does not apply, however, to any Government Property that the Contractor originally supplied to Canada but that Canada then makes available to the Contractor for use under the Contract.
- d. **Inconsistency between Specifications.** If there is any inconsistency between the Specifications for an individual System component and the Specifications for the System as a whole, the Specifications for the System will prevail over the Specifications for any System component.

8.3. Ownership of the Purchased Hardware and Risk of Loss or Damage.

- a. **Ownership of Hardware upon Acceptance.** Canada becomes the owner of the Hardware once Canada accepts it.
- b. **Ownership of Materials, etc.** If Canada pays the Contractor for any materials, parts, work-in-process, or finished Work, then Canada will own such items once it pays for them, unless ownership has already passed to Canada. The fact that ownership of any such items has transferred to Canada does not mean that Canada has accepted them nor does it relieve the Contractor of its obligation to perform the Work in accordance with the Contract. Also, the risk of loss or damage to such items remains with the Contractor until they are delivered to Canada, even if ownership has transferred to Canada.

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- c. **Contractor's Continuing Responsibility.** After delivery, the Contractor remains responsible for loss or damage to any part of the Work caused by the Contractor or any subcontractor or any person for whom either is responsible.
- d. **Right to Transfer Ownership.** The Contractor guarantees that it has the right to transfer ownership of the Hardware to Canada and that there are no liens, charges, or other claims affecting the Hardware. Once ownership passes to Canada, the Contractor must, if Canada requests, establish to the Contracting Authority's satisfaction that the title is free and clear of all such claims. If the Contracting Authority so requests, the Contractor must execute any transfer documentation and take any other necessary steps to perfect Canada's title.

8.4. Installation, Integration and Configuration.

- a. **Contractor's Obligations.** The Contractor must unpack, assemble, install, integrate, interconnect, and configure all the Hardware at the location(s) specified in the Contract, unless provided otherwise in the Contract. If necessary, the Contractor must provide all required moving and installation resources. After completing this part of the Work, the Contractor must notify Canada's on-site representative that the Hardware is Ready for Use. If applicable and if the Contract provides that the System consists of both Hardware and Licensed Software or Custom Software or both, the Work described in this section entitled Installation, Integration, and Configuration also applies to the entire System.
- b. **Supply of Materials.** The Contractor must supply all materials required to complete the assembly, installation, integration, interconnection, and configuration of the Hardware at the specified location(s) so that it is Ready for Use and acceptance. This includes all required connections to power supply and required utilities, cables and accessories.
- c. **Work Areas.** The Contractor must leave all work areas clean and tidy both at the end of each workday and once the Work is complete (including removing and disposing of all packing materials).
- d. **Associated Costs.** All associated costs are included in the price of the Hardware.

8.5. Minimum Availability Level Requirement.

- a. **Contract Specification.** Each item of Hardware must achieve the minimum availability level specified in the Contract during each month of the contract period.
- b. **Calculation of Availability Level.** The availability level achieved each month is calculated as follows: $\text{Operational Use Time} / [\text{Operational Use Time} + \text{Downtime}] \times 100\%$.
- c. **Monitoring Availability Level**
 - i. **{ | Performance Monitoring.** The Contractor must monitor the performance of the Hardware and submit written monthly reports regarding the availability level for each calendar month. The Contractor must submit this report to the Contracting Authority and the [Technical OR Project] Authority within 30 calendar days of the end of the month covered by the report.
OR
Canada's Monitoring. Canada may monitor the availability level or perform testing at any time. }
- d. **Failure to Meet Minimum Level.** If any Hardware fails to meet the minimum availability level in any given month, the Contractor must immediately perform Hardware Maintenance Service to restore the Hardware to Fully Functional Operation at the minimum availability level.

8.6. Hardware Availability-Level Testing Before Acceptance - Contractor Install.

- a. **Testing before Acceptance.** Canada may require availability-level testing before acceptance.

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- b. **Start of Testing.** The Contractor must notify the [Technical **OR** Project] Authority once the Work under the section entitled Installation, Integration, and Configuration is complete and the Hardware is Ready for Use. Canada must start any availability-level testing within the later of five business days after receiving this notice and the Ready-for-Use date specified in the Contract.
- c. **Access to Hardware.** After the Contractor has notified Canada that it is Ready for Use or, if Canada is responsible for the installation, after the Hardware has been delivered to and installed by Canada, the Contractor must ensure that Canada has full access to the Hardware and that Canada can make unrestricted operational use of it. Canada must, however, at all times before it accepts the Hardware, give the Contractor priority access to the Hardware to maintain it and to perform its obligations under the Contract.
- d. **Passing the Availability Level Test.** To pass the availability-level test, the Hardware must achieve the minimum availability level for 30 consecutive calendar days within 90 calendar days of the beginning of testing. During availability-level testing, the Contractor must provide weekly written reports to Canada showing the Hardware performance in relation to the Minimum Availability Level.
- e. **Failing the Test.** If the Hardware does not pass the availability-level tests in the prescribed time, Canada may do one or more of the following:
 - i. require the Contractor to replace some or all of the Hardware with new Hardware, which would again be subject to availability-level testing and acceptance;
 - ii. extend the availability-level testing period; and
 - iii. terminate the Contract for default, at no cost to Canada.
- f. **Suspension of Testing.** If Canada does not carry out availability-level testing within the prescribed time, when the availability level of the Hardware is calculated, the time during which Canada otherwise would have conducted that testing will be considered uninterrupted Operational Use Time, unless Canada is unable to start or continue testing because of an event reasonably beyond its control. In that case, Canada may temporarily suspend the availability-level testing, in which case the time limits for testing will be extended by the number of days that testing is suspended, up to a maximum extension of 60 calendar days.
- g. **Acceptance Date.** If Canada determines that the Hardware successfully passes the availability-level testing, which may include tests of any function of the Hardware to determine whether it meets the Specifications, the acceptance date will be considered to be the first day of the 30-day period in which the Hardware achieves the Minimum Availability Level.

9. Leased Hardware.

9.1. Ownership of Leased Hardware.

- a. **Change of Ownership.** The Contractor remains the owner of all the Leased Hardware, unless Canada either exercises any option to purchase the Hardware included in the Contract or purchases the Hardware under a separate agreement.
- b. **Exercise of Option to Purchase.** If the Contract contains an option to purchase any of the Hardware, Canada will become the owner of that Hardware on the date it exercises that option or the date Canada specifies when it exercises the option. At the time of that purchase, the provisions of the section entitled Ownership of Purchased Hardware and Risk of Loss or Damage apply to the Hardware. Once Canada becomes the owner, Canada bears the risk of loss or damage to the Hardware, but the Contractor must continue to honour its contractual warranty obligations, and it will owe no further lease payments under the Contract.

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9.2. Lease Period.

- a. **Lease of Additional Items.** If the Contract allows for additional items to be leased during the Term of the Contract, regardless of when those items become part of the Leased Hardware, the Lease Period for all the Leased Hardware will end on the day that the Lease Period for the first item of Leased Hardware expires.
- b. **Part-month Calculations.** If the first day of the Lease Period is not on the first day of a calendar month, then the charge for the first and last months of the lease will be the portion of the specified monthly charge determined by multiplying the number of days in the month during which the lease is in effect by 1/30 of the monthly lease charge in effect under the Contract at the time.

9.3. Warranty for Leased Hardware.

- a. **Hardware Warranty.** Even if Canada has accepted the Leased Hardware, the Contractor warrants that, throughout the Lease Period, which is also the Hardware Warranty Period, it will be free from all defects in materials or workmanship, be free from all design defects, and conform to the contractual requirements. If the Contract provides that the System consists of the Hardware together with Licensed Software or Custom Software or both, the Hardware Warranty Period will also apply to any Licensed Software or Custom Software components of the System and this longer period will apply to all of the Contractor's warranty, maintenance, and support obligations.
- b. **Exclusions from Warranty.** This warranty does not apply to a specific item of Leased Hardware if the only reason that the item fails to conform to the Specifications is because
 - i. Canada is negligent or does not use the Hardware in accordance with the Specifications;
 - ii. electric power or air conditioning or humidity control at the site does not perform according to any special site preparation requirements described in the Contract;
 - iii. a person other than the Contractor, a subcontractor, or a person approved by either of them modifies the Hardware or attaches equipment to the Hardware that was not designed or approved for use with the Hardware by the Contractor, a subcontractor, or the manufacturer of the Hardware; or
 - iv. Canada uses consumable supplies or materials in or on the Hardware that are supplied by a person other than the Contractor or a subcontractor or a person for whom either of them is responsible, if those supplies or materials do not conform to the Specifications or to the Hardware manufacturer's instructions to consumers.
- c. **Hardware Maintenance Service for Leased Hardware.** The Contractor must provide Hardware Maintenance Service for the Leased Hardware throughout the Hardware Warranty Period. All charges and costs associated with providing the Hardware Maintenance Service during the Hardware Warranty Period are included in the lease rates. The Contractor must continue to provide Hardware Maintenance Service for any part of the Leased Hardware that it repairs, replaces, or otherwise makes good as part of the Hardware Maintenance Service for the remainder of the Hardware Warranty Period that applied to the original item of Leased Hardware.

9.4. Risk of Loss or Damage to Leased Hardware.

- a. **Contractor's Responsibility.** The Contractor bears the risk of loss of or damage to the Hardware while it is being transported or installed and during the entire time the Hardware is in Canada's possession, except for any loss or damage caused by the negligence of Canada or someone acting on Canada's behalf.

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- b. Loss or Damage during Lease Period.** If the Hardware is lost or damaged during the Lease Period and unless the loss or damage is caused by Canada or by someone acting on Canada's behalf, Canada is not required to make lease payments while the Contractor repairs or replaces the Hardware. Canada may, in this case, opt to extend the Lease Period by the amount of time the Contractor takes to repair or replace the Hardware. If the Hardware is unavailable for Fully Functional Operation for more than 30 calendar days, Canada may terminate the Contract for default.

9.5. Modifications to Leased Hardware. Canada must not modify the Leased Hardware.

9.6. Relocation of Leased Hardware. Canada may, at its cost, relocate the Leased Hardware either within the facility where the Leased Hardware is in use or to another facility, using the moving resources of its choice. Any such relocation does not affect the Contractor's warranty or its obligation to provide Hardware Maintenance Service for the Leased Hardware, unless the Contractor can demonstrate that the relocation is directly responsible for the Leased Hardware's failure or malfunction. In that case, Canada must either repair any such damage or pay the Contractor to repair it; the remainder of the Contractor's warranty and maintenance obligations will remain in effect.

9.7. De-installation and Removal of Leased Hardware.

- a. Contractor's Responsibility.** The Contractor must de-install and remove the Hardware from Canada's premises promptly after the expiration or termination of the lease. If the Lease Period is different for different items of Hardware, this obligation applies to each item of Hardware when the lease relating to such item ends. The Contractor must provide all necessary removal resources and arrange for any necessary transportation, rigging, and drayage. All associated costs are included in the lease rates.
- b. Failure to De-install and Remove.** If the Contractor does not de-install and remove the Hardware within 30 calendar days of the expiration or termination of the lease, Canada may either assume ownership of the Leased Hardware, which will occur automatically upon Canada's notice to the Contractor to that effect, or arrange for its de-installation and removal, at the Contractor's cost, in which case Canada may deduct this amount from any amount that it owes to the Contractor, under the Contract or otherwise.

9.8. Quiet Enjoyment. The Contractor guarantees that it has full power and authority to lease the Hardware to Canada, and if Canada is performing its obligations under the Contract, Canada will have unlimited use of the Hardware without disturbance by the Contractor or by any person acting on behalf of the Contractor or who has rights granted by the Contractor, except when the Contractor is performing Hardware Maintenance Service under the Contract.

9.9. Right to Withhold Lease Payments. If the Contractor fails to perform any of its obligations under the Contract, Canada may withhold the lease payments until the default is cured, without affecting any other right that Canada may have, including termination. The Contracting Authority may exercise this right by sending the Contractor a notice that describes the default.

10. Documentation.

10.1. Content. The Contractor must provide to Canada the same Hardware Documentation that it provides to other purchasers of similar hardware and include all supplements and revisions to the Hardware Documentation effective up to the Delivery Date. The Hardware Documentation must include at least all the documentation available to consumers from the manufacturer of the Hardware about the

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technical specifications of the Hardware and the Firmware, the installation requirements, and the operating instructions, as well as details about the software programs with which the Hardware functions, regardless of whether licenses to those software programs are provided under the Contract.

10.2. Guarantee of Documentation. The Contractor guarantees that the Hardware Documentation is sufficiently detailed to allow Canada to use and test all the Hardware's functions.

10.3. Detail of Maintenance Documentation. If the Contract states that the Contractor must provide maintenance documentation, the Contractor guarantees that the Hardware Documentation is sufficiently detailed to permit Canada to maintain and repair the Hardware properly and to test it for that purpose.

10.4. Delivery of Documentation. The Contractor must deliver the Hardware Documentation to Canada with the Hardware. If the Contractor delivers multiple Hardware units, the Contractor must provide one complete set of Hardware Documentation with each such item.

10.5. Updates to Documentation. If there are changes to the Hardware during the Term of the Contract, the Contractor must update the Hardware Documentation at no additional cost to Canada. The Contractor must provide these updates within 10 calendar days of the manufacturer making them available. If available from the manufacturer, the updates must include supporting documentation that identifies any problem resolved or enhancement made to the Hardware, any new features added, and any necessary installation instructions.

10.6. Language of Documentation. The Contractor must deliver the Hardware Documentation in both English and French unless the Contract provides otherwise.

11. Transportation.

11.1. Transportation Costs and Carrier Liability.

- a. **Transportation Costs.** If transportation costs are payable by Canada under the Contract and the Contractor makes the transportation arrangements, the Contractor must ship using the most direct and economical means consistent with normal shipping practice. The Contractor must show these costs as a separate item on the invoice.
- b. **Transportation Carriers' Liability.** The federal government's policy of underwriting its own risks precludes payment of insurance or valuation charges for transportation beyond the point at which ownership of goods passes to the federal government determined by the Incoterms applicable to the Contract. Where increased carrier liability is available without charge, the Contractor must obtain the increased liability for shipment.

11.2. Shipping Documentation. When shipping goods, the transportation bill of lading must accompany the original invoice, except for "collect" shipments (when stipulated), in which event it must accompany the shipment. In addition, a packing slip must accompany each shipment, showing item, quantity, part or reference numbers, description of the goods and Contract ID, including the CRN and BN. If Canada has inspected the goods at the Contractor's plant, the Contractor must attach the signed inspection voucher to the packing slip.

12. Inspection and Acceptance.

12.1. Inspection, Rejection and Cure.

- a. **Canada's Rights.** All the Work is subject to inspection and acceptance by Canada.

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- i. **Inspection and Acceptance.** Canada has the right to inspect and accept all Work. Canada's inspection and acceptance of the Work by Canada do not relieve the Contractor of its responsibility for defects or other failures to meet the requirements of the Contract.
- ii. **Rejection and Cure.** If Canada rejects any Work, it may require the Contractor to correct or replace the Work at no additional cost.
- b. **Contractor's Obligations.**
 - i. **Access to Locations.** The Contractor must provide representatives of Canada access to all locations where any part of the Work is being performed at any time during working hours. Representatives of Canada may make examinations and such tests of the Work as they may think fit.
 - ii. **Assistance.** The Contractor must provide all assistance and facilities, test pieces, samples, and documentation that the representatives of Canada may reasonably require for the carrying out of the inspection. The Contractor must forward such test pieces and samples to such person or location as Canada specifies.
 - iii. **Contractor Inspection.** The Contractor must inspect and approve any part of the Work before submitting it for acceptance or delivering it to Canada.
 - iv. **Inspection Records.** The Contractor must keep accurate and complete inspection records that must be made available to Canada on request. Representatives of Canada may make copies and take extracts of the records during the performance of the Contract and for up to three years after the end of the Contract.

12.2. Inspection and Acceptance - Software.

- a. **Work Subject to Acceptance.** Canada may inspect all Licensed Programs that the Contractor delivers and all services that the Contractor provides under the Contract. If any of the Licensed Programs do not meet all the Contract requirements, Canada may either reject them or require that the Contractor correct them, at the Contractor's expense, before recommending payment.
- b. **Effect of Acceptance.** Canada's acceptance of any Licensed Programs or any services does not relieve the Contractor of its responsibility for any defects or other failures to meet the Contractor's contractual requirements.
- c. **Period of Acceptance.** The acceptance procedures are as follows:
 - i. when the Work is complete, the Contractor must notify the Technical Authority in writing, with a copy to the Contracting Authority, by referring to this provision of the Contract and requesting acceptance of the Work, and
 - ii. Canada will have 30 calendar days from receipt of such notice to perform its inspection.
- d. **Notice of Deficiency.** If Canada notifies the Contractor of a deficiency during such acceptance period, the Contractor must address the deficiency as soon as possible and notify Canada once the Work is complete, at which time Canada may re-inspect the Work before acceptance, at which time the Acceptance Period will begin again.

12.3. Acceptance.

- a. **Acceptance Testing.** Canada must accept the Hardware and all related Work. As part of its acceptance process, Canada may test any function of the Hardware to determine whether it meets the Specifications. If any of the Work does not meet the contractual requirements, Canada may either reject it or require that it be corrected at the Contractor's expense before accepting it. Canada is not liable to make any payments for the Hardware before acceptance.

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- b. **Effect of Acceptance.** Canada's acceptance of the Hardware does not relieve the Contractor of its responsibility for defects or other failures to meet the contractual requirements or any of its warranty or maintenance obligations.
- c. **Acceptance Period for Licensed and Custom Software.** If the Contract states that the System consists of the Hardware together with Licensed Software or Custom Software or both, the period for conducting any acceptance tests for the System will be the same Acceptance Period as for the Hardware.
- d. **{ | (Remove if section entitled "Hardware Availability-Level Testing Before Acceptance" is included.) Acceptance Procedure.** The procedure for acceptance is as follows:
 - i. **Notice that Hardware is Ready for Use.** The Contractor must notify the Contracting Authority once the Hardware is Ready for Use by referring to this provision of the Contract and requesting acceptance of the Work.
 - ii. **Acceptance Period.** Canada must perform its acceptance procedures within 30 calendar days of receipt of the Contractor's notice (the "Acceptance Period").
 - iii. **Notice of Deficiency.** If, during the Acceptance Period, Canada notifies the Contractor of any deficiency, the Contractor must promptly address the deficiency at no cost to Canada and notify Canada once the Work is complete, at which time Canada may re-inspect the Work and the Acceptance Period will start again. }

13. Basis of Payment.

13.1. Basis of Payment – Fixed Price (specific work). In consideration of the Contractor satisfactorily completing its obligations under the Contract, Canada will pay the Contractor for the Work described in **{ | (Insert the applicable section(s) of the SOW or requirement for the portion of Work to which this basis of payment applies)** of the **(Insert "Annex Statement of Work" OR "Annex Statement of Requirement")** a fixed price of \$ **(Contracting Authority to insert the amount at Contract award)**. Customs duties are included and Applicable taxes are extra.

13.2. Basis of Payment – Ceiling Price (specific Work). For the Work described in **{ | (insert the applicable section(s) of the statement of work or requirement to which this basis of payment applies)** of the **(Insert "Statement of Work" or "Requirement")** in Annex-**(Insert annex name)**. Canada will reimburse the Contractor for its costs reasonably and properly incurred in the performance of the Work, in accordance with the Annex-Basis of Payment, to a limitation of expenditure of \$**(Contracting Authority to insert the amount at contract award)**. Customs duties are included and Applicable Taxes are extra.

13.3. Auditing.

- a. **Government Audit.** Canada may recover amounts and make adjustments to amounts payable to the Contractor if an examination of the Contractor's records has identified amounts allocated to the Contract that are not in accordance with the Contract terms.
- b. **Overpayment.** If the results of an examination indicate that Canada has overpaid, such overpayment is due and payable on the date indicated in the notice of overpayment.

14. Fees.

14.1. Limitation of price. Canada will not pay the Contractor for any design changes, modifications or interpretations of the Work unless they have been approved, in writing, by the Contracting Authority before their incorporation into the Work.

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14.2. Travel and Living Expenses.

- a. **Reimbursement.** Canada will reimburse the Contractor for the authorized travel and living expenses that the Contractor reasonably and properly incurs in performing the Work, at cost, without any allowance for profit or administrative overhead, in accordance with the meal and private vehicle allowances specified in Appendices B, C and D of the [National Joint Council Travel Directive](#), and with the other provisions of the directive referring to "travellers," rather than those referring to "employees." Canada will not pay the Contractor any incidental expense allowance for authorized travel.
- b. **Authorization.** The [insert "Technical" OR "Project" OR "Contracting"] Authority must give its prior authorization to all travel.
- c. **Audit.** All payments are subject to government audit.
Estimated Cost: \$[insert estimated cost].

15. Payments.

15.1. Invoices.

- a. **Invoice Submission.** The Contractor must submit invoices for each delivery in accordance with the Contract. Each invoice must indicate whether it covers partial or final delivery.
- b. **Invoice Details.** Invoices must show:
 - i. the date, the name and address of the client department, item or reference numbers, deliverable or description of the Work, Contract ID, Client Reference Number, Business Number, and financial code(s);
 - ii. details of expenditures (such as item, quantity, unit of issue, unit price, fixed time labour rates and level of effort, subcontracts, as applicable) in accordance with the Basis of Payment, exclusive of Applicable Taxes;
 - iii. deduction for holdback, if applicable;
 - iv. the extension of the totals, if applicable;
 - v. if applicable, the method of delivery together with date, case numbers and part or reference numbers, shipment charges and any other additional charges; and
 - vi. Applicable Taxes as a separate item along with corresponding registration numbers from the tax authorities. The Contractor must identify on all invoices all items that are zero-rated, exempt or to which Applicable Taxes do not apply.
- c. **Payment of Taxes.** Canada will pay Applicable Taxes. It is the sole responsibility of the Contractor to charge Applicable Taxes at the correct rate. The Contractor must pay Applicable Taxes, ancillary taxes, and any commodity tax, on taxable goods or services used or consumed in the performance of the Contract (in accordance with applicable legislation), including for material incorporated into real property.
- d. **Exemptions.** The Contractor is not entitled to use Canada's exemptions from any tax, such as provincial sales taxes, unless otherwise specified by law.
- e. **Withholding for Non-Residents.** Canada will withhold 15 percent of the amount to pay the Contractor in respect of services provided in Canada if the Contractor is not a resident of Canada unless the Contractor obtains a valid waiver from the Canada Revenue Agency.

15.2. Invoicing Instructions - Progress Payment Claim.

- a. **Claim Form.** The Contractor must submit a claim for payment using form [PWGSC-TPSGC 1111](#), Claim for Progress Payment.
- b. **Claim Details.** Each claim must show

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- i. all information required on form [PWGSC-TPSGC 1111](#),
- ii. all applicable information detailed under the section entitled "Invoice Submission" of the general conditions,
- iii. **{ | insert specific information that must be shown on the claim and is not covered above.**
For example, a list of all expenses; expenditures plus a pro-rated profit or fee; the description and value of the milestone claimed.
- c. **Claim Support.** Each claim must be supported by: (**insert as needed**; the following documents are examples only)
 - i. a copy of time sheets to support any time claimed,
 - ii. a copy of the invoices, receipts, and vouchers for any direct expenses and for any travel and living expenses, and
 - iii. a copy of the monthly progress report.
- d. **Taxes.** The Contractor must calculate the Applicable Taxes on the total amount of the claim before the holdback is applied. At the time the holdback is claimed, there will be no Applicable Taxes payable as it was claimed and payable under the previous claims for progress payments.
- e. **Claim Delivery.** The Contractor must prepare and certify one original claim on form [PWGSC-TPSGC 1111](#) and forward them to the Contracting Authority for appropriate certification after inspection and acceptance of the Work takes place. The Contracting Authority will then forward them to the Technical Authority for certification and onward submission to the Payment Office for certification and payment.
- f. **Claim Timing.** The Contractor can submit claims only for completed Work.

15.3. Payment Period. Canada will pay the Contractor's undisputed invoice amount within 30 days after receipt of invoice in acceptable form and content. In the event an invoice is not of an acceptable form and content, Canada will notify the Contractor within 15 days of receipt and the 30 day payment period will begin on receipt of a conforming invoice.

15.4. Late Payments.

- a. **Interest on Late Payments.** Canada will pay the Contractor simple interest at the Average Rate plus 3 percent per year on any amount that is Overdue, from the date that amount becomes Overdue until the day before the date of payment, inclusive. The Contractor is not required to provide notice to Canada for interest payable.
- b. **Exceptions.** Canada will pay interest only if Canada is responsible for the delay in paying the Contractor. Canada will not pay interest on Overdue advance payments.

15.5. Right to Set-Off. When Canada makes a payment to the Contractor, Canada may deduct any amount payable to Canada by the Contractor under this or any other current contract.

15.6. Electronic Payment of Invoices. The Contractor accepts that Canada will use the following electronic payment instruments:

- a. Direct Deposit (Domestic and International)

15.7. Taxes.

- a. Federal government departments and agencies are required to pay Applicable Taxes.
- b. Applicable Taxes will be paid by Canada as provided in the Invoice Submission section. It is the sole responsibility of the Contractor to charge Applicable Taxes at the correct rate in accordance with applicable legislation. The Contractor agrees to remit to appropriate tax authorities any amounts of Applicable Taxes paid or due.

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- c. The Contractor is not entitled to use Canada's exemptions from any tax, such as provincial sales taxes, unless otherwise specified by law. The Contractor must pay applicable provincial sales tax, ancillary taxes, and any commodity tax, on taxable goods or services used or consumed in the performance of the Contract (in accordance with applicable legislation), including for material incorporated into real property.
- d. In those cases where Applicable Taxes, customs duties, and excise taxes are included in the Contract Price, the Contract Price will be adjusted to reflect any increase, or decrease, of Applicable Taxes, customs duties, and excise taxes that will have occurred between offer submission and contract award. However, there will be no adjustment for any change to increase the Contract Price if public notice of the change was given before offer submission date in sufficient detail to have permitted the Contractor to calculate the effect of the change.
- e. Tax Withholding of 15 Percent – Canada Revenue Agency.
Pursuant to the [Income Tax Act](#), 1985, c. 1 (5th Supp.) and the [Income Tax Regulations](#), Canada must withhold 15 percent of the amount to be paid to the Contractor in respect of services provided in Canada if the Contractor is not a resident of Canada, unless the Contractor obtains a valid waiver from the [Canada Revenue Agency](#). The amount withheld will be held on account for the Contractor in respect to any tax liability which may be owed to Canada.

15.8. Lien

- a. **Notification and Procedure.** If any lien under section 427 of the [Bank Act](#) exists in respect to any materials, parts, work-in-process, or finished Work for which the Contractor intends to claim payment, the Contractor must inform the Contracting Authority without delay and must either
 - i. cause the bank to remove such lien and provide the Contracting Authority with the bank's written confirmation, or
 - ii. provide to the Contracting Authority an undertaking from the bank that the bank will not make any claim under section 427 of the [Bank Act](#) on materials, parts, work-in-process, or finished work in respect of which payment is made to the Contractor under the Contract.
- b. **Failure to Notify.** The Contractor's failure to inform the Contracting Authority of such lien or to take either step provided in the paragraph immediately above will constitute default.

16. Method of Payment.

16.1. Method of Payment-Progress Payments.

- a. Canada will make progress payments in accordance with the payment provisions of the Contract, no more than once a month, for costs incurred in the performance of the Work, up to [[Insert Percentage](#)] percent of the amount claimed and approved by Canada if:
 - i. an accurate and complete claim for payment using form [PWGSC-TPSGC 1111](#), Claim for Progress Payment, and any other document required by the Contract have been submitted in accordance with the invoicing instructions provided in the Contract;
 - ii. the amount claimed is in accordance with the Basis of Payment;
 - iii. the total amount for all progress payments paid by Canada does not exceed [[percentage amt exceed](#)] percent of the total amount to be paid under the Contract; and
 - iv. all certificates appearing on form [PWGSC-TPSGC 1111](#) have been signed by the respective authorized representatives.
- b. [{| Insert one of the options below|}](#)
Option 1: "The balance of the amount payable will be paid in accordance with the payment

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provisions of the Contract upon completion and delivery of the item if the Work has been accepted by Canada and a final claim for the payment is submitted."

Option 2: "The balance of the amount payable will be paid in accordance with the payment provisions of the Contract upon completion and delivery of all work required under the Contract if the Work has been accepted by Canada and a final claim for the payment is submitted."

- c. Progress payments are interim payments only. Canada may conduct a government audit and interim time and cost verifications and reserves the rights to make adjustments to the Contract from time to time during the performance of the Work. The Contractor must immediately refund to Canada any overpayment resulting from progress payments.}

17. Warranties.

17.1. Warranty.

- a. **General Warranty.** The Contractor states that the Work will be new, conform to the Specifications, and be free from defects in design, material and workmanship during the longer of the Contractor's standard warranty period or 12 months after Canada accepts the Work (the "Warranty Period").
- b. **Government Property.** With respect to Government Property not supplied by the Contractor, the Contractor's warranty will extend only to its proper incorporation into the Work.
- c. **Replacement or Repair.** Upon Canada's request during the Warranty Period the Contractor at its expense, must replace or repair any nonconforming or defective goods within 5 days or such other time as specified by Canada.
- d. **Defective or Non-conforming Work.** The Work or any part of the Work found to be defective or non-conforming, will be returned to the Contractor's plant for replacement, repair or making good. However, when in the opinion of Canada it is not expedient to remove the Work from its location, the Contractor must carry out any necessary repair or making good of the Work at that location. In such cases, the Contractor will be paid the fair and reasonable Cost (including reasonable travel and living expenses) incurred in so doing, with no allowance for profit, less an amount equal to the Cost of rectifying the defect or non-conformance at the Contractor's plant.
- e. **Transportation Costs.** Canada must pay the transportation cost associated with returning the Work or any part of the Work to the Contractor's plant. The Contractor must pay the transportation cost associated with forwarding the replacement or returning the Work or part of the Work when rectified to the delivery point specified in the Contract or to another location directed by Canada.

17.2. Warranty Remedies.

- a. **Goods.** If the Contractor fails to replace or repair goods, within the specified time to replace or repair any nonconforming or defective goods, Canada may equitably reduce the Contract Price, or at the Contractor's expense:
 - i. purchase the goods via another supplier; or
 - ii. remedy or have remedied any defective or non-conforming goods.
- b. **Services.** The Contractor states that it will perform all services as part of the Work, in a professional manner in accordance with generally accepted industry practices. If at any time during the Warranty Period, Canada discovers a defect or non-conformance in any service, the

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Contractor must at its own expense, correct or re-perform the nonconforming service as soon as possible.

- c. **Data and Reports.** The Contractor must remedy all data and reports pertaining to any correction or replacement under this section, including revisions and updating of all affected data, manuals, publications, software and drawings called for under the Contract, at no cost to Canada.

17.3. Extension of Warranty. The Contractor must automatically extend the Warranty Period by the duration of any period or periods where the Work is unavailable for use by Canada or Canada cannot use the Work because of a defect or non-conformance during the original Warranty Period. The warranty applies to any part of the Work repaired, replaced or otherwise made good, for the greater of:

- a. the Warranty Period remaining, including the extension, or
- b. 90 days or such other period as the Parties may specify for that purpose.

17.4. Software Warranty.

- a. **General Warranty.** The Contractor warrants that, throughout the Software Warranty Period, the Licensed Programs will operate on the computer system or systems on which the Licensed Programs are installed in accordance with the Software Documentation and the Specifications.
- b. **Non-correctible Errors.** Canada acknowledges that, although the Contractor must use reasonable efforts to provide permanent corrections for all Errors, the Contractor may not be able to permanently correct certain Errors under the warranty. The Contractor must, in such case, provide an effective Software Patch or by-pass. As a minimum, any such patch or by-pass must cause the Licensed Programs to meet the functional and performance criteria set out in the Software Documentation and the Specifications.
- c. **Documentation Warranty.** The Contractor warrants that, throughout the Software Warranty Period, the Software Documentation will be free from all defects in materials and will conform with the requirements of the Contract. If, during that time, Canada discovers a defect or non-conformance in any part of the Software Documentation, the Contractor must, if Canada so requests, promptly and at its own expense, correct such defects or non-conforming parts.
- d. **Media Warranty.** The Contractor warrants that, throughout the Software Warranty Period, the Media will be free from all defects in materials or workmanship, will conform with the requirements of the Contract, and will be free from computer viruses. Canada may, during that time, return non-conforming or defective Media to the Contractor with notice of the non-conformance or the defect. The Contractor must in such case, promptly and at its own cost, replace that Media with corrected Media.
- e. **Continuing Warranty Obligations.** If the Contractor must perform Support Services for the Licensed Software during the Software Warranty Period, the Contractor's support provisions will not be interpreted so as to derogate from the warranty provisions set out in this section entitled Warranty.
- f. **Effect of Inspection and Acceptance.** The warranty contained in this section entitled Warranty will survive Canada's inspection and acceptance of the Work do not restrict any of Canada's rights.
- g. **Error Correction.** If, during the Software Warranty Period, any Licensed Program fails to meet the Contractor's warranty and if Canada so requests, the Contractor must, promptly and at its own expense, correct any Errors and make any necessary modifications to the Licensed Software in order to keep the Licensed Programs operating properly in accordance with the Software Documentation and the Specifications.

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17.5. Hardware Warranty.

- a. **Hardware Warranty Period.** Even if Canada has accepted the Work, the Contractor guarantees that, throughout the Hardware Warranty Period, the Hardware will be free from all defects in materials or workmanship, be free from all design defects, and conform to the contractual requirements. Because Canada may accept items of Hardware on different days, the Hardware Warranty Period for such different items may begin and end on different days. If the Contract provides that the System consists of the Hardware together with Licensed Software or Custom Software or both, the Hardware Warranty Period will also apply to such Licensed Software and Custom Software components of the System and this longer period will apply to all the Contractor's warranty, maintenance, and support obligations.
- b. **Exclusions.** This warranty does not apply to a specific item of Hardware if the only reason that item fails to conform to the Specifications is because
 - i. Canada is negligent or does not use the Hardware in accordance with the Specifications;
 - ii. electric power or air conditioning or humidity control at the site does not perform according to any special site preparation requirements described in the Contract;
 - iii. a person other than the Contractor, a subcontractor, or a person approved by either of them modifies the Hardware or attaches equipment to the Hardware that was not designed or approved for use with the Hardware by the Contractor, a subcontractor, or the manufacturer of the Hardware; or
 - iv. Canada uses consumable supplies or materials in or on the Hardware that are supplied by a person other than the Contractor or a subcontractor or a person for whom either of them is responsible, if those supplies or materials do not conform to the Specifications or to the Hardware manufacturer's instructions to consumers.
- c. **Hardware Maintenance Service.** The Contractor must provide Hardware Maintenance Service for the Hardware throughout the Hardware Warranty Period. All charges and costs associated with providing such Hardware Maintenance Service are included in the price of the Hardware. The Contractor must continue to provide Hardware Maintenance Service for any part of the Hardware that is repaired, replaced, or otherwise made good as part of the Hardware Maintenance Service for the remainder of the Hardware Warranty Period that applied to the original item of Hardware.

18. Ownership and Risk of Loss.

18.1. Exclusion. 'Ownership', 'Risk of Loss' and 'Title' do not apply to the Licensed Software and the Media.

18.2. Ownership.

- a. **Transfer of Ownership to Canada.** Unless provided otherwise, the Work or any part of the Work belongs to Canada after acceptance by or on behalf of Canada.
- b. **Partial Payments.** However, if any payment is made to the Contractor for or on account of any work, either by way of progress or milestone payments, that work paid for by Canada belongs to Canada upon such payment being made. This transfer of ownership does not constitute acceptance by Canada of the Work or any part of the Work and does not relieve the Contractor of its obligation to perform the Work in accordance with the Contract.

18.3. Risk of Loss. Despite any transfer of ownership, the Contractor is responsible for any loss or damage the Contractor or its subcontractor causes to the Work or any part of the Work in accordance with the Contract.

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18.4. Title. Upon transfer of ownership to the Work or any part of the Work to Canada, the Contractor must, if requested by Canada, establish to Canada's satisfaction that the title is free and clear of all claims, liens, attachments, charges or encumbrances. The Contractor must execute any conveyances and other instruments necessary to perfect the title that Canada may require.

18.5. Ownership of Licensed Software.

- a. **Title of Licensed Software.** Canada acknowledges that the Contractor is the holder of the Copyright to the Licensed Software and holds title to the Licensed Software.
- b. **Copyright.** The Copyright holder will retain copyright in any ensuing corrections or improvements they make to the work.

18.6. Risk of Loss -Software. Risk of loss of or damage to the Licensed Software or the Media, or to any part of them, will pass to Canada upon delivery to Canada, of the Licensed Software or the Media, or that part, but the Contractor remains liable for any loss or damage to the Licensed Software or Media caused by the Contractor or any of its subcontractors after delivery.

18.7. Records and Disclosure of Foreground Information.

- a. **Maintaining and Disclosing Records.** During and after the performance of the Contract, the Contractor must keep detailed records of the Foreground Information, including details of its creation, ownership and about any sale or transfer of any right in the Foreground Information. The Contractor must report and fully disclose to Canada all Foreground Information as required by the Contract. If the Contract does not specifically state when and how the Contractor must do so, the Contractor must provide this information when requested by Canada, whether before or after the completion of the Contract.
- b. **Canada's Access to Records.** Before and after final payment to the Contractor, the Contractor must provide Canada with access to all records and supporting data that Canada considers pertinent to the identification of Foreground Information.
- c. **Assumption.** For any Intellectual Property that was developed or created in relation to the Work, Canada will be entitled to assume that it was developed or created by Canada, if the Contractor's records do not list that Intellectual Property or do not indicate that it was created by the Contractor, or by someone on behalf of the Contractor, other than Canada.

18.8. Ownership of Intellectual Property Rights in Foreground Information.

- a. **Contractor's Rights in Foreground Information.** The Contractor owns all Intellectual Property Rights in the Foreground Information as soon as they come into existence
- b. **Canada's Rights to Deliverables.** Canada owns any prototype, model, custom, or customized system or equipment that is a deliverable under the Contract.
- c. **Collection of Personal Information.** Canada owns any personal information, as defined in the [Privacy Act](#), that the Contractor collects in the course of performing the Work immediately upon its collection. The Contractor must use such information only to perform the Work.
- d. **Canada's Rights in Databases, etc.** Canada owns the Intellectual Property Rights in any database or other compilation that the Contractor creates in the course of performing the Work using information or data that Canada supplies and any personal information as defined in 'Collection of Personal Information'. The Contractor's Intellectual Property Rights in such Foreground Information are restricted to those capable of being exploited without the use of any data that Canada supplies or any personal information, as defined in the Privacy Act.
- e. **Maintain Confidentiality.** The Contractor must maintain the confidentiality of the information or data supplied by Canada and the personal information. The Contractor must return all the

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information belonging to Canada on request or on completion or termination of the Contract. This includes returning all hard copies and electronic copies as well as any paper or electronic record that contains any part of the information or information derived from it.

18.9. Licenses to Intellectual Property Rights in Foreground and Background Information

- a. **Canada's Rights to Foreground and Background Information.** Since Canada has contributed to the cost of developing the Foreground Information, the Contractor grants to Canada a license to exercise all Intellectual Property Rights in the Foreground Information for Canada's activities. Unless otherwise specified in the Contract, Canada may do anything that it would be able to do if it were the owner of the Foreground Information, other than exploit it commercially and transfer or assign its ownership. The Contractor also grants to Canada a license to use the Background Information to the extent that is reasonably necessary for Canada to fully exercise all its rights in the deliverables and in the Foreground Information.
- b. **Nature of Canada's License.** These licences are non-exclusive, perpetual, irrevocable, worldwide, fully-paid up, and royalty-free. The Contractor cannot restrict or modify either license in any way, including by way of shrink-wrap or click-wrap license or any other kind of packaging, attached to any deliverable.
- c. **Included Rights.** Canada's licenses include, but are not limited to, the right to:
 - i. disclose the Foreground and Background Information to third parties bidding on or negotiating contracts with Canada and to sublicense or otherwise authorize the use of that information by any contractor that Canada engages, solely for the purpose of carrying out such contracts. Canada contractually requires such third parties and Contractors not to use or disclose that information except as may be necessary to bid on, negotiate, or carry out those contracts;
 - ii. disclose Foreground and Background Information to other governments for information purposes only;
 - iii. reproduce, modify, improve, develop, or translate Foreground and Background Information or have it done by a person hired by Canada, in which case Canada, or a person designated by Canada, will own the Intellectual Property Rights arising out of such reproduction, modification, improvement, development or translation.
 - iv. without restricting the scope of any license or other right in the Background Information that Canada may otherwise hold, for any custom-designed or custom-manufactured part of the Work, exercise such of the Intellectual Property Rights in the Background Information as may be required for the following purposes:
 1. to use, operate, maintain, repair, or overhaul such parts of the Work;
 2. to manufacture spare parts for the maintenance, repair, or overhaul of any custom-designed or custom-manufactured parts of the Work by Canada, if those parts are not available on reasonable commercial terms to enable timely maintenance, repair or overhaul;
 - v. for Software that is custom designed for Canada, use any source code that the Contractor must deliver to Canada under the Contract.
- d. **Access to Background Information.** The Contractor must make the Background Information, including in the case of Software, the source code promptly available to Canada for any purpose listed above. The license does not apply to any Software that is subject to detailed license conditions set out elsewhere in the Contract. For commercial off-the-shelf software, the Contractor's obligation to make the source code promptly available to Canada applies only

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to source code that is within the control of or can be obtained by the Contractor or any subcontractor.

18.10. Contractor's Right to Grant Licenses. The Contractor represents and warrants that it has the right to grant to Canada the licenses and any other rights to use the Foreground and Background Information. If a subcontractor or any other third party owns the Intellectual Property Rights in any Foreground or Background Information, the Contractor must

- a. have or promptly obtain a license from that subcontractor or third party that permits the Contractor's compliance with the section entitled "Licenses to Intellectual Property Rights in Foreground and Background Information", or
- b. arrange, without delay, for the subcontractor or third party to promptly grant any required license directly to Canada.

18.11. Waiver of Moral Rights. If requested by Canada, during and after the Contract, the Contractor must provide a written permanent waiver of moral rights, as defined in the [Copyright Act](#), R.S., 1985, c. C-42, from every author that contributes to any Foreground Information subject to copyright protection that is a deliverable to Canada under the Contract. If the Contractor is an author of the Foreground Information, the Contractor permanently waives the Contractor's moral rights in that Foreground Information.

18.12. License to Intellectual Property Rights to Canada's Information.

- a. **Information Supplied to Contractor.** Any information Canada supplies to the Contractor to perform the Work remains the property of Canada. The Contractor must use Canada's information only to perform its obligations under the Contract.
- b. **Contractor's Use of Information.** If the Contractor wants to use any of Canada's information for the commercial exploitation or further development of the Foreground Information, the Contractor must obtain a license from the department or agency the Contractor is performing the Work for. In its request for such a license, the Contractor must explain why it requires the license and how it intends to use such information. If the department or agency agrees to grant a license, the department or agency and the Contractor will negotiate the conditions, which may include the payment of compensation to Canada.

18.13. Transfer or License of Contractor's Rights.

- a. **Sale, etc., of Foreground Information.** The Contractor must not sell, transfer, assign, or license the Foreground Information without the Contracting Authority's prior written consent.
- b. **Transfer of Ownership in Foreground Information.** After the Term of the Contract, the Contractor may transfer ownership in the Foreground Information, but only
 - i. upon giving notice of the transfer to the department or agency by referring to the serial number of the Contract and its date and providing all relevant details about the transfer,
 - ii. if the transfer is subject to all Canada's rights to use the Foreground Information, and
 - iii. if the transfer agreement requires the transferee to notify Canada in writing of any future transfer.
- c. **License, etc., of Ownership in Foreground Information.** After the Term of the Contract, the Contractor may, without notice to Canada, grant a license or any other right (other than a transfer of ownership) to a third party to use the Foreground Information, but only if such license or right does not affect any of Canada's rights.
- d. **Interference with Canada's Rights in Foreground Information.** If the Contractor at any time transfers ownership of or grants rights in the Foreground Information that interfere in any way

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with Canada's rights to use the Foreground Information, the Contractor must, if Canada so requests, immediately take all steps necessary to restore Canada's rights. If the Contractor is unsuccessful in doing so, within the time reasonably required by Canada, the Contractor must, immediately reimburse Canada for all costs that Canada incurs to do so itself.

18.14. Products Created Using the Foreground Information. If the Contractor uses the Foreground Information to develop any new product or any improvement in any existing product, and, if Canada wishes to purchase such new or improved product, the Contractor must sell them to Canada at a discount off the lowest price for which it has sold those products to other customers, to recognize Canada's financial contribution to the development of those product.

19. Government Property.

19.1. Care of Property. The Contractor must take reasonable and proper care of all Government Property while it is in its possession or subject to its control. The Contractor is responsible for any loss or damage resulting from its failure to do so other than loss or damage caused by ordinary wear and tear.

19.2. Use of Property. The Contractor must use all Government Property solely for the purpose of the Contract and all Government Property remains the property of Canada. The Contractor must maintain adequate accounting records of all Government Property and, whenever feasible, mark it as being the property of Canada.

19.3. Return of Property. The Contractor must return all Government Property, unless the Contractor installs or incorporates it in the Work. All scrap and all waste materials, articles or things that are Government Property must, remain the property of Canada and must be disposed of only as directed by Canada.

19.4. Inventory of Property. At the time of completion of the Contract, and if requested by the Contracting Authority, the Contractor must provide Canada an inventory of all Government Property relating to the Contract.

20. Use and Translation of Written Material.

20.1. Copyright and Right to Use. Unless provided otherwise in the Contract, copyright in any written material used, produced or delivered under the Contract belongs to its author or rightful owner. Canada has the right to use, copy and disclose, for government purposes, the written material related to the Work that is delivered to Canada.

20.2. Translated Materials. If the Contract does not require the delivery of any written material in both of Canada's official languages, Canada may translate the written material into the other official language. The Contractor acknowledges that Canada owns the rights on the translation and that Canada is under no obligation to provide the translation to the Contractor. Canada agrees that any translation must include any copyright and any proprietary right notice that was part of the original. Canada acknowledges that the Contractor is not responsible for any technical errors or other problems that may arise as a result of the translation.

21. Confidentiality.

21.1. Confidentiality Obligations.

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- a. **Contractor's Obligations.** The Contractor must keep confidential all information provided to the Contractor by or on behalf of Canada in connection with the Work. This includes any information that is confidential or proprietary to third parties, and all information conceived, developed or produced by the Contractor as part of the Work when copyright or any other intellectual property rights in such information belongs to Canada under the Contract. The Contractor must not disclose any such information without the written permission of Canada. The Contractor may disclose to a subcontractor any information necessary to perform a subcontract as long as the subcontractor agrees to keep the information confidential and the subcontractor only uses the information to perform a subcontract.
- b. **Canada's Obligations.** Subject to the [Access to Information Act](#) and to any right of Canada under the Contract to release or disclose, Canada agrees not to release or disclose outside the Government of Canada any information delivered to Canada under the Contract that is proprietary to the Contractor or a subcontractor.

21.2. Non-disclosure Agreement. The Contractor must obtain from its employee(s) or subcontractor(s) the completed and signed non-disclosure agreement, attached at Annex [name of Annex] , and provide it to the [insert "Contracting" or "Technical" or "Project"] Authority before they are given access to information by or on behalf of Canada in connection with the Work. { | [Instruction to contracting officers: To include the form, check the box "Annex Non-disclosure Agreement - Resulting Contract" from the annex section of the outline.](#) }

21.3. Use Solely for the Purpose. The Contractor agrees to use any information provided to the Contractor by or on behalf of Canada only for the purpose of the Contract. The Contractor acknowledges that all this information remains the property of Canada or the third party, as the case may be.

21.4. Return of Information. The Contractor must deliver to Canada any such information, together with every copy, draft, working paper, and note that contains such information, upon completion or termination of the Contract or at such earlier time as Canada may require.

21.5. Non-Confidential Information. The obligations of the Parties set out in this section do not apply to any information if the information:

- a. is publicly available from a source other than the other Party; or
- b. is or becomes known to a Party from a source other than the other Party, except any source that is known to be under an obligation to the other Party not to disclose the information; or
- c. is developed by a Party without the use of the information of the other Party.

21.6. Marking. Wherever possible, the Contractor must mark or identify any proprietary information delivered to Canada under the Contract as "Property of (*name of Contractor*), permitted Government uses defined under Public Works and Government Services (PWGSC) Contract ID (*fill in Contract ID*)". Canada will not be liable for any unauthorized use or disclosure of information that could have been so marked or identified and was not.

22. Data Protection and Privacy.

22.1. Protected Information.

- a. **Standard of Care.** If the Contract, the Work, or any confidential information is identified as TOP SECRET, SECRET, CONFIDENTIAL, PROTECTED, COSMIC TOP SECRET, NATO SECRET, NATO CONFIDENTIAL, or NATO RESTRICTED by Canada, the Contractor must at all times take all measures reasonably necessary for the safeguarding of the material so identified, including

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those set out in the PWGSC Contract Security Manual and its supplements and any other instructions issued by Canada.

- b. **Inspection.** If the Contract, the Work, or any information is identified as TOP SECRET, SECRET, CONFIDENTIAL, PROTECTED, COSMIC TOP SECRET, NATO SECRET, NATO CONFIDENTIAL, or NATO RESTRICTED by Canada, representatives of Canada are entitled to inspect the Contractor's premises and the premises of a subcontractor at any tier for security purposes at any time during the Contract Period. The Contractor must comply with, and ensure that any subcontractor complies with, all written instructions issued by Canada dealing with the material so identified, including any requirement that employees of the Contractor or of any subcontractor execute and deliver declarations relating to reliability screenings, security clearances and other procedures.

23. Access to Information.

23.1. Access to Information. Records created by the Contractor, and under the control of Canada, are subject to the [Access to Information Act](#). The Contractor acknowledges the responsibilities of Canada under the [Access to Information Act](#) and must, to the extent possible, assist Canada in discharging these responsibilities. Furthermore, the Contractor acknowledges that section 67.1 of the [Access to Information Act](#) provides that any person, who destroys, alters, falsifies or conceals a record, or directs anyone to do so, with the intent of obstructing the right of access that is provided by the [Access to Information Act](#) is guilty of an offence and is liable to imprisonment or a fine, or both.

24. Accounts and Audit.

24.1. Accounts and Records.

- a. **Requirement to Keep Records.** The Contractor must maintain complete and accurate records of the estimated and actual cost of the Work, to enable Canada to determine whether the Contractor has performed the Work, the price charged for the Work is in accordance with the Contract terms and Canada has achieved best value.
- b. **Types of Records.** Such records include all tender calls, quotations, contracts, correspondence, source documents for accounting entries such as Excel or other spread sheets in numeric and machine readable form (not PDF copies), books and ledgers of initial accounting entries, work sheets, spreadsheets and other documentation supporting cost allocations, computations, reconciliations and assumptions made by the Contractor in relation to the Contract. The Contractor can only use copies if originals are unavailable due to unusual circumstances, such as fire, flood or theft.
- c. **Accounting System.** The Contractor must establish and maintain an accounting system that enables Canada to readily identify these records.
- d. **Availability of Records.** The Contractor must make these records available on request, for examination by Canada, or by Canada's representatives during normal business hours at the Contractor's office or place of business. If no such location is available, then the Contractor must make financial records, with the supporting or underlying documents and records, available for examination at a time and location that is convenient for Canada.
- e. **Retention of Records.** The Contractor must maintain such records, and Canada and its authorized representatives may examine such records, at all times during the period of this Contract and until the later of seven years after final payment and the settlement of all

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outstanding claims and disputes. Should an examination reveal any overpayments by Canada, these will be claimed by Canada and immediately repaid by the Contractor.

- f. **Review by Canada.** Canada and its authorized representatives may examine, and make copies of, or extract from, all such records in whatever form they may be kept, relating to or pertaining to this Contract, including but not limited to those kept by the Contractor, its employees, agents, successors, and subcontractors.
- g. **Full Compliance.** The Contractor must ensure that all subcontractors and affiliates comply with the requirements of this clause.

24.2. Time Records. If the Contract includes payment for time spent by the Contractor, its employees, representatives, agents or subcontractors performing the Work, the Contractor must keep a record of the actual time spent each day by each individual performing any part of the Work.

25. Insurance.

25.1. Insurance Requirements. The Contractor is responsible for deciding if insurance coverage is necessary to fulfill its obligations under the Contract and to ensure compliance with any applicable law. Any insurance acquired or maintained by the Contractor is at the Contractor's expense and for its own benefit and protection. It does not release the Contractor from or reduce its liability under the Contract.

26. Certifications and Additional Information.

26.1. Compliance with Certifications. Unless specified otherwise, the Contractor will be in default if it does not continuously comply with the certifications it provided in its offer or before contract award or if the Contractor does not provide evidence about its compliance when requested by the Contracting Authority. Canada may verify the Contractor's certifications throughout the Contract Period.

26.2. Compliance with Laws. The Contractor must comply with all laws applicable to the performance of the Contract. The Contractor must provide evidence of compliance with such laws to Canada at such times as Canada may reasonably request.

26.3. Compliance with Code of Conduct. The Contractor must comply with the [Code of Conduct for Procurement](#).

26.4. Contingency Fees. The Contractor certifies and agrees that it has not paid and will not pay, directly or indirectly, any contingency fee for the solicitation, negotiation or obtaining of the Contract to any person (including, without limitation any individual who is required to file a return with the registrar pursuant to section 5 of the [Lobbying Act](#)), other than an employee of the Contractor acting in the normal course of the employee's duties. In this section:

- a. "contingency fee" means any payment or other compensation that depends or is calculated based on a degree of success in soliciting, negotiating or obtaining the Contract; and
- b. "person" included any individual who is required to file a return with the registrar pursuant to section 5 of the [Lobbying Act](#) 1985, c. 44 (4th Supplement).

26.5. No Bribe. The Contractor certifies that it has not and will not offer, promise, give or pay any bribe, gift, benefit, or other inducement directly or indirectly to any official or employee of Canada or to any member of their family, in order to influence the issuance or administration of the Contract.

26.6. No Influence; No Financial Interest. The Contractor must not influence, seek to influence, or otherwise take part in any decision of Canada that might further the Contractor's own interests. The

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Contractor must have no financial interest in the business of any third party that causes or would appear to cause a conflict of interest in connection with the performance of the Work. The Contractor must immediately declare any such financial interest to the Contracting Authority.

26.7. No Conflict. The Contractor warrants that, to the best of its knowledge after making diligent inquiry, no conflict exists or is likely to arise in its performance of the Contract. If the Contractor becomes aware of any matter that causes or is likely to cause such a conflict, the Contractor must immediately disclose it to the Contracting Authority. If the Contracting Authority is of the reasonable opinion that such a conflict exists, it may either (i) require the Contractor to take steps to deal with the conflict or (ii) terminate the Contract for default. In this section, "conflict" means any matter, circumstance, interest, or activity affecting the Contractor, its personnel, or its subcontractors, that may impair or may appear to impair its ability to perform the Work diligently and independently.

26.8. Ethics Codes for Public Service. The Contractor acknowledges that individuals who are subject to the provisions of the [Conflict of interest Act](#), the Conflict of interest Code for Members of the House of Commons, the Values and Ethics Code for the Public Service or all other codes of values and ethics applicable within specific organizations cannot derive any direct or indirect benefit from the Contract.

26.9. Ineligibility and Suspension Policy Provisions. The Contract incorporates the *Ineligibility and Suspension Policy* and all related Directives incorporated by reference into the solicitation of offers on its closing date, and form a binding part of the Contract. The Contractor must comply with the provisions of the *Ineligibility and Suspension Policy* and Directives, found on Public Works and Government Services Canada's website at [Ineligibility and Suspension Policy](#).

26.10. Federal Contractors Program for Employment Equity - Default by the Contractor. The Contractor agrees that, when an Agreement to Implement Employment Equity (AIEE) exists between the Contractor and Employment and Social Development Canada (ESDC)-Labour, the AIEE must remain valid throughout the Contract Period. If the AIEE becomes invalid, Canada will add the name of the Contractor to the "FCP Limited Eligibility to Offer" list. The imposition of such a sanction by ESDC will result in the Contractor being in default.

26.11. Harassment in the Workplace.

- a. The Contractor acknowledges the responsibility of Canada to ensure, for its employees, a healthy work environment, free of harassment. A copy of the [Directive on the Prevention and Resolution of Workplace Harassment and Violence](#), which also applies to the Contractor, is available on the Treasury Board Web site.
- b. The Contractor must not, either as an individual, or as a corporate or unincorporated entity, through its employees or subcontractors, harass, abuse, threaten, discriminate against or intimidate any employee, contractor or other individual employed by, or under contract with Canada. Canada will advise the Contractor in writing of any complaint and the Contractor will have the right to respond in writing. Upon receipt of the Contractor's response, the Contracting Authority will, at its entire discretion, make a determination regarding the validity of the complaint and decide on any action required.

26.12. Canadian Content Certification.

- a. **Certification Accurate and Complete.** The Contractor warrants that the certification of Canadian Content that it submitted is accurate and complete and that the goods, services, or both that it will provide under the Contract are in accordance with the definition contained in the Annex Contract Definitions.

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- b. Maintaining Records.** The Contractor must keep proper records relating to the origin of the goods, services, or both that it provides to Canada. The Contractor must not, without the Contracting Authority's prior written consent, dispose of any such records until the later of the expiration of six years after final payment under the Contract and settlement of all outstanding claims and disputes under the Contract. During this retention period, the Contractor must make all such records available to audit, inspection, and examination by Canada's representatives, who may make copies and take extracts. The Contractor must provide all facilities for such audits, inspections, and examinations and must furnish all such information relating to those records as Canada's representatives may require.
- c. Canada's Rights and Remedies.** Nothing in this clause limits the rights and remedies that Canada may otherwise have under the Contract.

26.13. Invoice Submittal Certification. By submitting an invoice, the Contractor certifies that the invoice is consistent with the Work delivered and is in accordance with the Contract.

26.14. Direct Request by Customer Department

- a.** Under paragraph 221 (1)(d) of the [Income Tax Act](#), R.S. 1985, c. 1 (5th Supp.), payments made by departments and agencies to contractors under applicable services contracts (including contracts involving a mix of goods and services) must be reported on a T1204 Government Service Contract Payments slip.
- b.** To enable departments and agencies to comply with this requirement, the Contractor must provide Canada, upon request, its business number or Social Insurance Number, as applicable. (These requests may take the form of a general call-letter to contractors, in writing or by telephone).

26.15. Compliance with On-site Rules. The Contractor must comply and ensure that its employees and subcontractors comply with all security measures, standing orders, policies, or other rules in force at the site where the Work is performed.

26.16. Certification of Electrical Equipment. The Contractor guarantees that all electrical equipment delivered under the Contract either

- a.** is certified by an organization accredited by the Standards Council of Canada in accordance with Part I of the Canadian Electrical Code, or
- b.** has been inspected by an organization acceptable to the Chief Electrical Inspector in the province, territory, or city in Canada where the Contractor will deliver the electrical equipment, in which case the Contractor must present evidence of this inspection if Canada so requests.

27. Proactive Disclosure of Contracts with Former Public Servants.

27.1. Proactive Disclosure of Contracts with Former Public Servants. By providing information on its status, with respect to being a former public servant in receipt of a [Public Service Superannuation Act](#) (PSSA) pension, the Contractor has agreed that this information will be reported on departmental websites as part of the published proactive disclosure reports, in accordance with [Contracting Policy Notice: 2019-01](#) of the Treasury Board Secretariat of Canada.

28. International Sanctions.

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28.1. Sanctions Limitations. Canada cannot accept delivery of goods or services that originate, directly or indirectly, from the countries or persons subject to [economic sanctions](#).

28.2. Contractor Obligations.

- a. The Contractor must:
 - i. not supply to the Government of Canada any goods or services that are subject to economic sanctions,
 - ii. comply with changes to the regulations imposed during the Contract Period, and
 - iii. immediately advise Canada if it is unable to perform the Work because of the imposition of economic sanctions against a country or person or the addition of a good or service to the list of sanctioned goods or services.
- b. If the Parties cannot agree on a workaround plan, Canada will terminate the Contract for convenience.

29. Reciprocal Procurement Compliance.

29.1. Change of Location of Place of Business. The Contractor must notify the Contracting Authority in writing within 10 calendar days of any change in the location of its place of business taking effect, or, if the Contractor is a joint venture, any change in the location of the place of business of any member of the joint venture. Where possible, Canada requests that the Contractor provide as much advance notice as possible in writing of any proposed or planned change to the Contractor's place of business.

29.2. Termination Due to Change of Location. If Canada determines in its sole discretion that a change in location results in the Contractor no longer qualifying as a Canadian Supplier or a Supplier of an Applicable Trading Partner under this solicitation of offers, Canada may terminate the contract for default. It may also terminate the contract on a "no-fault" basis by providing thirty days notice to the Contractor.

Canada will only pay according to the Basis of Payment, for any part of the Work delivered, inspected, and accepted up to the date of termination. Despite any other provision of the Contract, there will be no other costs that will be paid to the Contractor as a result of the termination.

30. Foreign Nationals.

30.1. Foreign Nationals - Canadian Contractor. The Contractor must comply with Canadian immigration requirements applicable to foreign nationals entering Canada to work temporarily in fulfillment of the Contract. If the Contractor wishes to hire a foreign national to work in Canada to fulfill the Contract, the Contractor should immediately contact the nearest Service Canada regional office to enquire about Citizenship and Immigration Canada's requirements to issue a temporary work permit to a foreign national. The Contractor is responsible for all costs incurred because of non-compliance with immigration requirements.

31. Anti-forced Labour Requirements.

31.1. Contractor's Statement. The Contractor states that the Work is not mined, manufactured, or produced wholly or in part by forced labour. In performing the Contract and regardless of who acts as an importer, the Contractor must not, directly or indirectly, deliver Work if it is mined, manufactured, or produced wholly or in part by forced labour.

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31.2. Canada's Reasonable Grounds for Termination. If Canada has reasonable grounds to believe the Work was or is mined, manufactured, produced or carried out in whole or in part by forced labour or was or is linked to human trafficking, Canada may terminate the Contract for default. This determination is to be grounded in credible evidence from a reliable source.

31.3. Contractor's Conviction in Canada of Specified Offences. Canada may terminate the Contract for default if the Contractor has, in the past three years, been convicted of any of the following offences under the [Criminal Code](#) or the [Immigration and Refugee Protection Act](#):

- a. **Criminal Code.**
 - i. section 279.01 (Trafficking in persons),
 - ii. section 279.011 (Trafficking of a person under the age of eighteen years),
 - iii. subsection 279.02(1) (Material benefit - trafficking),
 - iv. subsection 279.02(2) (Material benefit - trafficking of person under 18 years),
 - v. subsection 279.03(1) (Withholding or destroying documents - trafficking),
 - vi. subsection 279.03(2) (Withholding or destroying documents - trafficking of person under 18 years), or
- b. **Immigration and Refugee Protection Act.**
 - i. section 118 (Trafficking in persons).

31.4. Contractor's Conviction Abroad of Similar Offences. If the Contractor has, in the past three years, been convicted of an offence in a jurisdiction other than Canada that, in Canada's opinion, is similar to any of the offences identified in the immediately preceding clause entitled "Contractor's Conviction in Canada of Specified Offences", Canada may immediately terminate the Contract for default.

31.5. Determination of Similarity of Offences. For the purposes of determining whether a foreign offence is similar to a listed offence, Canada will take into account the following factors:

- a. in the case of a conviction, whether the court acted within its jurisdiction,
- b. whether the Contractor was afforded the right to appear during the court's proceedings or to submit to the court's jurisdiction,
- c. whether the court's decision was obtained by fraud, or
- d. whether the Contractor was entitled to present to the court every defence that the Contractor would have been entitled to present if the proceeding had been tried in Canada.

31.6. Representations from Contractor. If Canada intends to terminate the Contract under this section, Canada will so inform the Contractor and give the Contractor an opportunity to make written representations before making a final decision. Unless Canada establishes a different deadline, the Contractor must submit such written representations within 30 calendar days from receiving Canada's notice of concern.

32. Defence Contract.

32.1. Defence Contract.

- a. **Governing Act.** The Contract is a defence contract within the meaning of the [Defence Production Act](#) and must be governed accordingly.
- b. **Work Free from Claims.** The Contractor must ensure that Canada's title to the Work and to any materials, parts, work-in-process, and finished work remains free of all third-party claims.
- c. **Canada's Ownership of Work.** Canada may, at any time, remove, sell, or dispose of the Work or any part of it in accordance with section 20 of the [Defence Production Act](#).

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33. Controlled Goods Program.

33.1. Controlled Goods.

- a. **Applicability of Act.** The Contract requires production of or access to controlled goods that are subject to the [Defence Production Act](#) and the Contractor acknowledges that, within Canada, only persons who are registered, exempt or excluded under the Controlled Goods Program (CGP) are lawfully entitled to examine, possess or transfer controlled goods. Details on how to register under the CGP are available at: [Controlled Goods Program](#).
- b. **Registration Required.** When the Contractor and any subcontractor proposed to examine, possess or transfer controlled goods are not registered, exempt or excluded under the CGP at time of contract award, they must, within seven (7) Business Days of receiving notice of the Contract award, submit the required application(s) for registration or exemption to the CGP. The Contractor agrees not to examine, possess or transfer controlled goods (or permit any subcontractor to do so) until the Contractor has provided proof, satisfactory to the Contracting Authority, that the Contractor and any subcontractor are registered, exempt or excluded under the CGP.
- c. **Failure to Register a Default.** If the Contractor fails to provide proof, satisfactory to the Contracting Authority, that the Contractor and any subcontractor are registered, exempt or excluded under the CGP, within 30 days of receiving written notice of the Contract being awarded, the Contractor will be in default, unless Canada caused the failure by delaying it's processing of the application.
- d. **Maintenance of Registration.** The Contractor must maintain registration, exemption or exclusion from the CGP throughout the Contract Period (and ensure its subcontractors do) and in any event for so long as they will examine, possess or transfer controlled goods.

34. Termination and Suspension.

34.1. Termination for Convenience.

- a. **Right to Terminate.** Canada may terminate the Contract for convenience in whole or in part by giving written notice to the Contractor. The termination for convenience will take effect immediately or at the time specified in the termination notice.
- b. **Effect of Termination.** Upon termination for convenience of the Contract
 - i. the Contractor must comply with the requirements of the termination notice; or
 - ii. if Canada terminates the Contract in part only, the Contractor must proceed to complete any part of the Work that is not part of the termination notice.
- c. **Payments.** Canada will pay the Contractor
 - i. according to the Basis of Payment, for any part of the Work delivered, inspected, and accepted whether completed before, or after the termination in accordance with the Contract;
 - ii. Costs incurred by the Contractor plus a fair and reasonable profit thereon as determined by Canada in accordance with profit provisions, for any part of the Work commenced, but not completed, before the date of the termination notice; and
 - iii. Costs incidental to the termination of the Work incurred by the Contractor but not including the cost of severance payments or damages to employees whose services are no longer required, except wages that the Contractor is obligated by statute to pay.
- d. **Maximum Payment.** The total of the amounts, which Canada may pay the Contractor under this section, together with any amounts paid, due or becoming due to the Contractor must not

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exceed the Contract Price. Canada may reduce the payment in respect of any part of the Work, if upon inspection, it does not meet the requirements of the Contract.

e. Acknowledgments.

- i. **Claims.** The Contractor will have no claim for damages, compensation, loss of profit, interest, allowance arising out of any termination notice given by Canada under this section except to the extent that this section expressly provides;
- ii. **Anticipated Profits.** The Contractor agrees that it is not entitled to any anticipated profit on any part of the Contract terminated; and
- iii. **Repayments.** The Contractor agrees to repay immediately to Canada the portion of any advance payment that is unliquidated at the date of the termination.

34.2. Termination for Default.

- a. **Right to Terminate.** Canada may, by giving written notice to the Contractor, terminate the Contract or any part of the Contract if the Contractor
 - i. fails to perform any term of the Contract, or
 - ii. becomes bankrupt, makes an assignment for the benefit of creditors, or if a receiver is appointed under a debt instrument or a receiving order is made against the Contractor, or an order is made or a resolution passed for the winding-up of the Contractor.
- b. **Effect of Termination.**
 - i. For (a)(i) above, the termination will take effect immediately or at the expiration of a cure period specified in the notice, if the Contractor has not cured the default to the satisfaction of the Contracting Authority within that cure period.
 - ii. For (a)(ii) above, the termination will take effect immediately.
 - iii. **No Further Payment.** If Canada terminates the Contract for default, the Contractor will have no claim for further payment except as provided in this section.
 - iv. **Payment of Outstanding Amounts.** The Contractor must immediately pay Canada for all losses and damages suffered by Canada because of the default or occurrence upon which the notice was based, including any increase in the cost incurred by Canada in procuring the Work from another source.
 - v. **Refund of Advance Payments.** The Contractor agrees to repay immediately to Canada the portion of any advance payment that is unliquidated at the date of the termination.
 - vi. **Maximum Payment.** The total amount paid by Canada under the Contract to the date of the termination and any amount payable under this subsection must not exceed the Contract Price.
 - vii. **Completed Parts of the Work.** Upon termination of the Contract for default, the Contracting Authority may require the Contractor to deliver to Canada, in the manner and to the extent directed by the Contracting Authority, any completed parts of the Work, not delivered and accepted before the termination and anything the Contractor has acquired or produced specifically to perform the Contract. In such a case, subject to the deduction of any claim that Canada may have against the Contractor arising under the Contract or out of the termination, Canada will pay or credit to the Contractor:
 - 1. the value, of all completed parts of the Work delivered to and accepted by Canada, based on the Contract Price, including the proportionate part of the Contractor's profit or fee included in the Contract Price; and
 - 2. the cost to the Contractor that Canada considers reasonable in respect of anything else delivered to and accepted by Canada.

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viii. Assessment under the Vendor Performance Corrective Measure Policy. In the event of a full or partial termination for default, Canada will trigger a mandatory assessment of the Contractor's performance under the Vendor Performance Corrective Measure (VPCM) Policy.

- c. Termination in Error.** If the Contract is terminated for default, but it is later determined that grounds did not exist for a termination for default, the notice will be considered a notice of termination for convenience.

34.3. Suspension of the Work.

- a. Right to Suspend Work.** The Contractor must not suspend or stop work unless ordered by Canada. Canada may, by written notice, at any time, order the Contractor to suspend or stop the Work or part of the Work under the Contract for a period of up to 180 days. The Contractor must immediately comply with any such order in a way that minimizes the cost of doing so. While such an order is in effect, the Contractor must not limit access to any part of the Work without first obtaining the written consent of the Contracting Authority. Within this period, the Contracting Authority must either cancel the order or terminate the Contract in accordance with the Termination terms of the Contract.
- b. Effect of Suspension.** When Canada suspends the Work, Canada will pay the Contractor its additional costs incurred because of the suspension plus a fair and reasonable profit as determined by Canada in accordance with the Termination for Convenience clause of the Contract, unless the Contracting Authority terminates the Contract for default or the Contractor abandons the Contract.
- c. Resumption of Work.** When Canada cancels a suspension, the Contractor must resume work in accordance with the Contract as soon as practicable. If the suspension has affected the Contractor's ability to meet any delivery date under the Contract, the date for performing the part of the Work affected by the suspension will be extended for a period equal to the period of suspension plus a period, if any, that in the opinion of the Contracting Authority, following consultation with the Contractor, is necessary for the Contractor to resume the Work. Canada will make any equitable adjustments as necessary to any affected conditions of the Contract.

34.4. Transfer of Intellectual Property Rights Upon Termination of the Contract for Default.

- a. Transfer upon Notice from Canada.** If Canada terminates the Contract in whole or in part for default, Canada may, upon notice to the Contractor, require the Contractor to transfer to Canada all Intellectual Property Rights in the Foreground Information (including the rights owned by subcontractors). In the case of Intellectual Property Rights in the Foreground Information that have been sold or assigned to a third party, the Contractor must pay to Canada, on demand, at Canada's discretion, the fair market value of the Intellectual Property Rights in the Foreground Information or an amount equal to the payment that the Contractor received from such sale or assignment.
- b. Contractor's Assistance to Canada.** If Canada gives the Contractor a notice described in "Transfer upon Notice from Canada", the Contractor must, without delay and at its own expense, execute such documents relating to ownership of the Intellectual Property Rights as Canada may require. The Contractor must also, at Canada's expense, provide all reasonable assistance in preparing applications and in prosecuting any applications for registration of any Intellectual Property Rights in any jurisdiction, including the assistance of the inventor in the case of an invention.

34.5. Termination of Lease for Convenience.

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- a. **Termination upon Notice.** Canada may terminate the lease for all or any of the Leased Hardware at any time during the Lease Period by giving the Contractor 60 calendar days' prior notice.
- b. **Canada's Liability upon Termination.** If the Contracting Authority issues a termination notice under the immediately preceding paragraph entitled Termination upon Notice, Canada is liable to pay the Contractor only the following amounts:
 - i. the monthly lease charges for the Leased Hardware, or for the part of the Leased Hardware for which the lease is terminated, up to the date of termination, prorated as necessary if the termination date does not coincide with the end of the month, and
 - ii. the lease termination charge, if applicable.
- c. **Canada's Total Liability.** Canada's total liability for the amounts under the immediately preceding paragraph entitled Canada's Liability upon Termination together with any amounts already paid to the Contractor for the lease of the Hardware cannot exceed the total Contract Price for the lease of the Hardware or, in the case of a partial termination, the portion of the Contract Price that applies to the portion of the lease that is terminated.

35. Remedies and Liabilities.

35.1. Liability.

- a. **Exclusive Provision.** The Parties agree that no limitation of liability or indemnity provision applies to the Contract unless it is specifically incorporated in full text.
- b. **Contractor Liability.** The Contractor is liable for any damage caused by the Contractor, its employees, subcontractors, or agents to Canada or any third party.
- c. **Canada Liability.** Canada is liable for any damage caused by Canada, its employees, or agents to the Contractor or any third party.
- d. **Damages.** Damage includes any injury to persons (including injury resulting in death) or loss of or damage to property (including real property) caused as a result of or during the performance of the Contract.

36. Intellectual Property Infringement and Royalties.

36.1. Third-Party Claims.

- a. **Notification.** The Parties agree to immediately notify the other Party in the event a third party makes a claim against Canada or the Contractor concerning intellectual property infringement or royalties related to the Work.
- b. **Defense.** Canada must control the defense of third party intellectual property infringement or royalty claims or request that the Contractor defend Canada against the claim. In either case, the Contractor agrees to participate fully in the defence and any settlement negotiations and to pay all costs, damages and legal costs incurred or payable because of the claim, including the amount of any settlement.
- c. **Settlement.** The Parties agree not to settle any claim unless the other Party first approves the settlement in writing.
- d. **Exceptions.** The Contractor has no obligation regarding claims only made because:
 - i. Canada modified the Work or part of the Work without the Contractor's consent or used the Work or part of the Work without following a requirement of the Contract; or

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- ii. Canada used the Work or part of the Work with a product that the Contractor did not supply under the Contract (unless that use is described in the Contract or the manufacturer's specifications or other documentation); or
- iii. the Contractor used equipment, drawings, Specifications or other information supplied to the Contractor by Canada (or by someone authorized by Canada); or
- iv. the Contractor used a specific item of equipment or software that it obtained because of specific instructions from the Contracting Authority; however, this exception only applies if the Contractor has included the following language in its own contract with the supplier of that equipment or software: "(Name of Supplier) acknowledges that the purchased items will be used by the Government of Canada. If a third party claims that equipment or software supplied under the contract infringes any intellectual property right, (Name of Supplier), if requested to do so by either (Name of Contractor) or Canada, will defend both (Name of Contractor) and Canada against that claim at its own expense and will pay all costs, damages and legal fees payable as a result of that infringement." Obtaining this protection from the supplier is the Contractor's responsibility and, if the Contractor does not do so, it will be responsible to Canada for the claim.

36.2. Contractor Obligations.

- a. If anyone claims that, as a result of the Work, the Contractor or Canada is infringing its intellectual property rights, the Contractor must immediately do one of the following:
 - i. take whatever steps are necessary to allow Canada to continue to use the allegedly infringing part of the Work; or
 - ii. modify or replace the Work to avoid intellectual property infringement, while ensuring that the Work continues to meet all the requirements of the Contract; or
 - iii. take back the Work and refund any part of the Contract Price that Canada has already paid.
- b. If the Contractor determines that none of these alternatives can reasonably be achieved, or if the Contractor fails to take any of these steps within a reasonable amount of time, Canada may choose either to require the Contractor to do (iii), or to take whatever steps are necessary to acquire the rights to use the allegedly infringing part(s) of the Work itself, in which case the Contractor must reimburse Canada for all the costs it incurs to do so.

36.3. Damages Caused by Contractor. If Canada is required because of joint and several liability, to pay a third party in respect of damages caused by the Contractor, the Contractor must reimburse Canada any amount determined by a final judgment of a court of competent jurisdiction or by arbitration to be the Contractor's portion of the damages to the third party.

37. General Provisions.

37.1. Status of Contractor. The Contractor is an independent contractor engaged by Canada to perform the Work. The Contract does not create a partnership, a joint venture or an agency between Canada and the other Party or Parties. The Contractor must not represent itself as an agent or representative of Canada to anyone. Neither the Contractor nor any of its personnel are an employee or agent of Canada. The Contractor is responsible for all deductions and remittances required by law in relation to its employees.

37.2. Entire Agreement. The Contract and the offer document are the entire agreement between the Parties and supersedes all previous negotiations, communications and agreements.

37.3. Amendment.

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- a. Amendments to the Contract must be in writing and signed by the Parties.
- b. While the Contractor may discuss any proposed modifications to the Work with other representatives of Canada, Canada will not be responsible for the cost of any modification unless it has been incorporated into the Contract in writing and signed by the Parties.

37.4. Counterparts. The Parties may execute the Contract in several counterparts, each of which is an original and all of which constitute one single agreement between the Parties.

37.5. Assignment.

- a. The Contractor may only assign this agreement if
 - i. Canada agrees to the assignment in writing; and
 - ii. the Contractor remains responsible for the assignee's performance.
- b. The assignment will be effective upon execution of an assignment agreement signed by the Parties and the assignee.

37.6. Successors and Assigns. The Contract is to the benefit of and binds the successors and permitted assignees of Canada and of the Contractor.

37.7. Notice. As a courtesy, the Government of Canada requests that the Contractor notify the Contracting Authority five business days in advance of their intention to make public an announcement related to the contract award.

37.8. Applicable Laws. The laws in force in [\[APPLICABLE LAW PROVINCE\]](#) will govern the Contract and the relations between the Parties and be used to interpret the Contract. The Contractor must comply with all laws applicable to the performance of the Contract and provide evidence of compliance with those laws to Canada if requested by the Contracting Authority.

37.9. Dispute Resolution.

- a. **Open Communication Between Parties.** The Parties agree to maintain open and honest communication about the Work during and after the period of the Contract.
- b. **Parties' Cooperation.** The Parties agree to consult and co-operate with each other to further the objectives of the Contract. They will promptly notify each other of, and attempt to resolve, any problems or differences that may arise.
- c. **Alternative Dispute Resolution.** If the Parties cannot resolve a dispute through consultation and cooperation, they will consult a neutral third party that offers alternative dispute resolution services.
- d. **Dispute Resolution Options.** Parties can find alternative dispute resolution options on Canada's CanadaBuys website under the heading "[Dispute Resolution](#)".

37.10. Powers of Canada. All rights, remedies, powers and discretions granted or acquired by Canada under the Contract or by law are cumulative, not exclusive.

37.11. Time of the Essence. It is essential that the Contractor deliver or perform the Work within or at the time stated in the Contract.

37.12. Excusable Delay.

- a. **Definition of Excusable Delay.** A delay in the performance by the Contractor or Canada of any obligation under the Contract that is caused by an event that
 - i. is beyond the reasonable control of the party,
 - ii. could not reasonably have been foreseen,

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iii. could not reasonably have been prevented by means reasonably available to the party, and
iv. occurred without the fault or neglect of the party, is an "Excusable Delay" if the party advises the other party's Contracting Authority or the Contractor's Representative of the occurrence of the delay or of the likelihood of the delay as soon as the party becomes aware of it. The party must also advise the other, within 15 Business Days, of all the circumstances relating to the delay and provide to the Contracting Authority or Contractor's Representative for approval a clear workaround plan explaining in detail the steps that the Contractor proposes to take in order to minimize the impact of the event causing the delay.

- b. **Postponement of Delivery.** Either party will postpone for a reasonable time any delivery date or another date directly affected by an Excusable Delay. Any postponement will not exceed the duration of the Excusable Delay.
- c. **Right to Terminate.** However, if an Excusable Delay has continued for 30 days or more, the party may terminate the Contract on written notice to the other party. In such a case, the Parties agree that neither will make any claim against the other for damages, costs, expected profits or any other loss arising out of the termination or the event that contributed to the Excusable Delay. The Contractor agrees to repay immediately to Canada the portion of any advance payment that is unliquidated at the date of the termination.
- d. **Liability for Costs Incurred.** Unless Canada has caused the delay by failing to meet an obligation under the Contract, Canada will not be responsible for any costs incurred by the Contractor or any of its subcontractors or agents because of an Excusable Delay.
- e. **Delivery of Completed Work.** If Canada terminates the Contract under this section, the Contracting Authority may require the Contractor to deliver to Canada, in the manner and to the extent directed by the Contracting Authority, any completed parts of the Work not delivered and accepted before the termination and anything that the Contractor has acquired or produced specifically to perform the Contract. Canada will pay the Contractor:
 - i. the value, of all completed parts of the Work delivered to and accepted by Canada, based on the Contract Price, including the proportionate part of the Contractor's profit or fee included in the Contract Price; and
 - ii. the Cost to the Contractor that Canada considers reasonable in respect of anything else delivered to and accepted by Canada.
- f. **Total Payments.** The total amount paid by Canada under the Contract to the date of termination and any amounts payable under this subsection must not exceed the Contract Price.

37.13. Waiver.

- a. A waiver will only be valid if made in writing by the affected Party's representative. A Party's failure to enforce any rights under the Contract will be neither treated nor interpreted as a waiver of that Party's rights.
- b. The waiver by a Party of a breach of any condition of the Contract will not be treated or interpreted as a waiver of any subsequent breach and therefore will not prevent that Party from enforcing of that term or condition in the case of a subsequent breach.

37.14. Severability. If a court of competent jurisdiction declares any provision of the Contract unenforceable, illegal, or invalid, the remainder of the Contract remains in force.

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37.15. Priority of Documents. If there is a conflict between the wording of any documents that appear on the list, the wording of the document that first appears on the list has priority over the wording of any document that subsequently appears on the list:

- a. these Articles of Agreement;
- b. Annex Contract Definitions;
- c. Annex Statement of Work;
- d. Annex Basis of Payment;
- e. Annex Security Requirements Check List (**If applicable**);
- f. **Insert additional Annex if applicable**;
- g. the Contractor's offer dated (**Insert date of offer**).

37.16. Survival. All the Parties' obligations of confidentiality, any representations and warranties set out in the Contract as well as the provisions, which by their nature might reasonably be expected to survive, will survive the expiry or termination of the Contract.

38. Authorities.

38.1. Contracting Authority.

- a. The Contracting Authority for the Contract is: **{ | CONTRACTING AUTHORITY NAME**
Tel.:
E-mail:
Address:
Department Name: **}**
- b. The Contracting Authority is responsible for the management of the Contract and must authorize in writing any changes to the Contract. The Contractor must not perform work in excess of or outside the scope of the Contract based on verbal or written requests or instructions from anybody other than the Contracting Authority.

38.2. Client Authority.

- a. The Project Authority for the Contract is: **{ | CLIENT AUTHORITY NAME**
Tel.:
E-mail:
Address:
Department Name: **}**
- b. The Work is for a department or agency. The Client Authority represents that department or agency. The Client Authority is responsible for the development of the Statement of Work or Requirement and for providing the funding. The Client Authority has no authority to authorize changes to the scope of the Work. Changes to the scope of the Work can only be made through a contract amendment issues by the Contracting Authority.

38.3. Technical Authority.

- a. **{ |** The Technical Authority for the Contract is:
Title: _____
Organization: _____
Address: _____
Telephone: ____ - ____ - ____
Facsimile: ____ - ____ - ____
E-mail: _____ **}**

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- b. The Work is for a department or agency. The Technical Authority represents that department or agency. The Technical Authority is responsible for all matters concerning the technical content of the Work under the Contract. The Contractor may discuss technical matters with the Technical Authority, however the Technical Authority has no authority to authorize changes to the scope of the Work. Only the Contracting Authority can issue a contract amendment to make changes to the scope of the Work.

38.4. Contractor's Representative.

- a. The Contractor's Representative for the Contract is: { | **CONTRACTOR REPRESENTATIVE NAME**
Tel:
E-mail:
Address:
- b. **Insert and revise if applicable:** Delivery follow-up contact: **CONTRACTOR REPRESENTATIVE NAME**
Tel:
E-mail:
Address: }

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Annex Solicitation of Offers Definitions

In this solicitation of offers, unless the context otherwise requires, the following terms have the following meanings.

"Applicable Trading Partner" means a country or customs territory other than Canada that is listed, pursuant to the [schedule](#) to the Canadian International Trade Tribunal Procurement Inquiry Regulations, as a party to any of the trade agreements applicable to this solicitation;

"Articles of Agreement" means the clauses and conditions incorporated in full text to form the body of the Contract; it does not include the annexes, the Contractor's offer or any other document;

"Canadian Good" means a good that is wholly manufactured or originated in Canada. Canada may also consider a product that contains imported components to be a Canadian Good for the purpose of the Canadian Content Policy when it has undergone sufficient change in Canada in a manner that satisfies the definition specified under the [Canada-United States-Mexico Agreement \(CUSMA\)](#) Rules of Origin. For the purposes of this determination, the reference in the CUSMA Rules of Origin to "territory of one or more of the Parties" is replaced with "Canada". For more information on how to determine if a good is Canadian, consult the Buyer's Portal under the [Canadian Content Policy - Rules of origin determination](#) section, Example 1.

"Canadian Supplier" means a supplier that has a place of business in Canada where it conducts activities on a permanent basis that is clearly identified by name and accessible during normal business hours; or, a joint venture where each member of the joint venture has a place of business in Canada where it conducts activities on a permanent basis that is clearly identified by name and accessible during normal business hours.

"Canadian Service" means a service provided by an individual based in Canada. If a requirement consists of only one service provided by two or more individuals, Canada will consider the service to be a Canadian Service if a minimum of 80 percent of the total offer price for the service is provided by individuals based in Canada.

"Variety of Goods" means that if a requirement consists of more than one good, Canada will apply one of the following methods:

- a. Aggregate evaluation: No less than 80 percent of the total offer price must consist of Canadian Goods, or
- b. Item-by-item evaluation: In some cases, Canada may conduct the offer evaluation on an item-by-item basis and award contracts to more than one Offeror. In such a case, Canada will ask the Offeror to identify separately each item that meets the definition of Canadian Goods.

"Variety of Services" means that if a requirement consists of more than one service, a minimum of 80 percent of the total offer price must be provided by individuals based in Canada.

"Mix of Goods and Services" means that if a requirement consists of a mix of goods and services, no less than 80 percent of the total offer price must consist of Canadian Goods and Canadian Services.

For more information on how to determine the Canadian Content for a mix of goods, a mix of services or a mix of goods and services, consult the Buyer's Portal under the [Canadian Content Policy – Rules of origin determination](#) section, Example 2.

"Other Canadian Goods and Services" means Canada may consider textiles to be Canadian Goods according to a modified rule of origin, copies of which are available from the Clothing and Textiles Division, Commercial and Consumer Products Directorate.

"Client" means the department or agency for which the Work is performed;

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"Contracting Authority" means the person designated by that title in the Contract, or by notice to the Contractor, to act as Canada's representative to manage the Contract;

"Contractor" means the person, entity or entities named in the Contract to supply goods, services, or both to Canada;

"Contract Price" means the amount stated in the Contract to be payable to the Contractor for the Work, exclusive of Applicable Taxes;

"Cost" means cost determined according to Contract Cost Principles 1031-2 as revised to the date of the solicitation of offers or, if there was no solicitation of offers, the date of the Contract;

"Date of payment" means the date of the negotiable instrument drawn by the Receiver General for Canada to pay any amount under the Contract;

"Excluded Material" refers to packaging tape - environmentally preferable material alternatives for packaging tape are not widely available. As a result, packaging tape is excluded from the environmentally preferable packaging specifications until the market has progressed and studies become available to determine otherwise;

"Former Public Servant" is any former member of a department as defined in the [Financial Administration Act](#), R.S., 1985, c. F-11, a former member of the Canadian Armed Forces or a former member of the Royal Canadian Mounted Police. A former public servant may be:

- (a) an individual;
- (b) an individual who has incorporated;
- (c) a partnership made of former public servants; or
- (d) a sole proprietorship or entity where the affected individual has a controlling or major interest in the entity;

"Joint Venture" means an association of two or more Parties who combine their money, property, knowledge, expertise or other resources in a single joint business enterprise, sometimes referred as a consortium, to offer together on a requirement;

"Lump Sum Payment" means the payment which has been made to facilitate the transition to retirement or to other employment as a result of the implementation of various programs to reduce the size of the Public Service. The lump sum payment period does not include the period of severance pay, which is measured in a like manner;

"Net-Zero Challenge or Equivalent" means the following accepted initiatives are deemed equivalents to the Net-Zero Challenge, 'United Nations Race to Zero' or 'Science-Based Targets Initiative (SBTI)' or 'Carbon Disclosure Project (CDP)' or 'International Organization for Standardization (ISO) – ISO 14064-1:2018'

"Offeror" means the person or entity (or, in the case of a Joint Venture, the persons or entities) submitting an offer. It does not include the parent, subsidiaries or other affiliates of the Offeror, or its subcontractors;

"Packaging" means product to be used for the containment, protection, handling, delivery, storage, transport and presentation of goods. (Source: [ISO 21067-1:2016, Clause 2.1.1](#));

"Party" means Canada, the Contractor, or any other signatory to the Contract, and **"Parties"** means all of them;

"Pension" means a pension or annual allowance paid under the [Public Service Superannuation Act](#) (PSSA), R.S., 1985, c. P-36, and any increases paid pursuant to the [Supplementary Retirement Benefits Act](#), R.S., 1985, c. S-24 as it affects the PSSA. It does not include pensions payable pursuant to the

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[Canadian Forces Superannuation Act](#), R.S., 1985, c. C-17, the [Defence Services Pension Continuation Act](#), 1970, c. D-3, the [Royal Canadian Mounted Police Pension Continuation Act](#), 1970, c. R-10, and the [Royal Canadian Mounted Police Superannuation Act](#), R.S., 1985, c. R-11, the [Members of Parliament Retiring Allowances Act](#), R.S. 1985, c. M-5, and that portion of pension payable to the [Canada Pension Plan Act](#), R.S., 1985, c. C-8;

"Recyclable" means capable of being diverted from the waste stream through available processes and programs and can be collected, sorted, processed and returned to use in the form of raw materials or products. (Source: [CAN/CSA-ISO 14021, Clause 7.7.1](#));

"Recyclable packaging" means packaging or a packaging component is recyclable if its successful post consumer collection, sorting, and recycling is proven to work in practice and at scale. This means that there is an existing (collection, sorting and recycling) system in place that actually recycles the packaging and that covers significant and relevant geographical areas as measured by population size. (Source: adapted from the [New Plastics Economy Global Commitment](#));

"Returnable (to the Contractor)" means there is an existing and functional program in place for the packaging to be returned to the Contractor to reuse, refill, or recycle at no additional cost to the client;

"Reusable (by Canada)" means designed to be used multiple times for the same purpose without losing its original functionality, physical capability or quality. A characteristic of a product or packaging that has been conceived and designed to accomplish within its life cycle a certain number of trips, rotations or uses for the same purpose for which it was conceived. (Source: [CAN/CSA-ISO 14021, Clause 7.12.1.1](#));

"Security Deposit" means (a) a bill of exchange that is payable to the Receiver General for Canada and certified by an approved financial institution or drawn by an approved financial institution on itself; or (b) a government guaranteed bond; or (c) an irrevocable standby letter of credit, or (d) such other security as may be considered appropriate by the Contracting Authority and approved by Treasury Board;

"Approved Financial Institution" means (a) any corporation or institution that is a member of the Canadian Payments Association (Payments Canada); (b) a corporation that accepts deposits that are insured by the Canada Deposit Insurance Corporation or the Régie de l'assurance-dépôts du Québec to the maximum permitted by law; (c) a credit union as defined in paragraph 137(6) of the [Income Tax Act](#); (d) a corporation that accepts deposits from the public, if repayment of the deposits is guaranteed by a Canadian province or territory; or (e) the Canada Post Corporation;

"Government-guaranteed Bond" means a bond of the Government of Canada or a bond unconditionally guaranteed as to principal and interest by the Government of Canada that is: (a) payable to bearer; (b) accompanied by a duly executed instrument of transfer of the bond to the Receiver General for Canada in accordance with the [Domestic Bonds of Canada Regulations](#); (c) registered in the name of the Receiver General for Canada;

"Irrevocable Standby Letter of Credit" (a) means any arrangement, however named or described, whereby a financial institution (the "Issuer"), acting at the request and on the instructions of a customer (the "Applicant"), or on its behalf, (i) will make a payment to or to the order of Canada, as the beneficiary; (ii) will accept and pay bills of exchange drawn by Canada; (iii) authorizes another financial institution to effect such payment, or accept and pay such bills of exchange; or (iv) authorizes another financial institution to negotiate, against written demand(s) for payment, provided that the conditions of the letter of credit are complied with; (b) must state the face amount which may be drawn against it; (c) must state its expiry date; (d) must provide for sight payment to the Receiver General for Canada by way

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of the financial institution's draft against presentation of a written demand for payment signed by the authorized departmental representative identified in the letter of credit by his or her office; (e) must provide that more than one written demand for payment may be presented subject to the sum of those demands not exceeding the face amount of the letter of credit; (f) must provide that it is subject to the International Chamber of Commerce (ICC) Uniform Customs and Practice (UCP) for Documentary Credits, 2007 Revision, ICC Publication No. 600. Pursuant to the ICC UCP, a credit is irrevocable even if there is no indication to that effect; and (g) must be issued (Issuer) or confirmed (Confirmor), in either official language, by a financial institution that is a member of the Canadian Payments Association (Payments Canada) and is on the letterhead of the Issuer or Confirmor. The format is left to the discretion of the Issuer or Confirmor;

"Specialized packaging" means packaging can be considered "specialized" if the intended use of the packaging requires technical performance specifications with no environmentally preferable alternatives. For example, when transporting hazardous materials, if there is a need for a specific density of materials, or if they must be temperature controlled;

"Specifications" means the description of the essential, functional, or technical requirements of the Work in the Contract, including the procedures for determining whether the requirements have been met;

"Supplier of an Applicable Trading Partner" means a supplier that has a place of business in an Applicable Trading Partner where it conducts activities on a permanent basis that is clearly identified by name and accessible during normal business hours; or, a joint venture where at least one member of the joint venture has a place of business in an Applicable Trading Partner where it conducts activities on a permanent basis that is clearly identified by name and accessible during normal business hours, and all other members of the joint venture either have a place of business in an Applicable Trading Partner where they conduct activities on a permanent basis that is clearly identified by name and accessible during normal business hours or are a Canadian Supplier;

"Supplier of a Non-Trading Partner" means any supplier that is not a Canadian Supplier or a Supplier of an Applicable Trading Partner; or, a joint venture where any member of the joint venture is not a Canadian Supplier or a Supplier of an Applicable Trading Partner;

"Work" means all the activities, services, goods, equipment, matters and things required to be done, delivered or performed by the Contractor under the Contract.

"Canadian Offeror"

The Offeror must be a Canadian Offeror. A Canadian Offeror is defined as a Canadian person or entity submitting an Offer on its own behalf and having a place of business in Canada where the person or entity conducts activities on a permanent basis that is clearly identified by name and accessible during normal working hours.

"Full Time Equivalent Employee (FTE) "

A full-time equivalent (FTE) employee is defined as receiving a T4 Statement of Remuneration Paid slip (or equivalent) from the Offeror. One FTE is defined to have at least 30 hours/week of paid labour. Parttime employees must be included as fractions of 1 FTE based on average labour hours compared to typical hours for 1 FTE employee.

"Third Party Testing"

The Testing Stream under the ISC program is open to any Government of Canada organization including Crown Corporations. In instances where federal organizations want to participate in a test but do not

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have the technical expertise or location to conduct testing, they may consider sponsoring the test using testing organizations such as, provinces, municipalities, hospitals, schools, Indigenous organizations, and more. Federal departments can pursue this option if they are not best equipped to test the innovation themselves but see a benefit in understanding and/or seeing the results of the test. The program will assess a sponsorship request based on how the test might help advance the mandate or operational needs of the sponsoring department.

Testing Organization (TO): In cases where the TA is unable to conduct testing directly, a TO may be used. This includes but is not limited to provinces, municipalities, hospitals, schools, Indigenous organizations, etc. TOs may participate in the test to address their own organization needs, mandates or priority areas. TOs have very similar responsibilities to the TA. TO responsibilities differ on a case-by-case basis, they can range from giving expert guidance and technical evaluation to providing the test site or facilities.”

“Parent Company”

A business or organization that typically facilitates or constricts the decision-making autonomy of the subsidiary. A parent company has at least 50% of overall influence in decision making in the subsidiary.

“Affiliated Offeror”

An "affiliate" relationship exists if:

- An affiliate is a corporation that is a subsidiary of another corporation
- If a corporation has two subsidiary corporations, the two subsidiaries are affiliates of each other; or
- If two corporations are controlled by the same individual or business, the two corporations are also affiliates of each other.
- A subsidiary is understood to be a business which has more than 50% of its ordinary shares or voting power owned by another business or individual.

“Joint Venture”

A joint venture is a business arrangement in which two or more parties agree to pool their resources for the purpose of accomplishing a specific task. This task can be a new project or any other business activity.

“Innovation”

- An **invention**, new technology or new process that is not currently available in the marketplace.
- Significant modifications to the application of existing technologies/ components/ processes that are applied in a setting or condition for which current applications are not possible or feasible, including government applications.
- An improvement in functionality, cost or performance over an existing technology/process that is considered state-of-the-art or the current industry best practice.

“Invention”

An **“invention”** is defined for the purposes of ISC as: *“A manufacturing design or any other new and useful improvements that are new or novel, that are not commonly known or not an obvious derivative of an existing way of doing things.”*

“Technology”

- The practical application of science to commerce or industry;
- The science of applying scientific knowledge to practical problems;
- An innovation based in scientific and industrial progress;

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- Specific information and know-how required for development, production or use of good or service.

“Operational Setting “

The term “operational setting” refers to a real-world environment or context where a technology, system, or process is implemented and used as part of daily operations. It contrasts with controlled settings, such as laboratories or simulation environments, where conditions can be manipulated or monitored with greater precision.

An operational setting would encompass the usual complexities, variability, and unpredictability found in the actual environment where the technology is intended to function. For a technology or solution, demonstrating effectiveness in an operational setting means showing that it can achieve its intended results under the conditions and constraints that are typical of its real-world application.

“Copyright “

Copyright is the sole right to produce, reproduce, publish or perform a work (or a substantial part of it) that belongs to one of the following categories:

- **literary** (e.g. books, pamphlets, computer programs and other works consisting of text)
- **dramatic** (e.g. motion picture films, plays, screenplays and scripts)
- **musical** (e.g. musical compositions, with or without words)
- **artistic** (e.g. paintings, drawings, maps, photographs, sculptures and plans)

Copyright also protects performances, sound recordings and communication signals, such as radio waves.

“Patent”

A patent is a legal right to prevent others from making, using or selling the invention for up to 20 years in the country or region where the patent is granted. The Offeror can patent products, processes, machines, chemical compositions and improvements or new uses of any of these. Patents can be very valuable. the Offeror can sell them, license them or use them as assets to attract funding from investors.

“Trademark”

A trademark can protect letters, words, symbols, designs, tastes, textures, moving images, modes of packaging, holograms, sounds, scents, 3-dimensional shapes or colours (or a combination of these) used to distinguish the goods and services from those of other businesses in the marketplace.

It is important because over time, a trademark comes to stand not only for the actual goods or services the Offeror sell, but also for the reputation and the brand.

“Pre-commercial innovation”

Pre-commercial innovations are those in the phases of research and development prior to commercialization. Pre-commercial innovations have been developed to a Technology Readiness Level between 7 and 9. Pre-commercial innovations have not been produced in quantity, may have had some limited sales for the purpose of testing and demonstration, and are not readily available in the marketplace.

“Pre-commercial Status”

The proposed innovation must not be openly available in the marketplace, and must not have been previously sold on a commercial basis as of the date of this Offer submission.

“Commercialization”

The process of bringing a new product or service to the market with the ability to produce and distribute quantities of said product or service on demand.

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“Commercial sales”

Good or service that is openly available in the marketplace or has been sold to either individuals in the public or private sector, in its current state or service offering for non-testing or development purposes.

“Limited quantity”

Development of a first innovation may include limited production in quantity to achieve acceptable quality standards but does not include quantity production to establish commercial viability.

“Mass production”

The standardized production of an innovation in sufficient quantities to establish commercial viability.

“Configuration and Customization”

The ISC Testing Stream permits certain changes to qualified innovations matched with testing departments, while others are unacceptable. These changes fall into 2 main categories: configuration or customization. Although this distinction applies only to those innovations that have been conditionally qualified and matched, understanding the difference will aid the Offeror in developing and writing a test plan.

“Configuration”

Configuration involves arranging or setting up fully functional and fully developed components of an innovation. Configuration is the process by which an innovation is made to function properly in a specific situation, in the environment in which it was originally intended to be used. This may include changes that are not essential to the functioning of the innovation, so long as they would not alter the result of testing or validation of the innovation during its development. Configuration is an acceptable change under this program, should a proposed innovation be prequalified under the ISC Testing Stream.

“Customization”

Customization is the process of modifying fully functional and fully developed components of an innovation to meet the requirements of individual customers. Customization is not an acceptable change under this program, should a proposed innovation be qualified under the ISC Testing Stream.

Definitions - Materials

“Aluminum Smelted and Cast in Canada” means that:

- a) for all aluminum material except aluminum sheets and plates: the largest volume of primary aluminum contained in the material was produced in Canada; and
- b) for all aluminum sheets and plates: any percentage of primary aluminum contained in the material was produced in Canada.

“Canadian Aluminum” means a) a product listed in the Annex Schedule of Materials - Canadian Aluminum; and b) fabricated from Aluminum Smelted and Cast in Canada.

“Canadian Steel” means a) a product listed in the Annex Schedule of Materials - Canadian Steel; and b) fabricated from Steel Melted and Poured in Canada.

“Canadian Wood Products” means any wood product listed in Annex Schedule of Materials – Canadian Wood Products, and fabricated in Canada.

“Materials” means Canadian Steel, Canadian Wood Products, and Canadian Aluminum.

“Steel Melted and Poured in Canada” means the raw steel, or any portion of the raw steel, contained in the material first produced in a liquid state in a steel-making furnace and poured into its first solid state in Canada. Solid state can take the form of a semi-finished or finished steel mill product.

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Annex Contract Definitions

In the Contract, unless the context otherwise requires, the following terms have the following meanings.

"Applicable Taxes" means the Goods and Services Tax (GST), the Harmonized Sales Tax (HST), and any provincial tax, by law, payable by Canada.

"Applicable Trading Partner" means a country or customs territory other than Canada that is listed, pursuant to the [schedule](#) to the Canadian International Trade Tribunal Procurement Inquiry Regulations, as a party to any of the trade agreements applicable to this solicitation;

"Articles of Agreement" means the clauses and conditions incorporated in full text to form the body of the Contract; it does not include the annexes, the Contractor's offer or any other document.

"Average Rate" means the simple arithmetic mean of the Bank Rates in effect at 4:00 p.m. Eastern Time each day during the calendar month immediately before the calendar month in which payment is made.

"Background Information" means all Intellectual Property that is not Foreground Information that is incorporated into the Work or necessary for the performance of the Work and that is proprietary to or the confidential information of the Contractor, its subcontractors or any other third party.

"Bank Rate" means the rate of interest established from time to time by the Bank of Canada as the minimum rate at which the Bank of Canada makes short term advances to members of the Canadian Payments Association.

"Canada", "His Majesty" or "the Government" means His Majesty the King in right of Canada as represented by the Minister of Public Works and Government Services and any other person duly authorized to act on behalf of that minister or, if applicable, an appropriate minister to whom the Minister of Public Works and Government Services has delegated his or her powers, duties or functions and any other person duly authorized to act on behalf of that minister.

"Canadian Good" means a good that is wholly manufactured or originated in Canada. Canada may also consider a product that contains imported components to be a Canadian Good for the purpose of the Canadian Content Policy when it has undergone sufficient change in Canada in a manner that satisfies the definition specified under the [Canada-United States-Mexico Agreement \(CUSMA\)](#) Rules of Origin. For the purposes of this determination, the reference in the CUSMA Rules of Origin to "territory of one or more of the Parties" is replaced with "Canada". For more information on how to determine if a good is Canadian, consult the Buyer's Portal under the [Canadian Content Policy - Rules of origin determination](#) section, Example 1.

"Canadian Supplier" means a supplier that has a place of business in Canada where it conducts activities on a permanent basis that is clearly identified by name and accessible during normal business hours; or, a joint venture where each member of the joint venture has a place of business in Canada where it conducts activities on a permanent basis that is clearly identified by name and accessible during normal business hours;

"Canadian Service" means a service provided by an individual based in Canada. If a requirement consists of only one service provided by two or more individuals, Canada will consider the service to be a Canadian Service if a minimum of 80 percent of the total offer price for the service is provided by individuals based in Canada.

"Variety of Goods" means that if a requirement consists of more than one good, Canada will apply one of the following methods:

a. Aggregate evaluation: No less than 80 percent of the total offer price must consist of Canadian Goods, or

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b. Item-by-item evaluation: In some cases, Canada may conduct the offer evaluation on an item-by-item basis and award contracts to more than one Offeror. In such a case, Canada will ask the Offeror to identify separately each item that meets the definition of Canadian Goods.

"Variety of Services" means that if a requirement consists of more than one service, a minimum of 80 percent of the total offer price must be provided by individuals based in Canada.

"Mix of Goods and Services" means that if a requirement consists of a mix of goods and services, no less than 80 percent of the total offer price must consist of Canadian Goods and Canadian Services.

For more information on how to determine the Canadian Content for a mix of goods, a mix of services or a mix of goods and services, consult the Buyer's Portal under the [Canadian Content Policy – Rules of origin determination](#) section, Example 2.

"Other Canadian Goods and Services" means Canada may consider textiles to be Canadian Goods according to a modified rule of origin, copies of which are available from the Clothing and Textiles Division, Commercial and Consumer Products Directorate.

"Contract" means the Articles of Agreement, the terms and conditions, annexes and any other document specified or referred to as forming part of the Contract, all as amended by agreement of the Parties from time to time.

"Contractor" means the person, entity or entities named in the Contract to supply goods, services or both to Canada.

"Contract Price" means the amount stated in the Contract to be payable to the Contractor for the Work, exclusive of Applicable Taxes.

"Contract Period" means the entire period of time during which the Contractor is obliged to perform the Work, which includes initial Contract Period and the period during which the Contract is extended, if Canada chooses to exercise any options set out in the Contract.

"Cost" means cost determined according to Contract Cost Principles 1031-2 as revised to the date of the solicitation of offers or, if there was no solicitation of offers, the date of the Contract.

"Date of payment" means the date of the negotiable instrument drawn by the Receiver General for Canada to pay any amount under the Contract.

"Deliverables" means any technical information, equipment, prototype, or any other thing developed under the Contract that are expressly required to be delivered by the Contractor in order to carry out its obligations under the Contract.

"Excluded Material" refers to packaging tape - environmentally preferable material alternatives for packaging tape are not widely available. As a result, packaging tape is excluded from the environmentally preferable packaging specifications until the market has progressed and studies become available to determine otherwise.

"Firmware" means computer programs that are stored in integrated circuits, read-only memory or other similar devices within the hardware or other equipment.

"Foreground Information" means all Intellectual Property first conceived, developed, produced or reduced to practice as part of the Work under the Contract.

"Government Property" means anything supplied to the Contractor by or on behalf of Canada for the purposes of performing the Contract and anything acquired by the Contractor in any manner in connection with the Work, the cost of which is paid by Canada under the Contract.

"Intellectual Property" means any information or knowledge of an industrial, scientific, technical, commercial, literary, dramatic, artistic or otherwise creative nature relating to the Work, whether oral or

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recorded in any form or medium and whether or not subject to copyright; this includes but is not limited to any inventions, designs, methods, processes, techniques, know-how, show-how, models, prototypes, patterns, samples, schematics, experimental or test data, reports, drawings, plans, specifications, photographs, manuals and any other documents, Software, and Firmware.

"Intellectual Property Right" means any intellectual property right recognized by law, including any intellectual property right protected by legislation such as patents, copyright, industrial design, integrated circuit topography, and plant breeders' rights, or subject to protection under the law as trade secrets and confidential information;

"Net-Zero Challenge or Equivalent" means the following accepted initiatives are deemed equivalents to the Net-Zero Challenge, 'United Nations Race to Zero' or 'Science-Based Targets Initiative (SBTI)' or 'Carbon Disclosure Project (CDP)' or 'International Organization for Standardization (ISO) – ISO 14064-1:2018'

"Overdue" means an amount that is unpaid on the first day following the day on which it is due and payable according to the Contract.

"Packaging" means product to be used for the containment, protection, handling, delivery, storage, transport and presentation of goods. (Source: [ISO 21067-1:2016, Clause 2.1.1](#)).

"Party" means Canada, the Contractor, or any other signatory to the Contract and **"Parties"** means all of them.

"Recyclable" means capable of being diverted from the waste stream through available processes and programs and can be collected, sorted, processed and returned to use in the form of raw materials or products. (Source: [CAN/CSA-ISO 14021, Clause 7.7.1](#)).

"Recyclable packaging" means packaging or a packaging component is recyclable if its successful post consumer collection, sorting, and recycling is proven to work in practice and at scale. This means that there is an existing (collection, sorting and recycling) system in place that actually recycles the packaging and that covers significant and relevant geographical areas as measured by population size. (Source: adapted from the [New Plastics Economy Global Commitment](#)).

"Returnable (to the Contractor)" means there is an existing and functional program in place for the packaging to be returned to the Contractor to reuse, refill, or recycle at no additional cost to the client.

"Reusable (by Canada)" means designed to be used multiple times for the same purpose without losing its original functionality, physical capability or quality. A characteristic of a product or packaging that has been conceived and designed to accomplish within its life cycle a certain number of trips, rotations or uses for the same purpose for which it was conceived. (Source: [CAN/CSA-ISO 14021, Clause 7.12.1.1](#)).

"Security Deposit" means (a) a bill of exchange that is payable to the Receiver General for Canada and certified by an approved financial institution or drawn by an approved financial institution on itself; or (b) a government guaranteed bond; or (c) an irrevocable standby letter of credit, or (d) such other security as may be considered appropriate by the Contracting Authority and approved by Treasury Board.

"Approved Financial Institution" means (a) any corporation or institution that is a member of the Canadian Payments Association (Payments Canada); (b) a corporation that accepts deposits that are insured by the Canada Deposit Insurance Corporation or the Régie de l'assurance-dépôts du Québec to the maximum permitted by law; (c) a credit union as defined in paragraph 137(6) of the [Income Tax Act](#); (d) a corporation that accepts deposits from the public, if repayment of the deposits is guaranteed by a Canadian province or territory; or (e) the Canada Post Corporation.

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"Government-guaranteed Bond" means a bond of the Government of Canada or a bond unconditionally guaranteed as to principal and interest by the Government of Canada that is: (a) payable to bearer; (b) accompanied by a duly executed instrument of transfer of the bond to the Receiver General for Canada in accordance with the [Domestic Bonds of Canada Regulations](#); (c) registered in the name of the Receiver General for Canada.

"Irrevocable Standby Letter of Credit" (a) means any arrangement, however named or described, whereby a financial institution (the "Issuer"), acting at the request and on the instructions of a customer (the "Applicant"), or on its behalf, (i) will make a payment to or to the order of Canada, as the beneficiary; (ii) will accept and pay bills of exchange drawn by Canada; (iii) authorizes another financial institution to effect such payment, or accept and pay such bills of exchange; or (iv) authorizes another financial institution to negotiate, against written demand(s) for payment, provided that the conditions of the letter of credit are complied with; (b) must state the face amount which may be drawn against it; (c) must state its expiry date; (d) must provide for sight payment to the Receiver General for Canada by way of the financial institution's draft against presentation of a written demand for payment signed by the authorized departmental representative identified in the letter of credit by his or her office; (e) must provide that more than one written demand for payment may be presented subject to the sum of those demands not exceeding the face amount of the letter of credit; (f) must provide that it is subject to the International Chamber of Commerce (ICC) Uniform Customs and Practice (UCP) for Documentary Credits, 2007 Revision, ICC Publication No. 600. Pursuant to the ICC UCP, a credit is irrevocable even if there is no indication to that effect; and (g) must be issued (Issuer) or confirmed (Confirmer), in either official language, by a financial institution that is a member of the Canadian Payments Association (Payments Canada) and is on the letterhead of the Issuer or Confirmer. The format is left to the discretion of the Issuer or Confirmer.

"Software" means any computer program whether in source or object code (including Firmware), any computer program documentation recorded in any form or upon any medium, and any computer database, including any modification.

"Specialized packaging" means packaging can be considered "specialized" if the intended use of the packaging requires technical performance specifications with no environmentally preferable alternatives. For example, when transporting hazardous materials, if there is a need for a specific density of materials, or if they must be temperature controlled.

"Specifications" means the description of the essential, functional or technical requirements of the Work in the Contract, including the procedures for determining whether the requirements have been met.

"Supplier of an Applicable Trading Partner" means a supplier that has a place of business in an Applicable Trading Partner where it conducts activities on a permanent basis that is clearly identified by name and accessible during normal business hours; or, a joint venture where at least one member of the joint venture has a place of business in an Applicable Trading Partner where it conducts activities on a permanent basis that is clearly identified by name and accessible during normal business hours, and all other members of the joint venture either have a place of business in an Applicable Trading Partner where they conduct activities on a permanent basis that is clearly identified by name and accessible during normal business hours or are a Canadian Supplier;

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"Supplier of a Non-Trading Partner" means any supplier that is not a Canadian Supplier or a Supplier of an Applicable Trading Partner; or, a joint venture where any member of the joint venture is not a Canadian Supplier or a Supplier of an Applicable Trading Partner;

"Work" means all the activities, services, goods, equipment, matters and things that the Contractor is required to do, deliver or perform under the Contract.

Contract Definitions - Software

In the Contract, unless the context otherwise requires, the following terms have the following meanings.

"Client" means the department or agency for which the Work is performed;

"Deliverable" includes Canada's license to use the Licensed Software.

"Device" means equipment having a physical central processor unit (CPU), mass storage and input output devices such as keyboard and monitor and includes servers, desktops, workstations, notebooks, laptops, personal digital assistants and mobile computing equipment.

"Device License" means a license that entitles users to access, install, copy, deploy, test, and use the Licensed Software for government purposes on the designated number of devices without requiring Canada to purchase any additional licenses or components, unrestricted by the use of any associated peripheral equipment, by the number or type of users, data, transactions, platforms, or operating systems, or by the location of a device.

"Enhancement" means

- any interim release version of the Licensed Software, which is often documented by adding a further decimal and digit to the version or release number (for example, V.X.X.2 would be the next enhancement after V.X.X.1),
- any a temporary work-around, patch, or by-pass to update the program code to correct Errors or defects, and
- engineering fix to a problem that may be incorporated into a New Release to update the Licensed Software in order to improve or correct Errors or defects in the program code.

"Entity License" means a license that entitles Canada to use the Licensed Software for government purposes throughout the entity in association with any number of devices or by any number of users, unrestricted by the number or type of data, transactions, platforms, or operating systems or the location of any device.

"Error" means any software instructions or statement contained in (or absent from) the Licensed Program that, by its presence or absence, prevents the Licensed Software from operating in accordance with the Specifications.

"Extension" means an update to the Licensed Software that extends the features, functionality, or performance of the program code.

"Licensed Programs" means all of the computer programs, in object-code form, that the Contractor must provide to Canada under the Contract (including all patches, fixes, and other code).

"Licensed Software" means, collectively, the Licensed Programs and the Software Documentation.

"Maintenance Release" means any commercially available releases, updates, enhancements, or other modifications to the Licensed Software that the Contractor or its licensor develops or publishes.

"Media" means, collectively, the material or medium on which the Licensed Programs are stored for delivery to Canada.

"New Release" means any system release, version release (in other words, a release often involving a limited number of new or enhanced features or functionality or features and Error corrections), or

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interim release of the Licensed Software.

"Rename" means an upgrade to the Licensed Software where the product name is changed, but the new software product has similar features and functionality as the Licensed Software.

"Software Documentation" means all of the manuals, handbooks, user guides and other human-readable material that the Contractor is required to provide to Canada for use in connection with the Licensed Programs.

"Software Warranty Period" means a period of 12 months from the date on which Canada accepts the Licensed Software, except for warranty or other work that is scheduled under the Contract to be performed after the start of the Software Warranty Period.

"Support Services" means the support for the Licensed Software that the Contractor is obligated to provide to Canada under the section entitled Support Services for Licensed Software.

"Support Services Period" means the period specified in the Contract during which the Contractor must provide Support Services.

"Term of the Contract" means the initial term of the Contract as defined in the section of this Contract entitled Initial Term, as extended from time to time under the section entitled Extended Term, if applicable.

"Upgrade" means an update to the Licensed Software to add, extend, enhance and/or improve the existing features, functionality, or performance of the program code, which is documented by a version or build number change.

"Updates" means a patch, workaround, improvement, correction, modification or derivate to the Software that is made generally available by the contractor.

"User License" means a license that entitles the designated number of users to install, copy, and use the Licensed Software for government purposes unrestricted by the number or type of data, transactions, platforms, devices, or operating environments that a user may be using or processing at any time.

Contract Definitions - Hardware

In the Contract, unless the context otherwise requires, the following terms have the following meanings.

"Delivery Date" means the date specified in the Contract for the delivery of the Hardware. If no date is otherwise specified, the Delivery Date is, for any initial delivery, 30 calendar days from the date of the Contract; for any Hardware purchased or leased under an option, 30 calendar days from the date the option is exercised; and if the Contract provides for multiple orders, 30 calendar days from the date of each order.

"Downtime" means the time, measured in hours and whole minutes, during which the Hardware is not available for Fully Functional Operation during User Time because of a Hardware malfunction. Downtime starts when Canada notifies the Contractor that the Hardware is not available for Fully Functional Operation and ends when the Contractor notifies Canada that the Hardware has been restored to Fully Functional Operation, unless Canada then notifies the Contractor that the Hardware is still not available for Fully Functional Operation.

"Firmware" means any computer programs that are stored within the Hardware.

"Fully Functional Operation" means that the Hardware is working in accordance with the Specifications, so that Canada can use all of the Hardware's functionalities.

"Hardware" means all the equipment, materials, matters, and things that the Contractor is to provide, maintain, and support, as applicable, under the Contract and includes any Firmware and any Leased Hardware, but not software or services,

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and applies to each System delivered under the Contract.

"Hardware Documentation" means all of the manuals, handbooks, user guides, and other human-readable material that the Contractor is required to provide to Canada for use with the Hardware.

"Hardware Maintenance Period" means

- a. for Hardware purchased under the Contract, the Hardware Warranty Period described in the section entitled Warranty for Purchased Hardware, plus any time by which this maintenance period is extended if the Contract includes an option for extending the Hardware Maintenance Service or the Contract is otherwise amended to extend the Hardware Maintenance Period,
- b. for the Leased Hardware, the entire Lease Period,
- c. for Leased Hardware that Canada later purchases under the Contract, both the Lease Period and, beginning on the date of purchase, the period described in the preceding paragraph (a), and
- d. for Hardware that is neither purchased nor leased under the Contract but for which the Contractor is providing Hardware Maintenance Service under the Contract, for the entire Term of the Contract, unless the Contract provides for a shorter period.

"Hardware Maintenance Service" means the Contractor's obligation to maintain the Hardware to ensure that it remains capable of Fully Functional Operation throughout the Hardware Maintenance Period.

"Hardware Warranty Period" means the period of 12 months after the Hardware is accepted.

"Lease Period" means the period starting on the day that Canada accepts the Hardware and ending either on the date specified in the Contract or, if no such date is specified, 12 months later.

"Leased Hardware" means the Hardware leased under the Contract.

"Operational Use Time" means the time during User Time, measured in hours and whole minutes, during which the Hardware performs its functions or activities in accordance with the Specifications, and includes all intervals between the stop and start times of the Hardware that do not constitute Downtime, such as pre-arranged maintenance, agreed by Canada.

"Principal Period of Maintenance" or **"PPM"** is from 7:00 a.m. to 7:00 p.m., Eastern Time, Mondays through Fridays, excluding statutory holidays observed by Canada at the site where the Hardware is being used.

"Ready for Use" describes the Hardware once the Contractor has delivered it and, if applicable, has installed, integrated and configured it so that it is available for Fully Functional Operation.

"Specifications" means the description of the essential functional or technical requirements of the Work in the Contract, including the procedures for determining whether the requirements have been met.

"System" means the integrated combination of any of the Hardware delivered under the Contract and any other equipment, materials or software described in the Contract that are interconnected with or that otherwise interoperate with the Hardware together as a unit. There may be multiple "Systems" that include different items of Hardware delivered under the Contract. A System may include Custom Software or Licensed Software or both.

"User Time" is identical to the Principal Period of Maintenance.

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Annex Certifications and Additional Information

Bidders must provide the required certifications and documentation to be awarded a contract.

The certifications provided by Bidders to Canada are subject to verification by Canada at all times. Canada will declare a bid non-responsive, or will declare a contractor in default, if any certification made by the Bidder is found to be untrue whether during the bid evaluation period or during the contract period.

The Contracting Authority will have the right to ask for additional information to verify the Bidder's certifications. Failure to comply with this request will also render the bid non-responsive or will constitute a default under the Contract.

The duly completed and signed certifications must be submitted to the Contracting Authority within the time frame specified by the Contracting Authority. Failure to comply with the request of the Contracting Authority and to provide the certifications or the additional information listed below within the time frame specified will render the bid non-responsive.

Certifications Required Precedent to Contract Award and Additional Information

1 Ownership

The Bidder certifies that:

- ☐ It is the owner of the Intellectual Property (IP) rights; or
- ☐ A Canadian licensor owning the Intellectual Property (IP) rights has granted the Bidder a licence to the IP for the proposed innovation and the Bidder is not infringing on any IP rights.

2 Integrity Provisions – Associated Information

By submitting a bid, the Bidder certifies that the Bidder and its Affiliates are in compliance with the provisions as stated in Section 01 Integrity Provisions - Bid of Standard Instructions 2003. The associated information required within the Integrity Provisions will assist Canada in confirming that the certifications are true.

2.1 Declaration of Convicted Offences

Pursuant to subsection Declaration of Convicted Offences of section 01 of the 2003 Standard Instructions, where a Bidder or its Affiliate is unable to certify that it has not been convicted of any of the offences referenced under the Canadian Offences Resulting in Legal Incapacity, the Canadian Offences and the Foreign Offences subsections, the Bidder must provide with its bid, a completed [Declaration Form](#), to be given further consideration in the procurement process.

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2.2

Integrity Provisions - List of Names

Note to Bidders: Although a list of directors was provided prior to pre-qualification, an updated list must be provided prior to contract award.

Bidders who are incorporated, including those bidding as a joint venture, must provide a complete list of names of all individuals who are currently directors of the Bidder.

Bidders bidding as sole proprietorship, as well as those bidding as a joint venture, must provide the name of the owner(s).

Bidders bidding as societies, firms or partnerships do not need to provide lists of names.

[Bidder to insert names and titles of directors in the table below]

Name	Title

3 Integrity Federal Contractors Program for Employment Equity - Bid Certification

3.1 Federal Contractors Program for Employment Equity - Bid Certification – Contract under \$1M

By submitting a bid, the Bidder certifies that the Bidder, and any of the Bidder's members if the Bidder is a Joint Venture, is not named on the Federal Contractors Program (FCP) for employment equity "FCP Limited Eligibility to Bid" list available from [Employment and Social Development Canada \(ESDC\) - Labour's website](#).

Canada will have the right to declare a bid non-responsive if the Bidder, or any member of the Bidder if the Bidder is a Joint Venture, appears on the "FCP Limited Eligibility to Bid" list at the time of contract award.

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3.2 Federal Contractors Program for Employment Equity - Bid Certification – Contract at \$1M or more

By submitting a bid, the Bidder certifies that the Bidder, and any of the Bidder's members if the Bidder is a Joint Venture, is not named on the Federal Contractors Program (FCP) for employment equity "FCP Limited Eligibility to Bid" list available from - [Employment and Social Development Canada \(ESDC\) - Labour's website](#).

Canada will have the right to declare a bid non-responsive if the Bidder, or any member of the Bidder if the Bidder is a Joint Venture, appears on the "FCP Limited Eligibility to Bid" list at the time of contract award. Canada will also have the right to terminate the Contract for default if a Contractor, or any member of the Contractor if the Contractor is a Joint Venture, appears on the "FCP Limited Eligibility to Bid" list during the period of the Contract.

The Bidder must provide the Contracting Authority with a completed Federal Contractors Program for Employment Equity – Certification (**Appendix A**), before contract award. If the Bidder is a Joint Venture, the Bidder must provide the Contracting Authority with a completed Federal Contractors Program for Employment Equity – Certification (**Appendix A**), for each member of the Joint Venture.

4 Price Certification

The Bidder certifies that the price proposed:

- (a) is not in excess of the lowest price charged anyone else, including the Bidder's most favoured customer, for the like quality and quantity of the goods, services or both;
- (b) does not include an element of profit on the sale in excess of that normally obtained by the Bidder on the sale of goods, services or both of like quality and quantity, and
- (c) does not include any provision for discounts to selling agents.

5 Canadian Content Certification

This procurement is limited to Canadian goods and Canadian services.

Subject to the evaluation procedures contained in the Call for Proposal solicitation documents, Bidders acknowledge that only proposals with a certification that the goods and services offered are Canadian goods and Canadian services, as defined in clause [A3050T](#), Canadian Content Definition, will be considered.

The Bidder certifies that:

"A minimum of 80 percent of the total proposal price consist of Canadian goods and Canadian services as defined in paragraph 5 of clause [A3050T](#)."

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For more information on how to determine the Canadian content for a mix of goods, a mix of services or a mix of goods and services, consult [Annex 3.6.\(9\)](#), Example 2, of the Supply Manual.

6 Former Public Servant Certification

Contracts with former public servants (FPS) in receipt of a pension or of a lump sum payment must bear the closest public scrutiny, and reflect fairness in the spending of public funds. In order to comply with Treasury Board policies and directives on contracts with FPS, Bidders must provide the information required below before contract award.

Definitions

For the purposes of this clause, "former public servant" is any former member of a department as defined in the [Financial Administration Act](#), R.S., 1985, c. F-11, a former member of the Canadian Armed Forces or a former member of the Royal Canadian Mounted Police. A former public servant may be:

- a. an individual;
- b. an individual who has incorporated;
- c. a partnership made of former public servants; or
- d. a sole proprietorship or entity where the affected individual has a controlling or major interest in the entity.

"lump sum payment period" means the period measured in weeks of salary, for which payment has been made to facilitate the transition to retirement or to other employment as a result of the implementation of various programs to reduce the size of the Public Service. The lump sum payment period does not include the period of severance pay, which is measured in a like manner.

"pension" means a pension or annual allowance paid under the [Public Service Superannuation Act](#) (PSSA), R.S., 1985, c. P-36, and any increases paid pursuant to the [Supplementary Retirement Benefits Act](#), R.S., 1985, c. S-24 as it affects the PSSA. It does not include pensions payable pursuant to the [Canadian Forces Superannuation Act](#), R.S., 1985, c. C-17, the [Defence Services Pension Continuation Act](#), 1970, c. D-3, the [Royal Canadian Mounted Police Pension Continuation Act](#), 1970, c. R-10, and the [Royal Canadian Mounted Police Superannuation Act](#), R.S., 1985, c. R-11, the [Members of Parliament Retiring Allowances Act](#), R.S. 1985, c. M-5, and that portion of pension payable to the [Canada Pension Plan Act](#), R.S., 1985, c. C-8.

Former Public Servant in Receipt of a Pension

As per the above definitions, is the Bidder a FPS in receipt of a pension?

☐ Yes ☐ No

If so, the Bidder must provide the following information, for all FPSs in receipt of a pension, as applicable:

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- a. name of former public servant;
- b. date of termination of employment or retirement from the Public Service.

By providing this information, Bidders agree that the successful Bidder's status, with respect to being a former public servant in receipt of a pension, will be reported on departmental websites as part of the published proactive disclosure reports in accordance with [Contracting Policy Notice: 2019-01](#) and the [Guide to the Proactive Publication of Contracts](#).

Work Force Adjustment Directive

Is the Bidder a FPS who received a lump sum payment pursuant to the terms of the Work Force Adjustment Directive?

☐ Yes ☐ No

If so, the Bidder must provide the following information:

- a. name of former public servant;
- b. conditions of the lump sum payment incentive;
- c. date of termination of employment;
- d. amount of lump sum payment;
- e. rate of pay on which lump sum payment is based;
- f. period of lump sum payment including start date, end date and number of weeks;
- g. number and amount (professional fees) of other contracts subject to the restrictions of a work force adjustment program.

7 Applicable Laws

Any resulting contract must be interpreted and governed, and the relations between the parties determined, by the laws in force in Ontario.

Bidders may, at their discretion, substitute the applicable laws of a Canadian province or territory of their choice at time of the Contract award process by inserting the name of the Canadian province or territory of their choice below. If no change is made, it acknowledges that the applicable laws specified are acceptable to the Bidders.

Any resulting contract must be interpreted and governed, and the relations between the parties determined, by the laws in force in _____

8 Certification Acknowledgment

By signing this document, the Bidder certifies that the information submitted herein, and the information submitted in its bid, is accurate and complete.

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The Bidder has read, understands and acknowledges the instructions and the clauses and conditions contained in all parts of this document, and the solicitation document.

The Bidder certifies that he or she is an authorized signing officer of the Bidder.

Print Name: _____

Title: _____

Signature: _____

Date: _____

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Appendix A - Federal Contractor's Program for Employment Equity
(Contracts at \$1M or more)

I, the Bidder, by submitting the present information to the Contracting Authority, certify that the information provided is true as of the date indicated below. The certifications provided to Canada are subject to verification at all times. I understand that Canada will declare a bid non-responsive, or will declare a contractor in default, if a certification is found to be untrue, whether during the bid evaluation period or during the contract period. Canada will have the right to ask for additional information to verify the Bidder's certifications. Failure to comply with any request or requirement imposed by Canada may render the bid non-responsive or constitute a default under the Contract.

For further information on the Federal Contractors Program for Employment Equity visit [Employment and Social Development Canada \(ESDC\) – Labour's](#) website.

Date: _____(YYYY/MM/DD) (If left blank, the date will be deemed to be the bid solicitation closing date.)

Complete both A and B.

A. Check only one of the following:

- ☐ A1. The Bidder certifies having no work force in Canada.
- ☐ A2. The Bidder certifies being a public sector employer.
- ☐ A3. The Bidder certifies being a [federally regulated employer](#) being subject to the [Employment Equity Act](#).
- ☐ A4. The Bidder certifies having a combined work force in Canada of less than 100 permanent full-time and/or permanent part-time employees.

A5. The Bidder has a combined workforce in Canada of 100 or more employees; and

- ☐ A5.1. The Bidder certifies already having a valid and current [Agreement to Implement Employment Equity \(AIEE\) \(LAB1215\)](#) in place with ESDC-Labour.

OR

- ☐ A5.2. The Bidder certifies having submitted the [Agreement to Implement Employment Equity \(LAB1215\)](#) to ESDC-Labour. As this is a condition to contract award, proceed to completing the form Agreement to Implement Employment Equity (LAB1168), duly signing it, and transmit it to ESDC-Labour.

B. Check only one of the following:

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☐ B1. The Bidder is not a Joint Venture.

OR

☐ B2. The Bidder is a Joint venture and each member of the Joint Venture must provide the Contracting Authority with a completed annex Federal Contractors Program for Employment Equity - Certification. (Refer to the Joint Venture section of the Standard Instructions)

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Annex Statement of Work

{| [Insert SOW](#) }

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Annex Basis of Payment

{ | [Insert Basis of Payment](#) }

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Annex Technical Criteria

Certifications

Canadian Offeror

The Offeror must be a Canadian Offeror. A Canadian Offeror is defined as a Canadian person or entity submitting an Offer on its own behalf and having a place of business in Canada where the person or entity conducts activities on a permanent basis that is clearly identified by name and accessible during normal working hours.

Canadian Content

At least 80% of the financial proposal costs, the total proposal price to Canada stated in "Section –G Financial proposal", must be Canadian goods or Canadian services. For the complete definition of 'Canadian goods' and 'Canadian services' please refer to Annex Solicitation of Offers Definitions of the solicitation number EN578-26ISC1 on the Canada Buys Website.

Note: Canadian Content compliance will also be verified and confirmed during contract negotiations.

Ownership

The Offeror must be the owner of the Intellectual Property (IP) for the proposed innovation or hold a valid exclusive licence for the IP rights from a Canadian licensor for the proposed innovation. The Offeror must also ensure that the proposed innovation does not infringe on any existing IP rights.

Pre-Commercial Status

The proposed innovation must not be openly available in the marketplace, and must not have been previously sold on a commercial basis as of the date of the submission of the offer. Refer to the definitions of Pre-Commercial Innovation and Commercial Sales at Annex Contract Definitions of the solicitation number EN578-26ISC1 on the Canada Buys Website.

Note: Pre-commercial status can include the significant modification of an existing technology or processes applied in a government setting for which current applications are not possible or feasible.

Offeror Presence in Canada

The Offeror must meet the following minimum requirements:

- *50% or more of the Offeror's Full Time Equivalent (FTE) employees must have Canada as their ordinary place of work;*
- *50% or more of the Offeror's annual wages, salaries and fees must be paid to employees and contractors who spend the majority of their time working in Canada;*
- *and 50% or more of the Offeror's senior executives (Vice President and above) must have their principal residence in Canada.*

These calculations must take into account affiliated businesses, such as parent companies and subsidiaries that are either in or outside of Canada.

Stage 1 – Mandatory Technical Criteria

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MC1: Previously Conditionally-qualified Innovation

The proposed innovation or any other versions of the proposed innovation must not have been previously awarded a contract under the Build in Canada Innovation Program (BCIP) or its predecessor, the Canadian Innovation Commercialization Program (CICP), nor under the Innovative Solutions Canada (ISC) Testing Stream.

The proposed innovation or any other versions of the proposed innovation must not currently be active in a pool of conditionally-qualified innovations. A proposed innovation that is currently active in a pool will be considered only if the offer validity period for that Offer has expired or the Offeror has withdrawn their innovation from the relevant pool, prior to the solicitation closing date and time.

Offerors are limited to submitting only one (1) offer per Problem Statement under this solicitation. If the proposed innovation is similar or identical to an innovation previously submitted by the Offeror that is currently active in a pool and has not been withdrawn prior to solicitation closing, the following assessment will be used to determine sufficient difference to proceed.

Pass	Sufficiently Different • A distinct product and/or service that has undergone a completely separate path of R&D or that diverged early in technology development. OR • Significant modifications to the application of the previous technology or components of the technology, applied in a setting or condition which was not possible or feasible for the conditionally-qualified or contracted innovation; OR • A significant improvement in functionality, cost or performance over the conditionally-qualified or contracted innovation.
Fail	Not Sufficiently Different • Incremental improvements; OR • Technologies that follow a normal course of product development (i.e. the next version or release); OR • Stated differences are not quantified or are inadequately described.

Stage 2 – Screening Criteria (SC)

SC1: Innovation

The Offeror must demonstrate that the proposed innovation aligns with Innovative Solutions Canada (ISC) definition of innovation.

The proposed innovation must meet one or more of the ISC definitions of innovation below:

- *An invention*, new technology or new process that is not currently available in the marketplace.*
- *Significant modifications to the application of existing technologies/components/processes that are applied in a setting or condition for which current applications are not possible or feasible, including government applications.*

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- *An improvement in functionality, cost or performance over an existing technology/process that is considered state-of-the-art or the current industry best practice.*

** Note: For ISC purposes, an “invention” is defined for the purposes of the ISC Program, as a manufacturing design or any other new and useful improvement that is new or novel, that is, not commonly known or not an obvious derivative of an existing way of doing things.*

Pass	• The proposed innovation meets one or more of the ISC definitions of innovation.
Fail	• The proposed innovation does not meet any of the ISC definitions of innovation; OR • The proposed innovation is an incremental improvement, “good engineering”, or a technology that would go ahead in the normal course of product development (e.g., the next version or release).

SC2: Operational Readiness Validation

The Offeror must demonstrate that , **at the time of Offer submission**, *the proposed innovation is feasibly ready for testing in an operational environment. In other words, the proposed innovation should be at TRL 7 or above according to the ISC Technology Readiness Level Scale (TRL 7 definition: Prototype system ready (form, fit, and function) for testing in an appropriate operational environment).*

Pass	• The Offeror has provided evidence demonstrating that, at a minimum, the proposed innovation is a functional prototype (form, fit, and function) as per the ISC Technology Readiness Level Scale. AND • The Offeror has provided evidence supporting that an operational test of the proposed innovation is feasible at the time of the Offer submission.
Fail	• The proposed innovation from the Offeror has not provided evidence demonstrating that, at a minimum, the proposed innovation is a functional prototype (form, fit and function) as per the ISC Technology Readiness Level Scale. OR • The Offeror has not provided evidence supporting that an operational test of the proposed innovation is feasible at the time of the Offer submission.

SC3: Risks Considerations

The Offeror must demonstrate that they have obtained or possess, at the time of Offer submission, the certifications, the licences, and approvals required to safely deploy the proposed innovation, and that it poses no risks to individuals or the potential test partner involved in an operational test.

This is to ensure that the potential test partner is not exposed to safety or privacy risks during the conduct of the operational test.

Pass	At the time of Offer Submission:
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	• The Offeror has demonstrated that they have assessed for risks associated with the safe deployment of the proposed innovation in an operational test. • If applicable, the Offeror has demonstrated that they have obtained or possess the certifications, the licences, and approvals required to safely deploy the proposed innovation in an operational test; AND • No concerns remain regarding the physical safety and privacy of individuals that could be involved in an operational test; AND • The proposed innovation does not pose organizational safety or security concerns for the potential test partner when used in an operational setting. AND • Where applicable, the Offeror has mitigated risks during the operational test related to: ○ The potential test partner's assets: strategies to ensure the safety of equipment, data, personnel, and operational integrity. ○ Broader impacts during an operational test: strategies to ensure the protection of the population, infrastructure, and information. ○ Ethical & Legal compliance, technical & cybersecurity risks, and civilian & infrastructure protection considerations. AND • The mitigation strategies to address the identified risks are feasible and well described. However, minimal risks remain to the potential test partner involved in an operational test.
Fail	At the time of Offer submission: • The Offeror has failed to demonstrate that they have assessed for risks associated with the safe deployment of the proposed innovation in an operational test. OR • If applicable, the Offeror has failed to demonstrate that they have obtained or possess the certifications, the licences, and approvals required to safely deploy the proposed innovation in an operational test; OR • Concerns remain regarding the physical safety or privacy of individuals that could be involved in an operational test; OR • The proposed innovation may pose organizational safety or security concerns for the potential test partner when used in an operational setting. OR • Where applicable, the Offeror has failed to demonstrate that they have mitigated risks during the operational test related to: ○ The potential test partner's assets: strategies to ensure the safety of equipment, data, personnel, and operational integrity. ○ Broader impacts during an operational test: strategies to ensure the protection of the population, infrastructure, and information.

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	○ Ethical & Legal compliance, technical & cybersecurity risks, and civilian & infrastructure protection considerations. OR • The mitigation strategies are inadequate, and significant risks remain to the test partner during the operational test.
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SC4: Scope – Outcomes

The Offeror must demonstrate that the proposed innovation provides a solution to the Problem Statement and meets one or more of the *Outcomes* selected by the Offeror.

Pass	• The proposed innovation is within the scope of the selected Problem Statement and clearly addresses one or more of the outcomes selected by the Offeror.
Fail	• The proposed innovation is out-of-scope for the Problem Statement and the relevant outcome(s) selected by the Offeror, OR; • The Offer does not clearly demonstrate how the proposed innovation addresses any one of the Outcomes selected by the Offeror, OR; • The proposed innovation is poorly described and does not permit concrete analysis, OR; • There is little to no scientific and/or technological evidence that the proposed innovation is likely to meet any of the Outcomes.

Stage 3 – Point-Rated Screening Criteria (PS)

PS1: Advance on State of the Art

The Offeror must demonstrate that the proposed innovation improves upon current approaches and state of the art, or current practices relevant to its purpose or application, in a manner that yields competitive advantages.

2 points	• The proposed innovation improves minimally upon the current state of the art, though not sufficiently enough to create competitive advantages in existing market niches; OR • The stated advancements are not substantiated with specific, measurable evidence.
12 points	• The proposed innovation offers one or two minor improvements, and no significant improvements, to the state of the art that are not likely to create competitive advantages in existing market niches; OR • The stated advancements are well-described in general, but are not substantiated with specific, measurable evidence.
24 points <i>Minimum</i>	• The proposed innovation offers three or more minor improvements to the state of the art, that together are likely to create competitive advantages in existing market niches; OR

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	The proposed innovation offers one significant improvement to the state of the art, that is likely to create competitive advantages in existing market niches.
40 points	- The proposed innovation offers two or more significant improvements to the state of the art, that are likely to create competitive advantages in existing market niches and could define new market spaces; OR - The proposed innovation can be considered a new benchmark of state of the art that is clearly ahead of competitors and that is likely to define new market spaces.

PS2: Intellectual Property (IP) Strategy

The Offeror must demonstrate a suitable Intellectual Property (IP) strategy, relevant to protect IP generated by the proposed innovation and to protect the Offeror. This criterion also assesses the degree to which the strategy is appropriate to support successful commercialization.

0 points	The Intellectual Property (IP) strategy is insufficiently rationalized or substantiated, and is poorly suited for background IP or generated IP as they pertain to the proposed innovation.
8 points Minimum	- The ongoing activities described and rationalized form a suitable IP strategy in terms of relevant background IP or generated IP, and enables the application of suitable protection where and when relevant, as they pertain to the proposed innovation; AND - The Offeror describes an IP strategy factoring current available resources of the company for the effective and competitive leveraging of IP in terms of profitable exploitation and market access.
12 points	- The activities described are well substantiated and form an IP strategy that addresses all relevant background IP and generated IP as they pertain to the proposed innovation, and will ensure the Offeror is protected; AND - The Offeror described an IP strategy factoring considerations such as the current available resources of the company and the future state of the company after the operational test of the proposed innovation, for the effective and competitive leveraging of IP in terms of profitable exploitation and market access.

Stage 4 – Point Rated Criteria (PR)

PR1: Equity, Diversity, and Inclusion (EDI) Benefits

This criterion is intended to assess the degree to which the Offeror has sufficient measures to effectively achieve and maintain diversity, inclusivity and gender equity within; their business, supply chain, or business ecosystem.

Score levels reflect the number of the following elements the Offeror addressed in their answer:

- Anti-discrimination policies;*

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- *Recruitment strategy and hiring process;*
- *Training available to educate the Offeror's workforce on diversity and inclusion;*
- *How diversity and inclusion are factored into Offeror's supplier selection methods.*

0 points	Policies regarding diversity, inclusivity and gender equity are not identified, or are insufficient.
4 points	Information provided clearly demonstrates that the Offeror is currently implementing or will implement two (2) EDI elements to achieve and maintain diversity, inclusivity and gender equity.
8 points	Information provided clearly demonstrates that the Offeror is implementing or will implement three (3) EDI elements to achieve and maintain diversity, inclusivity and gender equity.
12 points	Information provided clearly demonstrates that the Offeror is implementing or will implement all four (4) EDI elements to achieve and maintain diversity, inclusivity and gender equity.

PR2: Commercialization Strategy

This criterion is intended for the Offeror to demonstrate that they have a credible strategy to commercialize the proposed innovation.

0 points	• The presented commercialization strategy is inadequate, incomplete or has not been presented.
8 points	• The presented commercialization strategy could support limited target market entry; OR • Shortcomings in the expertise, human resources, partners/sales channels or physical assets to successfully commercialize the proposed innovation.
24 points	• The presented commercialization strategy, is clear and well-developed and, given full implementation, should support entry into the target market; OR • A majority of the expertise, human resources, partners/sales channels and physical assets are present, to successfully commercialize the proposed innovation.
32 points	• The presented commercialization strategy, is complete, strong, and is highly likely to support long-term and sustained entry into the target markets; OR • The Offeror has the expertise, human resources, partners/sales channels and physical assets required to move forward with successful commercialization of the proposed innovation.

In order to conditionally-qualify an Offer must score a minimum of 60 points out of 96 points as a sum of all points from Stage 3 and Stage 4 criteria.

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Annex Pathway to Commercialization Entry Criteria

MC1: Eligibility Criteria

The Offeror's proposal must satisfy the eligibility criteria for participation in the Pathway to Commercialization:

- (1) For profit
- (2) 499 or fewer full-time equivalent (FTE) employees
- (3) Research and development activities that take place in Canada
- (4) 50% or more of its annual wages, salaries and fees are currently paid to employees and contractors who spend the majority of their time working in Canada
- (5) 50% or more of its FTE employees have Canada as their ordinary place of work
- (6) 50% or more of its senior executives (Vice President and above) have Canada as their principal residence

☐ Offeror certifies their proposed innovation is compliant with the eligibility criteria.

MC2: Management Structure

The Offeror must demonstrate that they have filled the key roles in the management structure with individuals possessing the relevant background or skill set*, who can support the successful commercialization of the proposed innovation.

Role A:	Company leadership (e.g. CEO, or equivalent)	Role C:	Commercialization strategy (e.g. Business Manager, or equivalent)
Role B:	Technology development (e.g. CTO, or equivalent)	Role D:	Financial management (e.g. CFO, or equivalent)

**Multiple roles could be held by the same person; similarly, a person in a given role could be further supported by others in its responsibilities. Ultimately the intent is to ensure that the roles are fulfilled, by whomever has the proper background of skillset.*

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Pass	All roles are identified and possess, or are supported by, a strong background or skill set (education and/or experience) that would serve well in commercializing the proposed innovation, is clearly relevant to their respective industry, and increases the likelihood of commercial success. OR All roles are identified and possess, or are supported by, a background or skill set (education and/or experience) that is relevant to the company's activities or their respective fields, and will likely enable them to reach commercial launch.
Fail	All roles are identified and possess a background or skill set (education and/or experience) that is relevant to the company's activities or their respective fields, however gaps remain that are unmitigated and have the potential to impede commercial launch and commercial success. OR One or more roles are not identified; OR One or more roles significantly lacks relevant background or skill set; OR One or both company leader role and technology manager role have significant and unmitigated gaps in qualifications relevant to the company's activities, which could obstruct the company's efforts to reach commercial launch.

☐ The Offeror certifies that the key roles in the management structure contain individuals possessing the relevant background or skill set, who can support the successful commercialization of the proposed innovation.

Screening Criteria (SC)

SC1: Technology Readiness Level (TRL) Validation

The Offeror must demonstrate that the proposed innovation is at TRL 9 and ready for market commercialization.

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TRL 9: *Actual application of the technology in its final form and under real-life conditions, such as those encountered in operational tests and evaluations. Activities include using the innovation under operational conditions.*

Pass	The Post Test Report (PTR) has provided evidence demonstrating that the innovation is at TRL 9 at the conclusion of the testing period.
Fail	The innovation is not deemed to be at TRL 9 at the conclusion of the testing period.

SC2: Certifications

The Offeror must demonstrate that they have obtained the certifications, licences, and approvals required to commercialize the innovation measured against daily market realities, product

dependencies, and operational standards of the industry, including those considered a best practice in the respective industry, to achieve safe testing.

Pass	The Offeror has demonstrated that they have obtained the certifications, licences, and approvals required to commercialize their innovation.
Fail	The Offeror has failed to demonstrate that they have obtained the certifications, licences, and approvals required to commercialize their innovation.

The Offeror may be requested to submit copies of certifications, licences and/or approvals as proof. This will include medical certifications (i.e., MDEL).

SC3: Financial Capacity

The Offeror must demonstrate that they have sufficient financial resources and a credible financial strategy necessary to execute and deliver upon contracts of larger scope. The framework of evaluation is based on the ability to manage a contract up to \$8M.

In determining the extent of financial capacity evaluators should consider updates status on funding sources and the amount of secured and unsecured funds, reviewing the degree of risks cited in the initial application any determining they remain acceptable, and whether these risks are reasonable based on

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the context of the sector. Financial resources must be readily available and demonstrate ability to commercialize the proposed innovation.

Pass	The Offeror has demonstrated they have funds in place, AND/OR The Offeror has a credible financial strategy and remaining unsecured funds will not significantly impede commercializing the proposed innovation.
Fail	The Offeror has not demonstrated they have sufficient funds to commercialize the proposed innovation. OR The Offeror has failed to demonstrate it has a credible plan to secure necessary funds.

SC4: Intellectual Property (IP) Strategy

The Offeror must demonstrate that they have an updated Intellectual Property strategy suitable to commercialize relevant to the innovation. This includes pending issues identified in the original submission and an investigation as to whether they have been resolved, remain sufficient, or require further action.

This can vary by industry and rate of technology turnover.

For example:

Software: Copyright and Source Code protection

Hardware: Patent and/or Trade Secret protection

System: Both hardware and software protection

Service, Methodology, or Process: Copyright

Pass	The Offeror has demonstrated that they have implemented an Intellectual Property strategy suitable to protect the innovation.
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Fail	The Offeror has failed to demonstrate that they have implemented an Intellectual Property strategy suitable to protect the innovation.
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SC5: Scalability

The Offeror must demonstrate that they have sufficient resources and planning to meet the obligations of a commercial contract up to the contract cap of \$8M. Offeror must provide an assessment of product lifecycle, demonstration of any relevant manufacturing agreements, distribution agreements in principle, and available human and technology resources.

Pass	The Offeror has demonstrated that they have sufficient resources, agreements, operations, and processes in place to service multiple and concurrent contracts.
Fail	The Offeror has failed to demonstrate that they have sufficient resources, agreements, operations, and processes in place to service multiple and concurrent contracts.

SC6: Innovation Test Performance

The Post Test Report issued in collaboration with the Testing Department is designed to evaluate the performance of the innovation against the stated functionalities in the original offer submission (SC1: Innovation of the original proposal submission). Based on the Post Test Report, as well as any additional consultation with the Testing Department, it has been determined:

Pass	The innovation demonstrated most of the core functionalities on par with the original offer submission, AND The innovation functioned as intended within the test environment.
Fail	The innovation did not demonstrate core technical functionality as stated in the original offer submission, AND/OR The innovation did not function or did not function as intended within the test environment.

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Annex Security Requirements Check List (SRCL)

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Annex Technology Readiness Level

Technology Readiness Levels (TRL) describe the different stages of pre-commercial development. Find TRL 1 to 9 definitions, descriptions and examples below.

Short Definition and Description: Stages of component(s)/subsystem(s) development, or overall system maturity description at each level, and benchmark measures of system performance capability.

Examples of Activities: Generally occur when the technology is within the respective level. Typically, level activities occur and are completed before to the start of the next level.

TRL	Short definition	Description	Examples of Activities
1	Basic principles observed and reported.	Basic principles observed and reported.	Basic principles observed and reported.
2	Technology concept and/or application formulated.	Invention begins. Once basic principles are observed, practical applications can be invented. Applications are speculative, and there may be no proof or detailed analysis to support the assumptions.	Activities are limited to analytic studies.
3	Analytical and experimental critical function and/or characteristic proof of concept.	Active R&D is initiated. This includes analytical studies and laboratory studies to physically validate the analytical predictions of separate elements of the technology.	Activities include components that are not yet integrated or representative.
4	Component(s)/subsystem(s) and/or process validation in a laboratory environment.	Basic technological components are integrated to establish that they will work together.	Activities include integration of "ad hoc" hardware in the laboratory.
5	Semi-integrated component(s)/subsystem(s) and/or process validation in a simulated environment.	The basic technological components are integrated for testing in a simulated environment.	Activities include laboratory integration of components.
6	System and/or process prototype demonstration in a simulated environment.	A model or prototype that represents a near desired configuration.	Activities include testing a model or prototype in a simulated or laboratory environment.
7	Prototype system ready (form, fit, and function) for demonstration in an appropriate operational environment.	Prototype is ready for demonstration in an operational environment and is at planned operational level.	Activities include prototype field testing in a real-world operational setting.
8	Actual technology completed and qualified through tests and demonstrations.	Technology has been proven to work in its final form and under expected conditions.	Activities include developmental testing and evaluation of whether it will meet operational requirements.
9	Actual technology proven through successful deployment in an operational setting.	Actual application of the technology in its final form and under real-life conditions, such as those encountered in operational tests and evaluations.	Activities include using the innovation under operational conditions.

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Annex Supply Chain Security Assessment Process

On-going Supply Chain Security Assessment of Products

- a) The process described in this section may apply to a single product, to a set of products, or to all products manufactured or distributed by a particular supplier.
- b) The process described in this section also applies to subcontractors. In situations in which a subcontractor considers any information required to be submitted pursuant to this section to be proprietary, the subcontractor may submit the SCSI directly to the Contracting Authority. However, it remains the responsibility of the Contractor to ensure that all subcontractor updates to the SCSI are submitted on a timely basis. With respect to cost implications, Canada acknowledges that the cost considerations with respect to concerns about subcontractors (as opposed to products) may be different and may include factors such as the availability of other subcontractors to complete the work.
- c) Any service levels that are not met due to a transition to a new product or subcontractor required by Canada pursuant to this section will not trigger a Credit, nor will a failure in this regard be taken into consideration for overall metric calculations, provided that the Contractor implements the necessary changes in accordance with the migration plan approved by Canada or proceeds immediately to implement Canada's requirements if Canada has determined that the threat to national security is both serious and imminent.
- d) If the Contractor becomes aware that any subcontractor is deploying products subject to security concerns in relation to the Work, the Contractor must immediately notify both the Contracting Authority and the Technical Authority and the Contractor must enforce the terms of its contract with its subcontractor. The Contractor acknowledges its obligations pursuant to General Conditions 2035, Subsection 6(3).
- e) Any determination made by Canada will constitute a decision with respect to a specific product or subcontractor and its proposed use under the Contract, and does not mean that the same product or subcontractor would necessarily be assessed in the same way if proposed to be used for another purpose or in another context.
- f) Supply Chain Security Assessment:
 - i) The Parties acknowledge that a Supply Chain Security Information ("SCSI") assessment process was a key component of the procurement process that resulted in the award of the Contract. In connection with that SCSI assessment process, Canada approved the following SCSI;
 - (A) an IT Products List;
 - (B) one or more network diagrams; and
 - (C) a list of subcontractors.
 - ii) The originally approved versions are included as Annex C (although portions of Annex C that were submitted directly by a subcontractor will be kept confidential by Canada

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between it and the relevant subcontractor). In some cases, Canada approved several of each (e.g., several IT Product Lists), because some subcontractors submitted their SCSi directly to Canada. The Parties also acknowledge that security is a critical consideration for Canada with respect to the Work and that on-going assessment of SCSi will be required throughout the Contract Period. This Section governs that process.

- g) **Assessment of New Products:** During the Contract Period, the Contractor and its subcontractors will inevitably need to deploy “new products” in relation to the Work (i.e., any hardware, software or firmware that was not on the IT Products List approved by Canada as part of the SCSi assessment during the procurement process or in a subsequently approved version of the IT Products List). In that regard:
- i) The Contractor must revise its IT Products List **at least once every 3 calendar months** to show all changes made to existing products (e.g., firmware upgrades), as well as all deletions and additions to the list that affect the Work (including products deployed by its subcontractors) during that period; the list must be marked to show the changes made during the applicable period. If no changes have been made during a 3 calendar month period, the Contractor must advise the Contracting Authority in writing that the existing list is unchanged.
 - ii) The Contractor must also revise its list of subcontractors if the subcontractors performing any part of the Work change during the Contract Period.
 - iii) The Contractor agrees that, during the Contract Period, it will periodically (at least once a year) provide the Contracting Authority with updates regarding upcoming new products that it anticipates deploying on its network (for example, as it develops its “technology roadmap” or similar plans). This will allow Canada to assess those products in advance so that any security concerns can be identified prior to the products being deployed in connection with the Work. Canada will endeavour to assess proposed new products within 30 calendar days, although lengthier lists of products may take additional time.
 - iv) Canada reserves the right to conduct a complete, independent security assessment of all new products. The Contractor must, if requested by the Contracting Authority, provide any information that Canada requires to perform its assessment.
 - v) Canada may use any government resources or consultants to conduct the assessment and may contact third parties to obtain further information. Canada may use any information, whether it is provided by the Contractor or comes from another source, that Canada considers advisable to conduct a comprehensive assessment of any proposed new product.
- h) **Identification of New Security Vulnerabilities in Products already approved by Canada:**
- i) The Contractor must provide to Canada timely information about any vulnerabilities of which it becomes aware in performing the Work, including any weakness, or design deficiency, identified in any hardware, software or firmware used to deliver

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Work that would allow an unauthorized individual to compromise the integrity, confidentiality, access controls, availability, consistency or audit mechanism of the system or the data and applications it hosts.

- ii) The Contractor acknowledges that the nature of information technology is such that new vulnerabilities, including security vulnerabilities, are constantly being identified and, that being the case, new security vulnerabilities may be identified in products that have already been the subject of an SCSi assessment and approved by Canada, either during the procurement process or later during the Contract Period.

i) **Addressing Security Concerns:**

- i) If Canada notifies the Contractor of security concerns regarding a product that has not yet been deployed, the Contractor agrees not to deploy it in connection with the Work without the consent of the Contracting Authority.
- ii) At any time during the Contract Period, if Canada notifies the Contractor that, in Canada's opinion, there is a product that is being used in the Contractor's solution (including use by a subcontractor) that has been assessed as having the potential to compromise or be used to compromise the security of Canada's equipment, firmware, software, systems or information, then the Contractor must:
 - (A) provide Canada with any further information requested by the Contracting Authority so that Canada may perform a complete assessment;
 - (B) if requested by the Contracting Authority, propose a mitigation plan (including a schedule), within 10 FGWDs, such as migration to an alternative product. The Contracting Authority will notify the Contractor in writing if Canada approves the mitigation plan, or will otherwise provide comments about concerns or deficiencies with the mitigation plan; and
 - (C) implement the mitigation plan approved by Canada.

This process applies both to new products and to products that were already approved pursuant to an SCSi assessment by Canada, but for which new security vulnerabilities have since been identified.

- iii) Despite the previous subsection, if Canada determines in its discretion that the identified security concern represents a threat to national security that is both serious and imminent, the Contracting Authority may require that the Contractor immediately cease deploying the identified product(s) in the Work. For products that have already been deployed, the Contractor must identify and/or remove (as required by the Contracting Authority) the product(s) from the Work according to a schedule determined by Canada. However, prior to making a final determination in this regard, Canada will provide the Contractor with the opportunity to make representations within 48 hours of receiving notice from the Contracting Authority. The Contractor may propose, for example, mitigation measures for Canada's consideration. Canada will then make a final determination.

j) **Cost Implications:**

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- i) Any cost implications related to a demand by Canada to cease deploying or to remove a particular product or products will be considered and negotiated in good faith by the Parties on a case-by-case basis and may be the subject of a Contract Amendment. However, despite any such negotiations, the Contractor must cease deploying and/or remove the product(s) as required by Canada. The negotiations will then continue separately. The Parties agree that, at a minimum, the following factors will be considered in their negotiations, as applicable:
 - (A) with respect to products already approved by Canada pursuant to an SCSi assessment for the Work, evidence from the Contractor of how long it has owned the product;
 - (B) with respect to new products, whether or not the Contractor was reasonably able to provide advance notice to Canada regarding the use of the new product in connection with the Work;
 - (C) evidence from the Contractor of how much it paid for the product, together with any amount that the Contractor has pre-paid or committed to pay with respect to maintenance and support of that product;
 - (D) the normal useful life of the product;
 - (E) any “end of life” or other announcements from the manufacturer of the product indicating that the product is or will no longer be supported;
 - (F) the normal useful life of the proposed replacement product;
 - (G) the time remaining in the Contract Period;
 - (H) whether or not the existing product or the replacement product is or will be used exclusively for Canada or whether the product is also used to provide services to other customers of the Contractor or its subcontractors;
 - (I) whether or not the product being replaced can be redeployed to other customers;
 - (J) any training required for Contractor personnel with respect to the installation, configuration and maintenance of the replacement products, provided the Contractor can demonstrate that its personnel would not otherwise require that training;
 - (K) any developments costs required for the Contractor to integrate the replacement products into the Service Portal, operations, administration and management systems, if the replacement products are products not otherwise deployed anywhere in connection with the Work; and
 - (L) the impact of the change on Canada, including the number and type of resources required and the time involved in the migration.
- ii) Additionally, if requested by the Contracting Authority, the Contractor must submit

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a detailed cost breakdown, once any work to address a security concern identified under this section has been completed. The cost breakdown must contain an itemized list of all applicable cost elements related to the work required by the Contracting Authority and must be signed and certified as accurate by the Contractor's most senior financial officer, unless stated otherwise in writing by the Contracting Authority. Canada must consider the supporting information to be sufficiently detailed for each cost element to allow for a complete audit. In no case will any reimbursement of any expenses of the Contractor (or any of its subcontractors) exceed the demonstrated out-of-pocket expenses directly attributable to Canada's requirement to cease deploying or to remove a particular product or products.

- iii) Despite the other provisions of this section, if the Contractor or any of its subcontractors deploys new products that Canada has already indicated to the Contractor are the subject of security concerns in the context of the Work, Canada may require that the Contractor or any of its subcontractors immediately cease deploying or remove that product. In such cases, any costs associated with complying with Canada's requirement will be borne by the Contractor and/or subcontractor, as negotiated between them. Canada will not be responsible for any such costs.

Change of Control

- a) At any time during the Contract Period, if requested by the Contracting Authority, the Contractor must provide to Canada:
 - i) an organization chart for the Contractor showing all related corporations and partnerships; for the purposes of this subsection, a corporation or partnership will be considered related to another entity if:
 - (A) they are "related persons" or "affiliated persons" according to the Canada *Income Tax Act*;
 - (B) the entities have now or in the two years before the request for the information had a fiduciary relationship with one another (either as a result of an agency arrangement or any other form of fiduciary relationship); or
 - (C) the entities otherwise do not deal with one another at arm's length, or each of them does not deal at arm's length with the same third party.
 - ii) a list of all the Contractor's shareholders; if the Contractor is a subsidiary, this information must be provided for each parent corporation or parent partnership, up to the ultimate owner; with respect to any publicly traded corporation, Canada anticipates that the circumstances in which it would require a complete list of shareholders would be unusual and that any request from Canada for a list of a publicly traded corporation's shareholders would normally be limited to a list of those shareholders who hold at least 1% of the voting shares;
 - iii) a list of all the Contractor's directors and officers, together with each individual's home address, date of birth, birthplace and citizenship(s); if the Contractor is a

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subsidiary, this information must be provided for each parent corporation or parent partnership, up to the ultimate owner; and

- iv) any other information related to ownership and control that may be requested by Canada.

If requested by the Contracting Authority, the Contractor must provide this information regarding its subcontractors as well. However, if a subcontractor considers this information to be confidential, the Contractor may meet its obligation by having the subcontractor submit the information directly to the Contracting Authority. Regardless of whether the information is submitted by the Contractor or a subcontractor, Canada agrees to handle this information in accordance with Subsection 22(3) of General Conditions 2035 (General Conditions – Higher Complexity – Services), provided the information has been marked as either confidential or proprietary.

- b) The Contractor must notify the Contracting Authority in writing of:

- i) any change of control in the Contractor itself;
- ii) any change of control in any parent corporation or parent partnership of the Contractor, up to the ultimate owner; and
- iii) any change of control in any subcontractor performing any part of the Work (including any change of control in any parent corporation or parent partnership of the subcontractor, up to the ultimate owner).

The Contractor must provide this notice by no later than 10 FGWDs after any change of control takes place (or, in the case of a subcontractor, within 15 FGWDs after any change of control takes place). Where possible, Canada requests that the Contractor provide advance notice of any proposed change of control transaction.

- c) In this section, a **“change of control”** includes but is not limited to a direct or indirect change in the effective control of the corporation or partnership, whether resulting from a sale, encumbrance, or other disposition of the shares (or any form of partnership units) by any other means. In the case of a joint venture Contractor or subcontractor, this applies to a change of control of any of the joint venture’s corporate or partnership members. In the case of a Contractor or subcontractor that is a partnership or limited partnership, this requirement also applies to any corporation or limited partnership that is a partner.
- d) If Canada determines in its sole discretion that a change of control affecting the Contractor (either in the Contractor itself or any of its parents, up to the ultimate owner) may be injurious to national security, Canada may terminate the Contract on a “no-fault” basis by providing notice to the Contractor within 90 days of receiving the notice from the Contractor regarding the change of control. Canada will not be required to provide its reasons for terminating the Contract in relation to the change of control, if Canada determines in its discretion that the disclosure of those reasons could itself be injurious to national security.
- e) If Canada determines in its sole discretion that a change of control affecting a subcontractor (either in the subcontractor itself or any of its parents, up to the ultimate

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owner) may be injurious to national security, Canada will notify the Contractor in writing of its determination. Canada will not be required to provide the reasons for its determination, if Canada determines in its discretion that the disclosure of those reasons could itself be injurious to national security. The Contractor must, within 90 days of receiving Canada's determination, arrange for another subcontractor, acceptable to Canada, to perform the portion of the Work being performed by the existing subcontractor (or the Contractor must perform this portion of the Work itself). If the Contractor fails to do so within this time period, Canada will be entitled to terminate the Contract on a "no-fault" basis by providing notice to the Contractor within 180 days of receiving the original notice from the Contractor regarding the change of control.

- f) In this section, termination on a "no-fault" basis means that neither party will be liable to the other in connection with the change of control or the resulting termination, and Canada will only be responsible for paying for those goods and services received up to the effective date of the termination.
- g) Despite the foregoing, Canada's right to terminate on a "no-fault" basis will not apply to circumstances in which there is an internal reorganization that does not affect the ownership of the ultimate parent corporation or parent partnership of the Contractor or subcontractor, as the case may be; that is, Canada does not have a right to terminate the Contract pursuant to this section where the Contractor or subcontractor continues, at all times, to be controlled, directly or indirectly, by the same ultimate owner. However, in any such case, the notice requirements of this section still apply.